

WINNING
IN THE NEW
WORLD

EABL Annual Report & Financial Statements - 2012



CELEBRATING
LIFE
EVERY DAY,
EVERY WHERE

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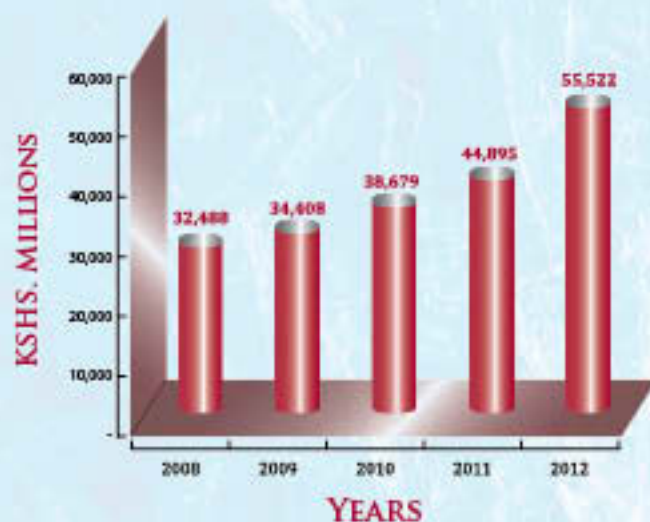


Pilsner Ice is back!

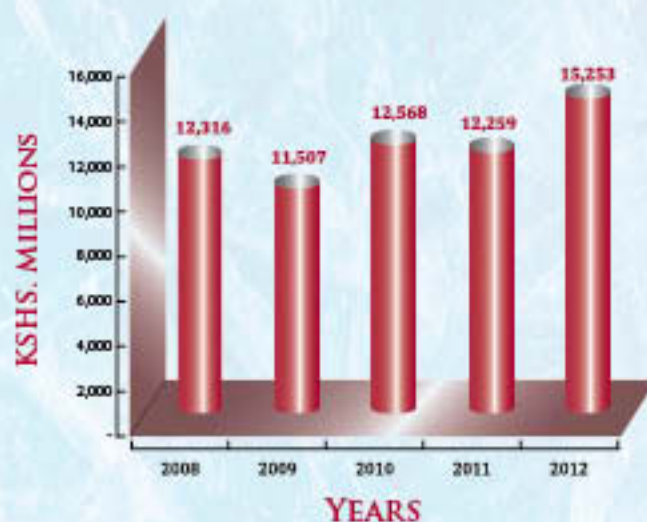


Pure drinking pleasure

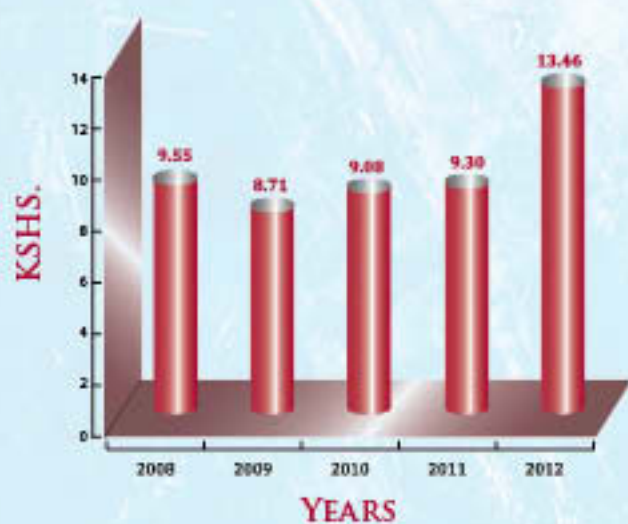
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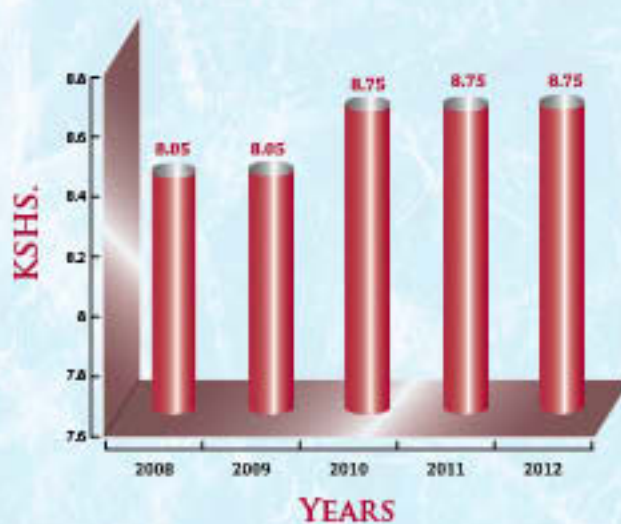
PROFIT BEFORE TAX



EARNINGS PER SHARE



DIVIDEND PER SHARE



(Continued)



I am delighted to present to you my first statement as the Chairman of EABL, after the Board appointed me to this role in February 2012. My appointment came at a time when our region and industry are going through many and rapid changes. I feel privileged to have taken over the role of Chairman at such an exciting time.

EABL produces and sells world-leading brands in seven consumer markets in Eastern Africa. Over the past year, the overall business environment in these markets has not been without challenges - notably the inflation and currency devaluation shocks in late 2011 and the economic uncertainty in South Sudan in 2012. Nevertheless, the strength of EABL's business model has enabled us to deliver good results.

We have been encouraged by the general trend of investment in infrastructure throughout Eastern Africa and Governments' involvement in encouraging business development in our markets, which gives us optimism that the growth that we have seen over the past financial year in the consumer economies will continue into the future.

Given our belief in the continued development of these consumer economies, EABL has made significant strategic moves over the course of the past financial year that will serve as a great platform for the future and thus enable the Company to better unlock sustainable and profitable growth across all our markets.

As part of the Company's expansion strategy into the large and attractive Tanzanian market, we have continued our integration of Serengeti Breweries Limited and sold off our stake in Tanzania Breweries Limited. Besides adding the flagship brand Premium Serengeti Lager to our portfolio, this has given us much greater control of the sale and marketing of other EABL brands in Tanzania. We are already seeing the benefits in terms of strong net sales growth in that market as brands such as Tusker, Pilsner and Senator are now more readily available to consumers there.

Simultaneously, we bought back the 20% of Kenya Breweries Limited that we did not already own. In addition to eliminating the minority shareholding, this has enabled us to give total focus to EABL's brands in Kenya, and has given us the capacity to focus on an exciting innovation agenda.

The pace of change in East Africa's consumer economies is rapid. To ensure that EABL meets these new opportunities, we have invested in new Supply Chain capacity - such as the canning line in Kenya which will enable us to offer new products for the growing Take Home sector - and in brand innovation - such as the launch of SNAPP which targets today's increasingly sophisticated, confident and empowered women. The consumer trend for premium products is in turn being met through a renewed focus on our top-end portfolio and sales capabilities - such as the launch of Tusker Lite, a premium low carb lager.

One of our major strategic objectives is to grow penetration of the spirits category across Eastern Africa. EABL has taken major steps towards unlocking this opportunity by significantly boosting our marketing investment and sales capabilities in this area. The results that we are delivering are impressive.

The demand for our core portfolio remains strong. Iconic and award-winning brands such as Tusker Lager, Pilsner Lager, Bell Lager and Premium Serengeti Lager remain the backbone of EABL's portfolio and continue to receive significant sales and marketing support.

As our economies develop, we expect that more consumers will trade up from home brews and unbranded alcohol into branded products. The size of this opportunity is considerable. This trend has already driven significant growth for Senator Keg in Kenya, and we are in the process of rolling out Senator in bottles into our other markets. The rapid growth of Senator



in Uganda has been made possible by our investment in a new mash filter which enables us to utilize more locally-sourced cereals for our brewing.

Delivering consistent strong performance has always been part of EABL's strategic agenda, and the past financial year has been no exception. In executing our strategy, we have again delivered strong results with net sales growth of 24% and Operating Profit growth of 21%. I am enormously proud of these results and the value we have delivered to stakeholders.

Our continued success is attributable to the great team of people we have at EABL. We have a firm commitment to attract, grow and retain the best talent and invest significantly in building skills and developing capabilities. Whenever I meet EABL's employees, I am always inspired by their passion for our brands and the strong culture of high performance that they have created in service of our ambition to be the most celebrated company in Eastern Africa.

As one of the leading companies in the region, we operate at the highest levels of international corporate governance. During the past year, we made significant progress in embedding our codes of compliance and generating a greater sense of corporate integrity in the everyday working environment through our Pathway of Pride programme. We also moved to influence others in this important arena. EABL played a leading role in the development of the Code of Ethics for Business in Kenya developed under the auspices of the United Nations Global Compact Network, Kenya Association of Manufacturers and Kenya Private Sector Alliance which was launched in March 2012. In Tanzania, we are leading efforts towards building the Tanzania Responsible Business Network, which will have a lead focus on business ethics and anti-corruption.

EABL's commitment to be a Force for Good is central to what we do. We understand that EABL can contribute on an increasingly broad scale while growing our Company, and through doing good business, we can make a sustainable positive impact on the communities in which we operate. During the year, we retained our focus on Water of Life, Skills for Life and Environmental Projects through the EABL Foundation. The impact we have is wide-reaching: Water of Life alone will benefit almost half a million people across Eastern Africa. Likewise, we continue to invest in Responsible Drinking campaigns to change consumer attitudes and behaviours. The impactful campaign *'Friends Don't Let Friends Drink & Drive'*

is now increasingly recognized across the region.

We are confident in the growth prospects for EABL in Eastern Africa. Whilst there will no doubt be challenges ahead as our economies develop at different paces, our performance in the past financial year demonstrates the strength of our business model which is centred around the quality of our brands and the investment we make in our people and our communities.

I would like to acknowledge all my fellow Board members for their contribution, counsel and insight throughout the year. In particular, I would also like to recognise the significant contribution of three Directors over a number of years.

Jeremiah Kiereini retired as EABL's Chairman in early 2012. He had been at the helm of the Company for 24 years and through his leadership transformed EABL into the world class business that it is today. I would personally like to pay tribute to him for the exceptional legacy that he has left, and wish him and his family the very best for the future.

Likewise, I would like to recognize the valued contribution of Richard Kemeli, who retired from the Board in April 2012 after 16 years of service. Most recently he was the Chair of the Board Audit and Risk Committee, a role he undertook with great diligence and leadership.

I would also like to thank Seni Adetu, the outgoing EABL Group Managing Director and CEO, for having contributed significantly to the holistic performance of EABL over his tenure. His energy and strategic vision have made a huge impact on EABL, and I wish him every success as he moves to Nigeria to lead Guinness Nigeria.

I welcome Devlin Hainsworth as the new EABL Group Managing Director and CEO. I look forward to working with him in maintaining EABL's leadership position in the region.

Finally, I know that this performance would not have been achieved without the commitment and dedication of our employees. I thank everyone across our entire business for another exciting year in the history of EABL. On behalf of the Board, we celebrate you all.

Charles Muchene
Chairman



The year saw a significant increase in production due to the growing demand in the alcoholic beverage market within the East African region. To meet this demand the Company made deliberate and strategic investments into plant and equipment within the various business units.



Tanzania's Prime Minister Hon. Mizengo Pinda, unveils the plaque during the official commissioning of the Moshi Brewery Plant in November 2011

Our newest subsidiary, Serengeti Breweries Limited commenced production of Tusker Lager at all brewery sites in Tanzania, whilst Mwanza and Moshi Breweries embarked on the local production of Guinness, Senator, Tusker Malt Lager and Pilsner.



Business leaders enjoying the moment when canning line was commissioned in June 2012 at Ruaraka

To tap into the trend of alternative formats for the growing take home sector, the company commissioned a new canning line in Kenya.

In November 2011, the Company commissioned a new brewery at Moshi. This turnkey project comprised a fully automated brew house and processing area backed with world-class packaging facilities.



The Mash filter

In Uganda, the Company invested in a new mash filter to increase the brewing capacity and the utilization of local raw materials within the production process.

The commitment to achieve a guaranteed supply of quality cereals was the objective of East African Maltings Limited during the year.

In so doing, we now have over 26,000 farmers growing cereals across East Africa to support our production. We have encouraged and invested in projects that are aimed at working with local communities in Kenya, Uganda and Tanzania to increase land acreage for growing cereals. This is yet another way of attaining our objective of enriching communities.



Dual Purpose Vessel (DPV) tanks upon arrival in Port Bell in February 2012

Central Glass Industries Limited continued to produce quality glass for the business units across the Group and for its external customers. More particularly, as part of brand innovation the company designed and produced new bottles, including the new look Tusker Lite bottle, which was well received by consumers.



The Green Agenda was promoted by Central Glass Industries Limited through the cleaning up of broken glass (cullet) from the environment whereby over 20,000 tonnes of cullet were recycled from broken glass retrieved from across the East African region. Diageo recognized the efforts of Central Glass Industries Limited by awarding them a Silver Medal for Environmental Conservation for their ability to utilize 40% of recycled water in the production process.

In further pursuit of the Company's environment agenda, during the year we commissioned effluent treatment plants at the Dar es Salaam and Nairobi brewery sites, and also installed water treatment capabilities for recycling of water. In Mwanza, we have commenced the construction of another effluent treatment plant.

Additionally, to reduce the disposal of solid waste a new initiative was developed to convert yeast into a viable animal feed.

Employee safety is critical across our business, and this year, we continued to work with the Zero Harm approach in our operations. All employees participated in safety and risk training programmes and as a result the phrase "My Safety My Life" was promoted during Safety Week. To keep the momentum going an incentive programme known as Safety Ambassador of the Month (SAM) Awards was initiated.

Quality Awards

EABL products were recognized in the year for their superiority and consistency in quality, taste and experience. The annual Monde Selection 2012 awarded Tusker Malt Lager, Tusker Lager and Pilsner Ice the Gold Quality Awards.

Sorghum- a cash crop for the farmers.



TUSKER

Tusker Lager enjoyed brand loyalty and support from its consumers across the East African region. The year saw the brand grow by 17% above last year. A combination of exciting and innovative marketing activities were undertaken throughout the year to enable consumers to interact with this iconic brand.



Tusker outlet branding

Tusker All Stars TV Show and Concert

We celebrated our African spirit by screening a reality television show that reunited eight previous Tusker Project Fame contestants in a competition against each other, for a chance to perform at East Africa's biggest concert in October 2011 at the Carnivore Grounds in Nairobi. The eight week show captivated fans, and culminated in a trailblazing concert where the Tusker Project Fame finalists performed alongside international stars Shaggy, Eve and Cabo Snoop.



Tusker Project Fame Season 5

EABL took the Tusker Project Fame's fifth edition to a new international level by collaborating with Universal Music Group to award a one year recording contract worth Kenya Shillings ten million, in addition to a Kenya Shillings five million cash prize to the winner of the contest. It started in June with a pool of 15 contestants from Kenya, Uganda, Tanzania, Rwanda, Southern Sudan and for the first time Burundi. It became the first reality show in East and Central Africa to utilize online voting.



Tusker Project Fame season 5 participants

Tusker FC

We recognize the significance of football through the ardent following of our loyal consumers in the Kenya Premier League. Our team Tusker FC stood tall when they won the League, and were crowned the 2011 champions. They received a brand new team bus and a winning bonus of Kenya Shillings one million, presented by the Group Managing Director and CEO Mr.Seni Adetu.



2011 CECAFA Tusker Challenge Cup

Tusker Lager for the second year was the proud sponsor of the CECAFA Tusker Challenge Cup, East Africa's biggest football tournament, that saw ten countries participate in the competition. The Uganda Cranes were crowned the champions, and were presented with the coveted trophy and US Dollars 30,000 by the chief guest, President of Zanzibar, Dr Ali Mohamed Shein.



Semi Adetu Group Managing Director and CEO EABL holds the CECAFA Tusker Challenge Cup

TUSKER MALT LAGER

Tusker Malt Lager shot a perfect hole in one with the Tusker Malt Lager Golf Carnival, and its new marketing campaign "Slow Brewed to Perfection" that was launched across Eastern Africa.

BELL LAGER

Bell Lager had a good year, with net sales growth of 11%. The brand was awarded the 'Best Beer Product' Award from Kampala City Traders (KACITA) for the second year running (2011 and 2012). The KACITA QUALITY AWARD is a prestigious award presented to companies that excel in offering quality products and services. Bell Lager saw further improved performance with the launch of the "Uganda's finest" advertising campaign.

During the year, Bell Lager was for the second year the proud sponsor of the Bell Uganda Cup. Another sponsorship was signed in August 2011, where Bell Lager entered into a multi-billion Uganda Shillings 3-year title sponsorship in partnership with the Uganda Super League.

GUINNESS

Guinness welcomed the participation of football stars, Jay Jay Okotcha, Kalusha Bwalya, Marcell Desailly and Rigobert Song to "Come drink at the table of men", for the second season of the Guinness Football Challenge Campaign. Competing teams were drawn from Kenya, Uganda and Tanzania.



Guinness Football Challenge Moli Game Winners.



Bell "Uganda's Finest"

PILSNER

Pilsner focused on enhancing consumer engagement activities across the East African region. In Kenya the brand was promoted through the successful “Pilsner Mflame” DJ activation. A new contemporary Pilsner pack was introduced in Uganda giving the brand a significant competitive edge.

**SENATOR**

Our success has continued in the emerging sector of the market with Senator. We introduced the “Jipange na Jug” promotion in Kenya, and a Senator Gala initiative in Uganda, which resulted in net sales growth of 53%. Senator also entered the markets of Tanzania, Rwanda and Burundi.

**PREMIUM SERENGETI LAGER**

Premium Serengeti Lager was unveiled to consumers in pomp and ceremony with a refreshed new look comprising a new logo and label. This trendsetting brand launched its new packaging in Tanzania in January 2012. The new logo and label received wide support and appreciation following road shows and in-bar experiences, which were supported by outdoor advertising, television and radio promotions.



Unveiling of new look Premium Serengeti Lager



SPIRITS



JOHNNIE WALKER

Johnnie Walker Red Label and Johnnie Walker Black Label carried the brand high with *"Walk with Giants"* as its new campaign strategy. The brand grew by 74% across our markets. To this end, Kenya, Uganda and Tanzania launched in-bar experiences to take consumers through a memorable journey with Johnnie Walker, and enabled them to interact with the brand first hand, which was key to driving growth.

SMIRNOFF

Giving the consumer a unique experience was the key objective for Smirnoff this year. Through the *"Smirnoff Nightlife Experience"* consumers were taken to a new level of enjoyment. In addition, World-class Bartender training programs were launched in Kenya, Uganda and Tanzania through the global Smirnoff ambassador programme aimed at providing consumers with different experiences, whilst savouring the brand. The year saw Smirnoff Black Ice launched in Tanzania. These activities resulted in impressive sales growth of 55% across all markets.

BAILEYS

The traditional box of chocolates as Valentine's Day gifts faced stiff competition from our brand, Baileys, through the campaign *"Think Outside the Chocolate Box"*. Net sales grew by 82% for the year.

RICHOT

The spirit brand of Richot was re-launched with the theme *"Share the Warmth"* in August 2011 in Nairobi, Nyeri and Nakuru in Kenya. This featured barrels display, smooth afro-jazz and real bonfires. The result was a sales growth of 40%.

UGANDA WARAGI

March 2012 saw Uganda Waragi unveiled in a new look bottle, to reveal a vibrant and refreshing image, emphasizing its unique Ugandan-ness. The impact of the exciting new bottle was evident from the considerable growth of 37% above last year.

The year saw us remain the market leaders in trend setting new brands, through products that were more than just regular drinks, but a personal statement of style and taste. We satisfied market expectations by developing new and exciting products such as Tusker Lite, Pilsner Ice and SNAPP.

TUSKER LITE

A taste for products that are low in carbohydrates, is seen as an emerging trend amongst young adults. We exploited this opportunity and introduced Tusker Lite into the Tusker family. For the launch, we brought the renowned Rhythm 'n Blues artistes Donel Jones and Joe to the "Discover the Tusker Lite Experience" party in Nairobi, where "Take it easy" was the catch phrase for the occasion. This great tasting, low carbohydrate beer was received positively and contributed to the 17% growth to the Tusker brand.



PILSNER ICE

Through its new look packaging, Pilsner Ice was reinvented to become pure drinking pleasure to suit modern young adult males, who can now enjoy the ONLY ice brewed beer in Kenya and across Eastern Africa. We maintained the brand's distinct full-bodied taste but introduced the leaner bottle to give it a much desired contemporary look. High-energy venues around Kenya were the locations for the "Ice Patrol Parties".



SNAPP

Today's young woman is sophisticated, confident and stylish. We launched a new fruit-flavored alcoholic drink, SNAPP, to complement the young woman's rich taste for a fulfilling life. SNAPP is a tantalizing apple flavored drink in a 300ml stylish clear bottle. Following its launch, SNAPP was the sophisticated sponsor of the coveted Miss World Kenya Pageant.





EXCESSIVE CONSUMPTION OF ALCOHOL IS HARMFUL TO YOUR HEALTH.
STRICTLY NOT FOR SALE TO PERSONS UNDER 18 YEARS. PLEASE DRINK RESPONSIBLY.

One Culture, Celebrating our Legacy

Being a multi faceted business, we continued to emphasize the “one company, one culture” approach to ensure that our diverse operations were conducted as a single business. This year’s All Staff Conference was held in Nairobi, bringing together staff from the different business units across the East African region into one venue. This elevated staff interrelationships and the spirit of working as one team.

Additionally, Employee Super-engagement continues to be a key focus for the Company. Activities such as Town Hall meetings and Family Fun Days have enhanced staff engagement. Intra-EABL secondments increased over the year, which saw the business units in Kenya, Uganda and Tanzania sharing talent amongst themselves to further strengthen staff skills and experience, as well as to deliver business performance.

During the year the Company also carried out a number of internal promotions within the senior management level, which was in line with our objective of growing talent across the East African region.

Talent Base

Our talent base across the Group has grown both in size and functional capability, with the headcount increasing during the year to 1775 employees. In a competitive environment, we are aware of the need to ensure that the right talent is sourced expeditiously and promptly across Eastern Africa. To maintain the right balance as well as building the existing talent, we recruited talent from external markets and borrowed talent from within the wider Diageo business.

In addition, we have made significant strides in resourcing for the future through the Pan-African Graduate Early Career Programme. This year, through a highly competitive process, 16 individuals were recruited into diverse areas of the business both locally and globally, where they will seek to acquire best practise skills on various business processes and develop their leadership and functional capability. Also achieved, was the increase of gender diversity, by recruiting over 60% of females into the programme.



EABL All Staff Conference 2012

Staff Welfare

The well being of our staff continued to take prominence within the Company across the region. Our staff medical policy was augmented over the year. The EABL Clinic has been enhanced to provide specialist treatment including gynaecologists, dentists, and paediatricians, amongst other areas of specializations, including access to Laboratory services. The year also saw the completion of an employee fitness centre in Kenya; an initiative that encourages staff to maintain a balance of good health and work life.



Promoting the Zero Harm culture.

Good Governance

Our quest to be the Most Celebrated Business in every market in Eastern Africa was supported by various tools including the Code of Business Conduct, which we continue to entrench across the Company through different initiatives. One such initiative was the re-launch of the “Pathway of Pride” sessions to strengthen staff understanding of the Code of Business Conduct. This was aimed at setting the company up as a successful business today and for the future, in the area of Good Governance.



Water of Life

Water is life, and at EABL we are proud of our Water of Life programme. This year we were able to provide safe water to approximately 550,000 beneficiaries across Eastern Africa.

The EABL Foundation carried out new water projects, which included the construction of a major water pan in the Emurutoto area of Maasai Mara and the improvement of the water facilities in Naivasha and Kilifi where boreholes were sunk in partnership with our stakeholders. Additional water blocks were established in Chuka, Athi River and Malindi among other areas in Kenya as part of the upgrading of the water and sanitation programme.

We continued to seek to empower our communities, and in April, the Diageo Africa President, Dr. Nick Blazquez commissioned a water and sanitation facility in Limuru which is exclusively run by persons with disability residing in the area. This Kenya Shillings three million shilling facility was constructed in conjunction with our technical partners, Ecotact Limited and has the capacity to benefit over 24,000 users per month.

To mark World Water Day, we commissioned various projects in Kariobangi and Korogocho in Kenya, comprising the development of a new water reservoir system installed primarily to supply the only public health facility Kariobangi

Health Clinic with water. In March, we constructed a rainwater harvesting facility in Frelimo Hospital in Tanzania, where a total of 150,000 beneficiaries can now access clean water.

In Uganda, the EABL Foundation partnered with the Ministry of Health to install a 24,000 litre water reservoir system for the Jinja Regional Referral Hospital, the largest outpatient hospital in the country.

Environment

The E-Green team were involved in tree planting activities to mark the World Environment Day across the Group. The team planted trees within the EABL grounds at Ruaraka and also proceeded to plant a total of 30,000 trees in partnership with barley farmers and other stakeholders in the Purko area in the Mau escarpment.

In May, the EABL team joined other Companies in the "Save the Mau" tree planting exercise in Eburru, Mau Forest, near Naivasha, where the total number of trees planted in the season rose to 180,000.

In Uganda, the E-Green Team joined Luzira community in an extensive environment cleaning exercise and tree planting in the areas of Nabitalo Parish, Wakiso.

During the year, we planted over 450,000 trees across Eastern Africa.



Uganda Breweries' Managing Director, Alasdair Musschwhite and Jinja Hospital Board Chairman, Dr. Samson Kintu, at the Ground breaking of water harvesting system construction in June 2012.



EABL E-Green Team plant trees at Nabitalo Parish in Wakiso, Uganda.

Skills for Life

EABL Foundation's "Skills for Life" programme celebrated its 10th anniversary in October with the achievement of sponsoring over 160 students across the Eastern Africa. The successful scholarship programme is run in partnership with a total of 10 universities in the region including University of Nairobi, Moi and Strathmore in Kenya, University of Dar-es-Salaam and Mzumbe in Tanzania and Makerere, Kyambogo, Uganda Martyrs and Christian Universities in Uganda.

Business Compliance

In May, EABL became a member of the UN Global Compact and the Global Compact Network Kenya, which also initiated the sign up to the Code of Ethics for Businesses in Kenya. This initiative was introduced by the Kenya Association of Manufacturers in conjunction with the Kenya Private Sector Alliance and the Federation of Kenya Employers to promote and enhance the ethics of business conduct in Kenya in line with the principles of the UN Global Compact in the areas of Human Rights, Labour Standards, Environment and Anti-Corruption.

Responsible Drinking

The safety and health of our community is of importance to our business. We appreciate that excessive alcohol consumption could have an adverse impact on health and create other social problems. To this end we launched a responsible drinking campaign entitled "Friends don't let Friends Drink and Drive". Eight in ten consumers surveyed in the year confirmed that they were aware of the Responsible Drinking campaign.

To increase the reach of this message, we initiated DRINKIQ training sessions where over 800 employees participated in educating and creating awareness among local communities on the importance of drinking alcohol responsibly. The success of this campaign has resulted in other industry players adopting the responsible drinking concept within their organizations.



State Minister for Works & Transport, Stephen Chebet & Assistant Commissioner of Traffic, Sarah Kibwika, flag off taxis at the official launch of the campaign, in Kampala.

It's Time to Take It Easy.

THE TUSKER LITE DIFFERENCE

TUSKER LITE is a low carb beer that contains the finest natural ingredients, fermented to completion which allows for a less filling beer that won't slow you down.

LESS TRULY IS MORE

With a perfect balance of low carb and great taste, Tusker Lite delivers a crisp refreshing taste.

FOR AN EASY DRINKING EXPERIENCE

Enjoy a fulfilling lifestyle and relax with friends after a day's work over a cold bottle of TUSKER LITE. It's time to take it easy.



EXCESSIVE CONSUMPTION OF ALCOHOL IS HARMFUL TO YOUR HEALTH.
STRICTLY NOT FOR SALE TO PERSONS UNDER 18 YEARS. PLEASE DRINK RESPONSIBLY.



Nina furaha kuwasilisha kwenu taarifa yangu ya kwanza kama Mwenyekiti wa EABL, baada ya Halmashauri kuniteua kwa jukumu hili mnamo Februari 2012. Uteuzi wangu umefika wakati kanda ya Afrika Mashariki na sekta yetu zinashuhudia mabadiliko mengi. Najihisi mwenye bahati kuwa na jukumu la Mwenyekiti wakati wa kusisimua kama huu.

EABL inazalisha na kuuza baadhi ya bidhaa bora zaidi duniani katika masoko yote saba katika kanda ya Afrika Mashariki. Kwa ujumla, bidhaa zetu zimekuwa imara katika kalenda ya kifedha iliyopita, licha ya mawimbi katika masoko, hasa mfumuko wa bei na kushuka kwa thamani ya fedha mwisho wa mwaka 2011, pamoja na kutokuwa na uhakika wa kiuchumi Kusini mwa Sudan katika mwaka wa 2012. Pasi na hayo, udhabiti wa mtindo wetu wa kibiashara umetuwezesha kupata matokeo mazuri.

Tumeridhishwa na hali ya uwekezaji katika miundombinu kote Afrika Mashariki, na hali ya Serikali kushiriki katika kuhimiza maendeleo ya biashara katika masoko yetu. Hii inatupa matumaini kwamba ukuzi ambao tumeona katika kipindi cha mwaka uliopita utazidi katika siku zijazo.

Kutokana na imani yetu kwamba masoko ya bidhaa za walaji itazidi kuimarika, EABL imefanya hatua muhimu kuweka mikakati katika kipindi cha mwaka uliopita ambayo itatumika kama jukwaa la upanuzi wa Kampuni katika siku za usoni, na hivyo basi kuwezesha Kampuni kupata faida na ukuaji wa kudumu kote katika masoko yetu.

Tulikamilisha muungano wetu na Kampuni ya Serengeti Breweries, na wakati huo huo tukauza hisa zetu katika Kampuni ya Tanzania Breweries, ikiwa ni katika mpangilio wa upanuzi wa EABL nchini Tanzania. Kwa kuongeza nembo la kifahari la Premium Serengeti Lager kwa daftari letu, tumepata udhibiti zaidi wa mauzo ya bidhaa nyingine kutoka EABL nchini Tanzania. Tayari tunashuhudia faida katika ukuaji wa mauzo ya bidhaa kama vile Tusker, Pilsner na Senator ambazo sasa zinapatikana kwa urahisi zaidi kwa walaji.

Pia tuliweza kurekodi mafanikio makubwa kwa kuregesha asilimia ishirini ya hisa za kampuni ya Kenya Breweries ambazo hatukuwa tunazimiliki tayari. Hii imetuwezesha kutia maanani kwa bidhaa za EABL nchini Kenya na kutupa uwezo wa kuzingatia ratiba ya kulisimua ya ubunifu.

Sambamba na nia yetu ya kuwekeza kwa bidhaa zetu, ugavi umeboreshwa kwa kuanzisha mtambo wa makopo nchini Kenya, hivyo basi kutuwezesha kubuni bidhaa mpya kwa ajili ya sekta ya makopo inayozidi kukua. Katika jitihada za kubuni bidhaa mpya, tuliweza kuzindua SNAPP, inayolenga walaji wa jinsia ya kike ili kuwezesha EABL kukidhi mahitaji ya masoko katika kanda ya Afrika Mashariki inayopanuka kwa kasi. Mwenendo wa walaji kuwa na hamu ya bidhaa za kifahari ulipelekea uzinduzi wa bia mpya aina ya Tusker Lite, ambayo ni bia bora yenye kiwango cha chini cha sukari.

Mojawapo ya malengo yetu kuu ni kuzidi kupenya katika soko la mvinyo katika kanda ya Afrika Mashariki. EABL imechukua hatua kubwa ili kufungua fursa hii kwa kuboresha mikakati ya mauzo katika eneo hili. Matokeo ambayo tunapokea ni ya kuvutia.

Mvuto wa bidhaa zetu inazidi kuimarika. Bidhaa za kimaarufu zilizo tuzwa taji nyingi za kimataifa kama vile Tusker Lager, Pilsner Lager, Bell Lager na Premium Serengeti Lager ni uti wa mgongo wa daftari letu na zinaendelea kupata uwekezaji katika ugavi na mauzo.

Tunavyozidi kukuza uchumi, tunatarajia kwamba wateja zaidi watapungia mkono wa buriani pombe haramu na kukumbatia bidhaa zetu zinazotambulika. Ukubwa wa nafasi hii ni ya kulisimua. Mwenendo huu tayari umepelekea ukuaji mkubwa kwa Senator Keg nchini Kenya, na tupo kwenye mchakato wa kuifikisha Senator kwa masoko mengine. Ukuaji wa kasi wa Senator nchini Uganda umewezeshwa na uwekezaji wetu katika mtambo mpya unaojulikana kama Mash Filter, ambayo inatumia nafaka zaidi zilizozalishwa nchini.

Kuwa na matokeo dhabiti kila mwaka tangu jadi imekuwa



mojawapo ya ajenda ya Kampuni kimkakati, na mwaka uliopita ulikuwa vivyo hivyo. Katika utekelezaji wa mikakati wetu, kwa wakati mwingine tena tumewasilisha matokeo ya kuisimua pamoja na ukuaji wa mauzo ya asilimia 24 na ukuaji wa faida ya uendesaji ya asilimia 21. Najivunia sana matokeo haya, haswa thamani tuliyowapokeza wadau wetu.

Mafanikio yetu inatokana na uwezo mkubwa wa timu tulionayo hapa EABL. Tuna lengo la kuvutia, kukuza na kuhifadhi vipaji bora. Kwa kawaida tunaweza kiasi kikubwa katika kuboresha ujuzi na kuendeleza uwezo. Kila ninapokutana na wafanyakazi wa EABL, mimi hupata msisimko kwa juhudi zao na moyo wa kuzingatia utamaduni wetu wa utendakazi wa kiwango cha juu ambao sote tunafuatilia katika kuafikia azimio letu la kuwa kampuni ya kifahari zaidi katika kanda ya Afrika Mashariki.

Tunaendesha shughuli zetu kuambatana na kanuni za uongozi za kimataifa, kama mojawapo ya makampuni kubwa zaidi katika kanda. Katika mwaka uliopita, tulishuhudia mafanikio katika kukita mizizi hisia ya uadilifu katika mazingira ya kila siku ya utendakazi kupitia mpango wetu wa Pathway of Pride, na pia kuwahimiza wengine kufuata mpango huo pia. EABL ilichangia pakubwa katika kubuniwa kwa Mkataba wa Maadili ya Uendesaji Biashara nchini Kenya, ambayo ilizinduliwa mwezi wa Machi 2012, chini ya muongozo wa mpango wa Umoja wa Mataifa (al maarufu UN Global Compact), Chama cha Wazalishaji nchini Kenya (KAM) na Shirika la Wawekezaji Binafsi (KEPSA). Zaidi ya hayo, nchini Tanzania tunaongoza juhudi ya kubuni mpango wa Uwajibikaji katika Biashara Mtandao (Tanzania Responsible Business Network), ambayo itakuwa na lengo ya kukuza maadili ya biashara na kupambana na ufisadi.

Dhamira ya EABL kuwa kiongozi katika kuboresha hali ilivyo ni muhimu katika shughuli zote tunazofanya. Tunafahamu kwamba EABL inaweza kuchangia pakubwa sambamba na ukuaji wa Kampuni, kwa kufanya biashara nzuri na maamuzi endelevu kwa jamii. Katika mwaka uliopita, tulirejelea mtazamo wetu kwa mpango wa Maji kwa Uhai, Stadi za Maisha na miradi ya kuhifadhi mazingira kupitia Wakfu wa EABL. Matokeo ya juhudi hizi ni wazi; kwa mfano mradi wa Maji kwa Uhai pekee utawafaidi watu nusu milioni zaidi katika kanda ya Afrika Mashariki. Aidha, tunaendelea kuwekeza katika kampeni ya kunywa kwa uwajibikaji ili kubadili mitazamo na tabia za walaji. Kampeni yenye vishindo ya *'Friends Don't Let Friends Drink & Drive'* inazidi kutambulika katika kanda.

Sisi tuna imani katika matarajio ya ukuaji wa EABL katika kanda ya Afrika Mashariki. Ilhali ni dhahiri kuwa siku za

usoni zitakuwa na changamoto nchi tofauti zitakapoendelea kushuhudia ukuzi wa kasi tofauti, matokeo yetu ya mwaka uliopita unaonyesha kuimarika kwa mtindo wetu wa biashara inayozingatia ubora wa bidhaa zetu na uwekezaji katika rasilmali na jamii zetu.

Ningependa kuwapigia upatu wakurugenzi wenzangu kwa bidii, mawaidha na hekima yao katika mwaka uliopita, na kwa kina kutaja mchango muhimu wa Wakurugenzi watatu waliohuduma kwa muda wa miaka kadhaa.

Jeremiah Kiereini alistaafu kama Mwenyekiti wa EABL mapema mwaka 2012. Alikuwa katika katika hatamu kwa takriban miaka 24 na kupitia uongozi wake akaweza kubadilisha EABL kuwa biashara ya kiwango cha kimataifa vile ilivyo leo. Ningependa kutoa hongera kwa urithi wa kipekee ambayo ameweza kuwacha nyuma, na naitakia familia yake kila la heri kwa siku zijazo.

Aidha, ningependa kutambua mchango wa thamani wa Richard Kemoli, ambaye mwaka huu alijiuzulu kutoka Bodi baada ya kuhudumu kwa miaka 16. Hivi karibuni alikuwa Mwenyekiti wa Bodi ya Ukaguzi na Udhambi wa Hatari, jukumu ambayo aliendesha kwa bidii kubwa na uongozi shupavu.

Pia ningependa kumshukuru Seni Adetu, anayemaliza muda wake wa Kampuni ya EABL kama Mkurugenzi Mtendaji na Mtendaji Mkuu, kwa mchango wake kwa jumla katika EABL wakati wa umiliki wake. Nishati yake na maono ya kimkakati imeongezea pakubwa Kampuni, na mimi namuombea mafanikio anavyoondoka kuongoza Kampuni ya Guinness nchini Nigeria.

Namkaribisha Devlin Hainsworth kama Mkurugenzi Mtendaji mpya wa Kampuni ya EABL na pia Mtendaji Mkuu. Natazamia kwa furaha kufanya kazi pamoja naye katika kudumisha uongozi wa EABL katika kanda.

Hatimaye, najua kwamba utendaji huu wa kisisimua haungeweza kupatikana bila moyo wa wafanyakazi wetu wa kujitolea na kujituma. Namshukuru kila mtu katika biashara yetu yote kwa mwaka mwingine wa kisisimua katika historia ya EABL. Kwa niaba ya Bodi, tunasimama imara kuwapigia upatu enyi nyote.

Charles Muchene
Mwenyekiti



Mwaka huu ulishuhudia ongezeko kubwa la uzalishaji kutokana na kuongezeka kwa mahitaji katika soko la pombe na vinywaji visivyo na vileo katika kanda ya Afrika Mashariki. Ili kuafikia mahitaji haya, Kampuni ya EABL ilikusudia mikakati ya kuwekeza katika mitambo na vifaa katika vitengo mbalimbali vya kampuni.



Waziri Mkuu wa Tanzania Mheshimiwa Mizengo Pinda, akifunua kibango cha usinduzi wakati wa kuagiza mitambo wa Moshi Brewery Novemba 2011

Uwekezaji wetu wa hivi majuzi, Serengeti Breweries, imekuwa na mafanikio ya uzalishaji wa bia ya Tusker katika viwanda vyake vyote nchini Tanzania, huku pia Mwanza na Moshi kuanza uzalishaji wa Guinness, Senator, Tusker Malt Lager na Pilsner.



Viongozi wa biashara waangua kicheko wakati mitambo wa kupakia makopo ulipogirwa mwani Juni 2012 Ruwaka

Ili kuafikia mahitaji ya walaji wanaoegemea bidhaa za makopo, kampuni iliagiza kiwanda kipya cha kupakia makopo nchini Kenya.

Mnamo Novemba 2011, Kampuni ilivumbua kiwanda cha kisasa mjini Moshi chenye uwezo wa kuzalisha hektolita 550,000 kwa mwaka. Mradi ulisimamiwa na Krones, na ilijumuisha jumba la uzalishaji la kutumia taharakilishi, eneo la usindikaji vifaa vya upakiaji vya kisasa.



Mash filter

Nchini Uganda, Kampuni ya EABL imewekeza katika mtambo wa mash filter ili kuboresha uzalishaji na matumizi ya nafaka. Ahadi ya ugavi wa uhakika na utumizi wa malighafi ilitiliwa mkazo katika mwaka huu na kampuni ya East African Maltings Limited.

Kwa sasa tuna muungano na wakulima 26,000 wanaokuza nafaka kote katika kanda kutusaidia kuboresha uzalishaji. Tumehimiza na kuwekeza katika miradi ya pamoja na wafanyakazi wetu kuunga mikono ukulima nchini Kenya, Uganda na Tanzania ili kuongeza ukuzaji wa mtama na shayiri, ambayo pia inaambatana na lengo letu la kutajirisha jamii.



Vyombo vya utekelezaji mata dufu (DPV) vilipowasili katika Bandari ya Bell mnamo Februari 2012

Kampuni ya Central Glass Industries iliendelea na uzuzi kwa Kampuni na pia kwa wateja kutoka nje. Mfano mmoja wa ubunifu ni kama ilipofanikiwa kubuni na kutengeza kiolezo cha chupa mpya ya Tusker Lite, ambayo ilipokewa vema na watumiaji.



Dhamira ya kuzingatia uhifadhi wa mazingira, al maarufu 'The Green Agenda', iliendelezwa kwa kukusanya vigae. Kila mwaka zaidi ya tani 20,000 ya vigae hukusanywa kutoka kote katika kanda ya Afrika Mashariki na kutumika tena upya. Katika shughuli zote hizi, CGI imeendelea kuzalisha bidhaa bora kwa upakiaji wa bidhaa mbali mbali za kampuni na pia kwa wanunuzi wa nje. Central Glass Industries ilipata kutuzwa medali ya fedha na kampuni ya Diageo kwa juhudi zake za kuhifadhi mazingira kwani ilifanikiwa kuchakata takriban asilimia arobaini (40%) ya maji inayotumika katika viwanda.

Kuafikia lengo la kuzingatia mazingira, katika mwaka huu, tuliagiza mitambo ya kukabiliana na maji taka viwandani Dar es Salaam na Nairobi na kuweka uwezo wa kutibu maji kwa kuchakata. Mjini Mwanza, ujenzi wa kiwanda cha kukabiliana na maji taka kimeshaanza.

Mradi mpya ambao utasaidia kupunguza taka kwa kubadili chachu iwe lishe ya mifugo inayoweza kuuzwa kwa wakulima tayari umefanyiwa mikakati.

Usalama wa wafanyakazi ni sehemu muhimu ya uzalishaji wetu na hivyo basi tumejitahidi kuhakikisha utendekazi chini ya mfumo wa kuepusha madhara katika shughuli zetu (Zero Harm). Wafanyakazi wote walishiriki katika mafunzo ya usalama na kukabiliana na hatari ikiambatana na usemi "Usalama Wangu Maisha Yangu" uliopewa kipaumbele katika wiki ya usalama. Ili yale mafunzo yaliyopatikana kufanywa kukita mizizi, mpango wa motisha unaojulikana kama Balozi wa Usalama wa Mwezi (SAM) ulianzishwa.

Tuzo za Bidhaa Bora

Bidhaa za EABL zilipata kupigiwa upatu katika mwaka huu kwa sababu ya ubora wao na uthabiti katika ladha na uzoefu. Taji la Monde Selection 2012, ambalo hutolewa kila mwaka, ilituza Tusker Malt Lager, Tusker Lager na Pilsner Ice, nishani ya dhahabu (Gold Quality Awards).

Mtama - rao la kibiashara kwa wakulima.



TUSKER

Tusker ilishuhudia uwepo wa uaminifu kutoka kwa wateja wake katika kanda ya Afrika Mashariki. Mwaka huu ulishuhudia Tusker kuongezeka kwa asili mia 17 zaidi ya kiwango cha mwaka jana. Mchanganyiko wa shughuli mbalimbali zilibuniwa ili kuongeza mauzo mwaka mzima na hivyo basi kuwawezesha wateja kupata mvuto dhahiri wa Tusker.



Mabango ya Tusker katika sehemu za burudani.

Kipindi cha Tusker All Stars na tamasha la All Stars

Tulisisitiza mwito wa Afrika moja kwa kukiendesha kipindi cha Tusker Project Fame kilicho wajumuisha wanamuziki 8 kutoka misimu iliyopita ya kipindi hiki kugombea nafasi ya kutumbuiza mashabiki katika tamasha kubwa kabisa kuwahi kufanyika katika kanda la Afrika Mashariki, lililofanyika tarehe mosi mwezi wa Oktoba 2011 katika uga wa Carnivore, Nairobi. Kipindi hicho, kilicho onyeshwa kwa muda wa wiki 8 kiliwasisimua mashabiki na kupelekea umati mkubwa kujitokeza kushuhudia tamasha ya kukata na shoka na ya kipekee, ambapo washiriki waliofika kwenye fainali ya mashindano walipata kugaragaza midundo ya kisasa pamoja na nyota wa kimataifa Shaggy, EVE na Cabo Snoop.



Tusker Project Fame Msimu wa 5

EABL iliboresha zaidi kipindi cha Tusker Project Fame kwa kufikisha toleo la tano hadi kiwango cha kimataifa kwa kushirikiana na Universal Music Group ili kumkabidhi mshindi wa msimu huu mkataba wa mwaka mmoja wa kurekodi yenye thamani ya Shilingi milioni kumi kuongezea kwenye tuzo ya Shilingi milioni tano pesa taslimu. Msimu huu uling'oa nanga tarehe 3 Juni na wagombea 15 kutoka nchi 6 ikiwa ni pamoja na Kenya, Uganda, Tanzania, Rwanda, Sudan Kusini na Burundi kwa mara ya kwanza. Ilikuwa kipindi cha kwanza katika kanda ya Afrika Mashariki kutumia upigaji kura kupitia mtandao.



Washiriki wa msimu wa 5 wa kipindi cha Tusker Project Fame.

Tusker FC

Tunatambua umuhimu wa kandanda kufuatia Ligi Kuu ya Kenya inavyowasisimua wateja wetu. Timu yetu ya Tusker FC walionyesha ubabe na kuitikia mwito wa 'Stand Tall' waliposhinda ligi na kutawazwa mabingwa wa Kenya msimu wa 2011. Kuwapa pongezi, walipokea basi mpya ya timu na tuzo la Shilingi milioni moja kutoka kwa Kampuni, liyokabidhiwa kwao na Mkurugenzi Mtendaji Bw Seni Adetu.



Kinyang'anyiro cha CECAFA Tusker Challenge Cup

Tusker Lager kwa mwaka wa pili ilikuwa mfadhili wa kinyang'anyiro cha CECAFA Tusker Challenge Cup, mchuano wa kisisimua unaohusisha nchi kumi kutoka kanda ya Afrika Mashariki na Kati. Timu ya taifa ya Uganda, al maarufu 'The Cranes' walivikwa taji la mabingwa na kutuzwa hundi la 30,000 Dola za Marekani na mgeni wa heshima, Rais wa Zanzibar, Dkt Ali Mohamed Shein.



Seni Aden, Mkurugenzi Mrendaji na Afisa Mkuu wa EABL akiwa na kombe la CECAFA Tusker Challenge.

TUSKER MALT LAGER

Tusker Malt Lager ilifungua kikao kikamilifu katika mchuano wa Tusker Malt Lager Golf Carnival na kampeni yake mpya ya mauzo, kwa kimombo 'Slow Brewed to Perfection', katika kanda ya Afrika Mashariki.

BELL LAGER

Bell Lager ilikuwa na mwaka mzuri, ikipata ukuzi wa mauzo ya asilimia 11. Ilipata tuzo la 'Best Beer Products' kutoka Shirika la Wafanyabiashara mjini Kampala (KACITA) kwa mwaka wa pili mfululizo (2011 & 2012). Taji la Ubora la KACITA ni tuzo la kifahari linalokabidhiwa kwa makampuni ambayo yanatoa huduma na bidhaa bora zaidi katika sekta tofauti. Bell Lager pia ilishuhudia ukuzi kutokana na nembo mpya ya 'Uganda's Finest'.

Bell Lager lilikuwa tena mfadhili kwa mwaka wa pili wa kinyang'anyiro cha Bell Uganda Cup. Katika mwezi wa Agosti 2011, Bell Lager ilitia saini mkataba wa mabilioni ya Shilingi za Uganda kudhamini ligi kuu ya Uganda ijulikanayo kama Uganda Super League.

GUINNESS

Guinness ilipokea kwa furaha ushiriki wa wachezaji nyota, Jay Jay Okotcha, Kalusha Bwalya, Marcell Desailly na Rigobert Song katika tamasha la "Bugia Katika Kikao cha Wanaume", kwa msimu wa pili wa kipindi cha Guinness Football Challenge. Timu zilizogombea ubingwa zilikuwa kutoka Kenya, Uganda na Tanzania.



Wahiri wa kipindi cha Guinness Football Challenge kutoka Kenya.



Bell "Uganda's Finest"

PILSNER

Pilsner ilishuhudia ukuzi katika vitenngo tatu muhimu mwaka huu, ikiwa ni pamoja na mwasiliano shuari na wateja katika kanda ya Afrika Mashariki. Nchini Kenya, kulikuwa na mchuano wa kulisimua baina ya maDJ kwa jina *"Pilsner Mfalme"*, ilhali nchini Uganda kulikuwa na kuanzishwa kwa pakiti mpya ya kisasa ambayo iliweka bidhaa ya Pilsner mbele ya bidhaa za washindani.

SENATOR

Mafanikio ya Kampuni ya EABL yaliendelea hata katika soko mapya kupitia bidhaa ya Senator. Tulianzisha kampeni ya *"Jipange na Jug"* nchini Kenya na pia kampeni ya Senator Gala nchini Uganda, ambao ilisababisha ukuzi wa asilimia 53. Senator pia ililingia kwenye masoko ya Rwanda, Burundi na Tanzania mwaka huu.



PREMIUM SERENGETI LAGER

Premium Serengeti Lager ilizinduliwa kwa sherehe ya kukata na shoka chini ya nembo mpya. Bidhaa hii ya kipekee ilizindua nembo yake mpya mnamo Januari 2012. Ilipokelewa vema sana na ikakusudia kukita mizizi kupitia shughuli mbalimbali za mauzo kama vile maonyesho, shughuli kwenye sehemu za burudani pamoja na matangazo kwenye radio, runinga na beramu.



Uzinduzi wa chupa mpya ya Premium Serengeti Lager



MVINYO



JOHNNIE WALKER

Kwa kuzingatia upya biashara ya mvinyo, Johnnie Walker Red Label na Johnnie Walker Black Label zilifanya vema huku kampeni ya *"Walk with Giants"* ikiweka kiwango kipya cha uzoefu katika sehemu za burudani. Bidhaa hii ilishuhudia ukuzi wa asilimia 74 katika masoko yetu.

Kwa mujibu wa ukuaji huu, Kenya, Uganda na Tanzania zilizindua kampeni katika vikao vya burudani kutoa uzoefu wa kudumu kwa wateja, ambao ulituwezesha kuboresha ukuzi wa bidhaa hii.

SMIRNOFF

Lengo letu ni kutoa uzoefu wa kipekee kwa wateja, na lengo hili lilitimika kupitia kampeni ya *'Smirnoff nightlife experience'*. Ufahamu wa kampeni hii uliboresha kupitia tovuti na pia kupitia mipango ya kutoa mafunzo kwa wahudumu wa vikao vya burudani nchini Kenya, Uganda na Tanzania pamoja na kuwepo na balozi wa Smirnoff wa kimataifa. Smirnoff Black Ice pia ilipata kuzinduliwa nchini Tanzania. Shughuli zote hizi zimesababisha ongezeko la kuvutia katika masoko yote Afrika Mashariki, ikiwa ukuzi wa asilimia 55.

BAILEYS

Zawadi za jadi za Siku ya Wapendanao zilikabiliwa na ushindani mkubwa kutoka kwa bidhaa ya Baileys, ikiendeshwa na kampeni ya kuisimua kwa jina *'Think Outside the Chocolate Box'*. Kwa mujibu wa kampeni hii, tulishuhudia ukuzi wa asilimia 82 kwa mwaka uliopita.

RICHOT

Mvinyo wa Richot ilipata kuzinduliwa upya mwaka huu kwa mandhari ya *"Share the Warmth"* mwezi wa Agosti katika miji ya Nairobi, Nyeri na Nakuru nchini Kenya. Tamasha hii ilijumuisha mapipa ya mvinyo, mziki wa afro-jazz na moto ya kweli. Kwa mujibu wa shughuli hii, mvinyo wa Richot iliweza kupata ukuzi wa asilimia 40.

UGANDA WARAGI

Mwisho wa Machi 2012, chupa mpya ya kupakia mvinyo wa Uganda Waragi ilizinduliwa, ikisisitiza kiburudisho cha kuisimua na kuisitiza nafsi ya kipekee ya Kiganda. Matokeo ya uzinduzi mpya yalikuwa yakusisimua, tulishuhudia ukuzi wa asilimia 37 zaidi ya matokeo ya mwaka uliopita.

Mwaka huu ulishuhudia Kampuni ya EABL ikibakia kama kiongozi katika kuvumbua bidhaa mpya ambazo ni zaidi ya vinywaji tu; pia ni taarifa inayoashiria mitindo ya kibinafsi na miondoko. Ili kukidhi mahitaji na matarajio ya soko tulivumbua bidhaa mpya na ya kusisimua kama vile Tusker Lite, Pilsner Ice na SNAPP.

TUSKER LITE

Ikiwa na kiwango cha chini cha sukari, Tusker Lite ilipokelewa vema hasa miongoni mwa vijana. Hii ilitupea nafasi ya kuongeza nembo ya Tusker Lite katika familia ya bidhaa aina ya Tusker. Uzinduzi huu ulikuwa nafasi tosha ya kumualika magwiji wa nyimbo za R&B, Donell Jones na Joe, kwa tamasha la "Discover the Tusker Lite Experience" mjini Nairobi ambapo mandhari ya "take it easy" ilitanda kwenye tukio hilo. Tusker Lite ina ladha murwa, kiwango cha chini cha sukari na ilipokelewa vyema, kupelekea ukuzi wa asilimia 17 kwa bidhaa za Tusker.



PILSNER ICE

Pilsner Ice ilizinduliwa upya kama kiburudisho sambamba ikiwa imepakwa upya kuwavutia haswa vijana wa kiume wa kisasa ambao wanataka kufurahia kinywaji cha pekee katika kanda ya Afrika Mashariki kilichotengenezwa ndani ya barafu. Bado ina ladha ya kuvutia ya kipekee, kwenye chupa mpya ya kisasa. Kulikuwa na shughuli za mauzo kwenye sehemu mbalimbali za burudani zilizofana sana, kwa jina "Ice Patrol Parties".



SNAPP

Vidoshio wa kisasa ni wajasiri na wajuzi wa mitindo na miondoko mamboleo. Tulikumbwa na msisimko sana wakati tulipata kuzindua kileo kipya chenye ladha ya matunda kwa jina SNAPP, inayoambatana na hisia za akina dada hao kuwa na maisha timilifu. Ni ladha safi ya tofaa iliyopakwa kwa chupa ya 300ml inayovutia. Baada ya kuzinduliwa, SNAPP ilikuwa mdhamini wa kifahari wa taji lenye ushindani mkubwa la Miss World Kenya.



Utamaduni Moja, Twasherehekea Usia Wetu

Ingawa ni biashara yenye vitengo mbalimbali, tuliendelea kusisitiza mwito wa “*kampuni moja, utamaduni moja*” ambayo ndio njia ya kuhakikisha kwamba tunaendesha shughuli zetu kama biashara moja. Mwaka huu, mkutano wa wafanyakazi wote toka mataifa mbali mbali katika kanda ya Afrika Mashariki ulifanyika katika Makao Makuu ya Kampuni Jijini Nairobi. Mkutano huo ulipata kujumuisha wafanyakazi kutoka vitengo mbalimbali za biashara za Kampuni katika ukumbi moja na kukuza mwito wa kufanya kazi kama timu moja.

Zaidi ya hayo, ushirikiano wa kipekee na wafanyakazi, al maarufu “*Employee Super-Engagement*” unaendelea kupewa kipaumbele katika Kampuni. Shughuli kama vile mikutano ya baraza, siku za kujitumbuiza na familia na utafiti wa kuthamini wafanyakazi zilifanyika kuongeza hali ya kuwasiliana, na hivyo basi kukuza matokeo mema zaidi. Mapendekezo ya Wafanyakazi kati ya vitengo vya EABL vimetapatia kuongezeka katika kipindi cha mwaka huu, ambao ulishuhudia vitengo vya biashara nchini Kenya, Uganda na Tanzania vikigawana vipaji miongoni mwao na kuimarisha zaidi ujuzi na uzoefu wa wafanyakazi, pamoja na kuafikia malengo ya kibiashara ya Kampuni.

Mwaka huu Kampuni pia ilifanya idadi ya kuwapandisha vyeo mameneja wa ngazi ya juu ya usimamizi sambamba na msukumo wetu wa kukuza vipaji katika kanda ya Afrika Mashariki.

Ghala ya Vipaji

Ghala ya vipaji katika Kampuni imeongezeka katika ukubwa na uwezo, huku idadi ya wafanyakazi ikiongezeka mwaka huu hadi wafanyakazi 1775. Katika mazingira ya ushindani, tunatambua haja ya kuhakikisha kuwa vipaji vinatafutwa na kukuzwa kote katika kanda ya Afrika Mashariki. Kudumisha uwiano sahihi kati ya kujenga vipaji zilizopo, sisi tumeingiza vipaji kutoka masoko ya nje na pia kukopa vipaji kutoka kwa vitengo vingine vya biashara vya Diageo kote ulimwnguni.

Tumekuwa na ufanisi mkubwa katika kupangilia rasilimali ya siku za usoni kupitia Mpango wa Pan-African Graduate Early Career. Mwaka huu, wasomi 16 walijajiwa katika maeneo mbalimbali ya biashara nchini na kimataifa, kupitia mchakato wa ushindani mkubwa, ambapo wao watajaribu kupata ujuzi na mazoezi kwenye vitengo mbalimbali vya biashara pamoja na kuendeleza uongozi wao na uwezo wa kazi. Kampuni

ilikuza na kuangazia jinsia tofauti, kwa kuajiri zaidi ya asilimia sitini ya wanawake katika mpango huo.



Mkutano wa Wafanyakazi Wote wa EABL 2012

Ustawi wa Wafanyakazi

Ustawi wa wafanyakazi wetu unaendelea kuchukua sehemu muhimu kwenye Kampuni kote katika kanda. Sera ya matibabu kwa wafanyakazi pia imeboreshwa sanjari na mabadiliko ya mahitaji ya kisasa ya afya. Kliniki ya EABL sasa imeimarishwa kutoa matibabu ya kitaalam iliwa ni pamoja na madaktari wataalamu wa maswala ya akina mama, madaktari wa meno na madaktari wa watoto miongoni mwa maeneo mengine ya utaalamu. Hii ni pamoja na uwepo wa huduma za maabara. Mwaka huu pia ulishuhudia kukamilika kwa kituo cha mazoezi cha wafanyakazi nchini Kenya; ambao ni mpango wa kuhamasisha wafanyakazi kudumisha urari kati ya afya njema na kazi.



Kukuza utamaduni wa Kuopasha Madhara.

Uongozi Bora

Azimio letu kuwa Biashara yenye Ufahari zaidi katika kila soko kanda ya Afrika Mashariki inatiwa nakshi na zana mbalimbali kati yao, Kanuni ya Maadili, ambayo tunasisitiza kuwepo katika Kampuni kupitia mipango mbalimbali. Kwa hiyo, moja ya mipango hiyo ilikuwa kuzindua upya vikao vya “*Pathway of Pride*” na timu ya Udhambi Mwafaka na Maadili ikiendelea na kusisitiza kufuatwa kwa Kanuni ya Maadili Mema na hivyo basi kuitayarisha Kampuni kwa mafanikio ya sasa na baadaye katika eneo la Utawala Bora.

Maji ya Maisha

Maji ni uhai, na ndiyo sababu kuu kwa kampuni ya EABL kuthamini sana mradi wa Maji ya Maisha. Mwaka huu, tuliweza kutoa maji safi na salama kwa wafaidi takriban 550,000 katika kanda ya Afrika Mashariki.

Wakfu wa EABL ulizindua miradi mpya ya maji, ambayo ni pamoja na ujenzi wa bonde la maji kule Emurutoto eneo la Maasai Mara na uboreshaji wa miundombinu ya maji katika miji ya Naivasha na Kilifi kulikokuwa kumechimbwa visima kwa kushirikiana na wadau wetu. Miradi mingine ya maji pia imebuniwa ya kuendeleza mpango wa kuboresha maji na usafi wa mazingira katika maeneo ya Chuka, Athi River na Malindi miongoni mwa maeneo mengine nchini Kenya.

Tunaendelea kulenga uwezesaji wa jamii zetu, na mwezi wa Aprili katika mji wa Limuru, rais wa Diageo barani Afrika, Dkt Nick Blazquez alivumbua mradi wa maji na usafi utakaoendeshwa na watu wenye ulemavu wanaoishi katika eneo hilo. Kituo hiki lililo gharimu shilingi milioni 3 kilijengwa kwa kushirikiana na washirika wa kiufundi, Ecotact Limited na kina uwezo cha kuwahudumia watu takriban 24,000 kwa mwezi.

Kuadhimisha Siku ya Maji duniani, tulibuni miradi mbalimbali katika makazi duni ya mji wa Nairobi, zikiwapo Kariobangi na Korogocho, ikiwa ni pamoja na mfumo mpya wa hifadhi

ya maji itakayoweza kuhudumia pia kituo cha kipekee cha afya cha umma - Kariobangi Health Clinic. Nchini Tanzania, mnamo Machi tulipata kumaliza ujenzi wa mradi wa kuhifadhi maji ya mvua katika Hospitali ya Frelimo, ambapo jumla ya watu 150,000 ya wanapata maji safi.

Wakfu wa EABL kwa ushirikiano na Wizara ya Afya ya Uganda iliweza kuweka hifadhi ya maji yenye uwezo wa kushikilia lita 24,000 ya maji kwa Hospitali ya Mkoa ya Rufaa iliyo mjini Jinja, na ndio hospitali inayowahudumia wananchi wengi kabisa nchini Uganda.

Mazingira

Timu ya E-Green ilijikakamua na kupanda miti kuadhimisha Siku ya Mazingira Duniani kote kwenye Kampuni. Kuanzia, timu hii ilipanda miti ndani ya makao makuu ya EABL nchini Kenya na kisha kupanda jumla ya miti 30,000 kwa kushirikiana na wakulima wa shayiri na wadau wengine katika eneo la Purko ndani ya ngome Mau.

Timu hii pia iliunga na wakereketwa wenza katika zoezi la "Hifadhi Mau" la upanzi wa miti mwezi Mei katika kitongoji cha Eburru, Mau Forest, karibu na mji wa Naivasha. Zoezi hili lilishuhudia upanzi wa jumla ya miti 180,000 katika msimu huu.

Nchini Uganda, timu ya E-Green iliunga na jamii ya Luzira



Mkurugenzi Mtendaji wa Uganda Breweries, Alasdair Musselwhite na Mwenyekiti wa Bodi ya hospitali ya Jinja, Dkt Samson Kintu, katika uzinduzi wa mradi wa kuhifadhi maji mwezi Juni 2012.



Timu ya EABL ya E-Green wakifanya upanzi wa miti huko Nabitalo Parish, eneo la Wakiso, Uganda.



katika zoezi la kusafisha mazingira kwa kina na kupanda miti katika maeneo ya Nabitale Parish, Wakiso.

Katika mwaka huu, tuliweza kukamilisha upanzi wa miti 450,000 katika kanda ya Afrika Mashariki.

Stadi za Maisha

Mradi wa wakfu wa EABL, al maarufu 'Stadi za Maisha' iliadhimisha miaka 10 mwezi Oktoba ikijivunia mafanikio ya kudhamini wanafunzi zaidi ya 160 katika kanda ya Afrika Mashariki. Mpango huu wa masomo ni kwa kushirikiana na jumla ya vyuo vikuu 10 ikiwa ni pamoja na Chuo Kikuu cha Nairobi, Moi na Strathmore nchini Kenya, Chuo Kikuu cha Dar-es-Salaam na Mzumbe nchini Tanzania na Makerere, Kyambogo, Uganda Martyrs na Vyuo Vikuu vya Kikristo nchini Uganda.

Biashara Mwafaka

EABL iliteuliwa kuwa mwanachama wa Mkataba wa Umoja wa Mataifa (Global Compact) na pia Mtandao wa Global Compact nchini Kenya mwezi Mei, ambayo pia ilianzisha kujisajili kwa Kanuni za Maadili kwa makampuni nchini Kenya. Hili ni zoezi

linaloendeshwa na Chama cha Wazalishaji wa Kenya (KAM) kwa kushirikiana na Muungano wa wekezaji wa kibinafsi (Kenya Private Sector Alliance) na Shirikisho la Waajiri la Kenya (FKE) ili kukuza na kuimarisha maadili ya biashara nchini Kenya kuambatana na kanuni za Mkataba wa Umoja wa Mataifa Global Compact ikizingatia Haki za Binadamu, Viwango vya Kazi, Mazingira na Kupambana na Rushwa.

Unywaji wenye Uwajibikaji

Usalama na afya ya jamii yetu ni muhimu sana kwetu. Kunywa pombe kupita kiasi imetambuliwa kusababisha matatizo ya kiafya na kijamii. Wanywaji waliipokea vema sana kampeni ya "Friends Don't let friends Drink and Drive", na asilimia themanini ya watumiaji waliokubali kushiriki katika utafiti mwaka huu walisema kuwa wao sasa wanafahamu kampeni ya Unywaji wenye Uwajibikaji.

Kuongeza ufanisi wa ujumbe huu, pia tulianzisha kampeni la DRINKIQ ambapo zaidi ya wafanyakazi mia nane walishiriki katika kuelimisha na kuwasiliana na jamii kuhusu umuhimu wa kunywa pombe kwa uwajibikaji. Mafanikio ya kampeni hii imewavutia wadau wengine na wao pia wameupitisha ujumbe huu katika mashirika yao.



Waziri wa Ujenzi na Usafiri, Stephen Chebot na Makamu Kamishna wa Trafiki, Sarah Kibwika, wakizindua msafara wa mateksi kuanza rasmi kampeni, mjini Kampala.

DIRECTORS

C Muchene	Group Chairman
N Blazquez*	Group Deputy Chairman
D Hainsworth*	Group Managing Director (Appointed 24th May 2012)
T Barnes*	Group Finance Director (Appointed 16th February 2012)
S Adetu**	
E Mwaniki	
A Shonubi***	
C Gakonyo	
M Bomani****	
S Moriarty*****	(Appointed 16th February 2012)
S Githuku	(Appointed 16th February 2012)
JG Kiereini	(Retired on 16th February 2012)
P Ndegwa	(Resigned 16th February 2012)
C Diezhandino*****	(Resigned 16th February 2012)
R Kemoli	(Resigned 16th April 2012)

*British ** Nigerian ***Ugandan ****Tanzanian *****Irish *****Spanish

COMPANY SECRETARY

Agnes Murgor (Mrs)

Corporate Centre
Ruaraka
P O Box 30161 - 00100 Nairobi, GPO

AUDITOR

KPMG Kenya
Certified Public Accountants

16th Floor, Lonrho House
Standard Street
P O Box 40612 - 00100 Nairobi, GPO

ADVOCATES

Kaplan & Stratton Advocates

Williamson House
4th Ngong Avenue
P.O. Box 40111 - 00100 Nairobi, GPO

Coulson Harney Advocates

Unit A,
Nairobi Business Park
P O Box 10643 - 00100 Nairobi, GPO

PRINCIPAL BANKERS

Standard Chartered Bank Kenya Limited

Standard Chartered Building
Moi Avenue Branch
P O Box 30001 - 00100 Nairobi, GPO

Citibank NA

Citibank House
Upper Hill Road
P O Box 30711 - 00100 Nairobi, GPO

Barclays Bank of Kenya Limited

Barclays Plaza
Loita Street
P O Box 30120 - 00100 Nairobi, GPO

SHARE REGISTRARS

Custody & Registrar Service Ltd

6th Floor, Bruce House
Standard Street
P O Box 8484 - 00100 Nairobi, GPO

REGISTERED OFFICE

East African Breweries Limited

Corporate Centre, Ruaraka
P O Box 30161 - 00100 Nairobi, GPO



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Refreshing Taste.*

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The fruit-flavoured
alcoholic drink.



EXCESSIVE CONSUMPTION OF ALCOHOL IS HARMFUL TO YOUR HEALTH.
STRICTLY NOT FOR SALE TO PERSONS UNDER 18 YEARS. PLEASE DRINK RESPONSIBLY.



Charles Muchene
Group Chairman (55)

Mr Charles Muchene was appointed a non-executive director of the Company in February 2011 and Group Chairman in February 2012. Prior to his appointment to the Board, he was the Country Senior Partner of PricewaterhouseCoopers in Kenya and a highly respected icon in the financial services industry circles.

Mr. Muchene has a wealth of experience as a regional thought leader and opinion shaper on issues affecting businesses in the region, having been co-founder and past chairman, of the East African Business Summit. A Bachelor of Commerce graduate from the University of Nairobi, Mr Muchene is also a Fellow of the Institute of Certified Public Accountants of Kenya as well as a Member of the Institute of Certified Public Secretaries of Kenya and Institute of Directors.

Mr Muchene has in the past served as a member of the Disclosure Standards Committee of the Capital Markets Authority in Kenya and also currently serves on the boards of CIC Stanbic Holdings Limited and CIC Stanbic Bank Limited as well as a number of private companies.



Dr. Nick Blazquez
Group Deputy Chairman (51)

Dr Blazquez was appointed as a Director and Deputy Chairman of the company in August 2005. He is President of Diageo Africa and a member of the Diageo Executive Committee.

He has worked with Diageo for 20 years in a number of senior roles in Asia and Europe. He recently stepped down as Chairman of Private Investors in Africa and is a non-executive Director of both Mercy Corps (UK) and Millennium Promise (UK). He holds a Bachelor of Science from the University of Aberdeen and a Ph.D. from the University of Bristol.



Devlin Hainsworth
Group Managing Director (49)

Mr. Hainsworth joined Diageo in August October 1999 as Managing Director, Guinness Ghana Breweries Limited (GGBL).

In 2007, he was appointed to the position of Africa BST Transformation Director and was responsible for the implementation of the SAP platform across the Diageo's Africa businesses. He was then appointed Managing Director, Guinness Nigeria PLC and Chairman Diageo Brands Nigeria. Before joining GGBL, Mr. Hainsworth worked with SmithKline Beecham and H J Heinz.

Mr. Hainsworth holds a BA in Education (History) from the Trinity College of the University of Cambridge.



Tracey Barnes
Group Finance Director (49)

Ms Barnes joined Diageo in 1998 in Finance, and after a short period at head office, she has been an operational finance director in the Netherlands, Ireland and North America, working closely with sales and marketing, as well as with supply for both spirits and beer business. She joined EABL as the Group Finance Director in March 2012.

She holds a Master of Arts in Biochemistry from Oxford University in the UK and is an associate member of the Institute of Chartered Accountants of England and Wales. Before joining Diageo, she worked as a regional finance manager and a divisional finance director in Eastman Kodak, based in the UK. She trained as an auditor and a management consultant with PricewaterhouseCoopers.



Seni Adetu
Non Executive Director (49)

Mr. Seni Adetu joined Diageo in August 2006 as Managing Director/Vice Chairman, Guinness Ghana Breweries Limited (GGBL). In 2009, he moved to East African Breweries as the Group Managing Director and CEO. Before joining GGBL, Mr. Adetu worked with the Coca-Cola Company where he enjoyed a highly successful 14 year career.

While at Coca-Cola, he held various senior positions including Country General Manager, Marketing Director and Commercial Director. His responsibilities covered various markets across Africa including Nigeria, Kenya and Ghana. Mr Adetu remains on the East African Breweries Limited Board as a non-executive director.

Mr. Adetu is a Chemical Engineering graduate of the University of Lagos, Nigeria, and holds a post-graduate degree, MBA (with specialization in Marketing) from the same university.



Constance Gakonyo
Non Executive Director (47)

Ms Gakonyo has held a variety of positions including Legal Consultant and the Performance Management portfolio for SABMiller Africa and Africa Pty Limited, Strategic Resources Director of Nile Breweries, Director HR and Legal Affairs Castle Brewing Kenya Limited and Group Legal and HR Manager of Standard Newspapers Group Limited.

She holds an LLB, Diploma in Law, MBA (Strategic Management) and is a member of the LSK, CPS and the Chartered Institute of Arbitrators.

She is a successful entrepreneur who also sits on the Board of REAL Insurance Co. Ltd (Kenya, Tanzania and Mozambique), Pampet Limited and Home Afrika Limited.



Evanson Mwaniki
Non Executive Director (74)

Mr. Mwaniki joined the Board in 2000. He is a reputable business leader in Kenya and has had extensive experience both locally and internationally.

He is the Chairman of British American Tobacco (Kenya) Limited, Kenya Airways and a director of Lion of Kenya Insurance Company and East African Packaging Industries Limited. He holds a Bachelor of Arts Degree from the University of London.



Susan Githuku
Non Executive Director (51)

Mrs. Githuku is the Founder and CEO of Human Performance Dynamics (HPD) Africa, a boutique Organizational Development & Human Resources consulting firm. Prior to establishing HPD Africa, she served as the Coca-Cola Africa Group HR Director with responsibility for the people agenda in all the countries in Africa.

Susan is also the Founder of Footprints Press Limited, a publishing house that seeks to tell positive stories of Africa and has recently published two coffee table books that profile high achieving men and women in Kenya entitled: LIFE JOURNEYS. Footprints Press also publishes a monthly contemporary career and culture magazine: THE EDITION.

She holds a Masters Degree in Development Economics from Strathclyde University, Glasgow, Scotland and Bachelor's Degrees in Economics and Psychology from St. Lawrence University, New York, USA.



Dr. Alan Shonubi
Non Executive Director (53)

Dr. Shonubi is an advocate and Notary Public and the founding partner of the Ugandan law firm Shonubi, Musoke & Co. Advocates. Chambers Global has included him in their rank of "the World's Leading Lawyers". He served as lead counsel on the "Porter" commission of inquiry into exploitation of DR Congo resources.

He is a former President of the East Africa Law Society and current Chairman of the National Library of Uganda, and Chairman of Uganda Breweries Limited.

He is a reputable business leader in Uganda and is a director in several private companies including Uganda Batsi Limited, Golf Course Holdings (Garden City), AAR Health Services and Interswitch Uganda Limited.



Mark Bomani
Non Executive Director (80)

Mr. Mark Bomani was appointed a director of the Company in May 2011. He is an advocate in private practice in Tanzania specializing in the provision of consultancies in corporate law, arbitration, conveyancing, and constitutional law. He holds a BA from the Makerere College, Kampala (London University) in history, economics and political science and a Bachelor of Laws from London University.

Mr. Bomani was the first indigenous Attorney General of Tanzania a position he held for 11 years. He has been a senior legal adviser to the Government of Namibia and was a part time Judge of the Court of Appeal of Tanzania.



Siobhan Moriarty
Non Executive Director (50)

Siobhan Moriarty is a lawyer and is currently General Counsel for Diageo Europe Region. She is a graduate of University College Dublin and is a solicitor in both the Republic of Ireland and England & Wales. She held various positions in law firm private practice in Dublin and London and in industry, before joining Diageo in 1997.

During her 15 years with Diageo she has worked in a number of roles, including Corporate M&A Counsel, Regional Counsel Ireland, before taking on responsibility for leadership of legal matters in Europe. She is a member of the Western Europe market executive team and also has oversight of the emerging markets of Russia & Eastern Europe and Turkey.



Agnes Murgor
Group Company Secretary (49)

Mrs. Murgor is a Corporate and Commercial Lawyer with 25 years experience, having been admitted to the Roll of Advocates in Kenya in 1987.

She obtained her Bachelor of Laws Degree from the University of Buckingham and a Masters in International Business Law from the University of London. She worked in Hamilton Harrison & Matthews Advocates, after which she served as a State Counsel in the Attorney General's Chambers in the Treaties and Agreements Department. Thereafter, she was the founding, and remains Senior Partner in the firm of Murgor & Murgor Advocates. Between 2007 and 2011, she served as Group Legal Counsel East African Breweries Limited.

She is an Advocate of the High Court of Kenya, a Member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya.

At East African Breweries Limited, we are committed to the highest standards of corporate governance and business ethics. Recognizing that good corporate governance is key to the enhancement of our business performance, the Board of Directors seeks to discharge its duties and responsibilities in the best interest of the Company, its shareholders, business partners and the community. During the year, the Board focused on improving and strengthening the corporate governance regime of the Company, with strict reference to the Kenyan Capital Markets Authority guidelines on corporate governance practices (the "Corporate Governance Guidelines"), as well as the equivalent guidelines for listed companies in Tanzania and Uganda, and international best practices. The Board is of the opinion that the Company operates in compliance with the Corporate Governance Guidelines.

Board of Directors

The Board of Directors consists of nine non-executive Directors including the Chairman, and two executive Directors. The Chairman and five of the non-executive Directors are considered to be independent, as defined in the Corporate Governance Guidelines, and accordingly over half of the Board is constituted of independent non-executive Directors. The Board is comprised of Directors with mixed skills, experience and competencies, all of which are relevant to the business and is reflective of the broad shareholding structure of the Company, thereby adequately representing minority shareholders. The Board meets at least four times a year and continues to maintain effective control over strategic, financial operational and policy issues. During the year Mr Jeremiah Kiereini and Mr Richard Kemoli retired as Directors after many years' of service to the Company in order to reduce their public commitments. Membership of the Board is as detailed on page 32.

Conflict of Interest

The Company has in place a policy requiring Directors to make full disclosure of any matters in which they may have a personal interest which may result in a conflict of interests when only acting in their capacity as Directors, and to refrain from discussing or voting on matters of potential conflict of interest.

Board Remuneration

The Company has a policy of ensuring that Directors' remuneration is sufficient to attract and retain persons of high calibre in order to run the Company effectively and which is in line with the remuneration of other Directors in competing sectors. Non-executive Directors are paid a monthly fee together with a sitting allowance for every meeting attended. Non-executive Directors are not eligible to participate in the Company's pension or Group remuneration schemes.

Details of non-executive Directors' fees and executive Directors' fees and emoluments are as specified on page 123.

Board Committees

The following standing committees of the Board meet quarterly, or as required.

Board Corporate Governance Committee

The Committee has oversight on the adherence and compliance by the Company to the principles and requirements of good corporate governance and business ethics. In May 2012, the Committee organized a full day Board Awareness Session to review and assess the corporate governance regime of the Company and its effectiveness. The session also sought to reacquaint the members of the Board of their duties and responsibilities as Directors. Its members are Mr. Evanson Mwaniki (Chairman), Mr. Alan Shorubi, Mr. Mark Bornani and Ms. Siobhan Moriarty, of whom three are independent.



Board Audit and Risk Management Committee

The Committee is responsible for monitoring and reviewing the integrity of the financial statements, the effectiveness of the Group's internal control and risk management processes, the transparency of the internal audit function, the efficiency of the Group's procedures for handling whistle blowing allegations and the effectiveness of the external auditor. The Committee over the year continued to review internal risk assessments, internal controls, safety management, business continuity planning and compliance programs. The committee's current members are Mr. Charles Muchene (Chairman), Dr Nick Blazquez and Ms. Constance Gakonyo, and of whom two are independent.

Board Remuneration Committee

The Committee's main responsibility is the review and approval of remuneration for Directors and senior management and staff incentive schemes. The Committee oversaw the staff restructuring program that was conducted across the Group and the implementation of staff reward and incentive schemes. Its members are Dr. Nick Blazquez (Chairman), Mr. Evanson Mwaniki, Mr. Mark Bomanj and Ms. Susan Githuku, of whom three are independent.

Board Nominations Committee

The Committee is mandated to review succession planning within the Board and to identify and nominate for the approval of the Board, candidates to fill Board vacancies as and when they arise. A number of positions on the Board fell vacant in the course of the year following the retirement of several former Directors either as a result of retirement by rotation or voluntary resignation. In order to fill these vacancies the Committee was able to nominate competent and skilled candidates for appointment by the Board, to ensure that the Board continues to provide optimal stewardship of the Company. Its membership comprises Dr. Nick Blazquez (Chairman), Mr. Evanson Mwaniki, Ms. Constance Gakonyo and Dr. Alan Shonubi, of whom three are independent.

The Company Secretary

The Company Secretary attends all Board and committee meetings, and is responsible for ensuring that all Board procedures, rules and regulations are adhered to. All members of the Board have direct and unrestricted access to the Company Secretary.

Business Ethics

The Company has continued to place great emphasis on business ethics and has embedded a world class Code of Business conduct that guides all employees and those representing the Company when making business decisions and agreeing priorities. The Code is aligned to globally accepted standards and meets the requirements of local laws as well as internationally applicable laws and regulations. Continuous internal monitoring and training ensures that all staff perform their duties and responsibilities in a compliant and ethical manner.

Other Declarations

None of the Directors have an interest in the Company's related companies disclosed on page 111 of the Report.

Further, there were no material contracts between the Company and any of the Directors, either still subsisting at the end of the financial year or, if not then subsisting, entered into since the end of the previous financial year. In addition, no loans were granted to any of the Directors during the financial year.



Katika kampuni ya East African Breweries Limited, tumeweka azimio la kuafikia viwango vya juu vya usimamizi, uongozi wa kampuni na maadili ya biashara. Tukitambua kwamba usimamizi bora ni muhimu katika kukuza uzalishaji wetu, Bodi ya Wakurugenzi imekusudia kutekeleza kazi na majukumu yake kwa kuzingatia maslahi ya Kampuni, wanahisa wake, washirika wa biashara na jamii kwa jumla. Katika mwaka huu, Bodi ya EABL ililenga kuboresha na kuimarisha uongozi wa usimamizi wa Kampuni, huku wakizingatia kwa uangalifu kanuni zilizotolewa na Kenya Capital Markets Authority kuhusiana na desturi za uongozi ("Miongozi ya Usimamizi wa Kampuni"), pamoja na miongozo sabambamba kwa makampuni yaliyosajiliwa katika masoko ya hisa ndini Tanzania na Uganda, na usimamizi bora kama inavyotambulika kote ulimwenguni.

[Bodi ina imani kuwa Kampuni inaendeshwa kwa kufuata Miongozo ya Usimamizi wa Makampuni].

Bodi ya Wakurugenzi

Bodi ya Wakurugenzi ina Mwenyekiti, Wakurugenzi tisa wasio na majukumu na Wakurugenzi wawili watendaji. Mwenyekiti na watano kati ya wale wakurugenzi wasiokua na majukumu wanachukuliwa kuwa huru, kama ilivyoelezwa katika mwongozo wa Uongozi wa Kampuni, na ipasavyo, zaidi ya nusu ya Bodi ya Wakurugenzi inajumuisha Wakurugenzi huru wasiokuwa na majukumu. Bodi inakuwa na Wakurugenzi wenye mchanganyiko wa ujuzi mbali mbali na uzoefu, hizi zote zikiwa muhimu kwa Kampuni na pia kuruhusu Bodi ya kutafakari upana wa washika dau wa Kampuni. Halmashauri hukutana angalau mara nne kwa mwaka na inaendelea kudumisha usimamizi mwafaka wa maswala ya kifedha na sera. Mwakani, Bw Jeremiah Kiereini na Bw Richard Kemoli walistaafu kama wakurugenzi baada ya kuhudumu kwa muda wa miaka mingi, ili kupunguza majukumu walizonazo. Uanachama wa Bodi ni kama ilivyo elezwa kwa kina ukurasa 32.

Mgongano wa Maslahi

Kampuni ina sera dhabiti inayohitaji Wakurugenzi kutoa taarifa kamili ya mambo yoyote ambayo wanaweza kuwa na maslahi binafsi na hivyo basi kusababisha mgongano wa maslahi wakati wa kutekeleza majukumu yao kama Wakurugenzi, na pia kujitoa katika majadala au kupiga kura kuhusu maswala ambayo wanaweza kuwa na mgongano wa maslahi.

Malipo ya Bodi

Wakurugenzi wasiokuwa na majukumu wanalipwa malipo ya kila mwezi pamoja na posho ya kukaa kwa kila mkutano wanaohudhuria. Wakurugenzi hawa wasiokuwa na majukumu hawana haki ya kushiriki katika mradi wa kampuni wa pensheni au kwenye ratiba ya malipo ya kampuni.

Maelezo zaidi kuhusu malipo ya wakurugenzi wasiokuwa na majukumu pamoja na mishahara ya wakurugenzi watendaji ni kama ilivyoratibishwa kwa ukurasa wa 123.

Kamati za Bodi

Kamati zifuatazo za halmashauri hukutana kila robo mwaka au kama inavyokusudiwa.

Kamati ya Uongozi wa Kampuni

Kamati hii inasimamia kusiitiza kufuatwa kwa kanuni na matakwa ya utawala bora katika shughuli za Kampuni pamoja na kuzingatia maadili ya biashara. Mnamo Mei 2012, kamati hii iliandaa kikao cha siku nzima kwa wakurugenzi kudurusu kauli ya Uongozi wa Kampuni na kutambua maeneo ambayo yanahitaji kuboreshwa. Kikao hicho pia kiliweza kuwapa kumbukumbu washirika kuhusu majukumu na wajibu wao kama Wakurugenzi. Wanachama wa kamati hii ni Bw Evanson Mwaniki (Mwenyekiti), Bw Alan Shonubi, Bw Mark Bormani na Bi Siobhan Moriarty.



Kamati ya Ukaguzi na Kukabiliana na Hatari

Kamati hii ina wajibu wa kufuatilia, kudurusu na kuhakikisha uadilifu wa taarifa za fedha, ufanisi wa udhibiti wa ndani wa Kampuni na michakato ya kukabiliana na hatari, uwazi wa shughuli za ukaguzi wa ndani wa kampuni, ufanisi wa taratibu za kampuni kukabiliana na madai ya utovu kupitia wafanyi kazi wahusika, na ufanisi wa Mkaguzi mkuu wa Kampuni. Kwa mwaka huu, kamati iliendelea kutathmini ukaguzi wa hatari za ndani ya Kampuni, udhibiti wa Kampuni, usimamizi wa usalama na mikakati ya mfululizo wa biashara pamoja na mipango ya kufuata maadili. Wanakamati kwa sasa ni Bw Charles Muchene (Mwenyekiti), Dkt Nick Blazquez na Bi Constance Gakonyo.

Kamati ya Malipo

Jukumu kuu la Kamati ya Malipo ni kudurusu na kuidhinisha malipo ya Wakurugenzi, wasimamizi wakuu pamoja na miradi ya kuwatia motisha wafanyakazi. Kamati hii ilisimamia mpango wa kukarabati vitengo vya kazi uliofanyika kote kwenye Kampuni na utekelezaji wa malipo ya wafanyakazi na mipango ya motisha. Wanachama wake ni Dkt Nick Blazquez (Mwenyekiti), Bw Evanson Mwaniki, Bw Mark Bomani na Bi Susan Githuku, kati yao watatu ni huru.

Kamati ya Uteuzi wa wakurugenzi wapya

Kamati hii ina jukumu la kudurusu mipango ya mfululizo ndani ya Bodi na kutambua na kuteua wagombeaji watakojaza nafasi za halmashauri kama na ambapo nafasi zitakapotokea. Nafasi kadhaa kwenye Bodi ziliweza kutokea katika kipindi cha mwaka huu kutokana na kustaafu kwa zamu au kustaafu kwa nia binafsi kwa Wakurugenzi wengi. Ili kujaza nafasi hizi, Kamati ilieleza kutambua wagombeaji wenye uwezo na wenye ujuzi kwa ajili ya kuteuliwa na Bodi, ili kuhakikisha kwamba Bodi inaendelea kutoa mwongozo bora kwa Kampuni. Wanachama wake ni Dkt Nick Blazquez (Mwenyekiti), Bw Evanson Mwaniki, Bi Constance Gakonyo na Dkt Alan Shonubi, ambapo kati yao watatu ni huru.

Katibu wa Kampuni

Katibu wa Kampuni huhudhuria mikutano yote ya Bodi na vikao vya kamati za halmashauri. Ni wajibu wake kuhakikisha kwamba taratibu, sharia na kanuni zote za Bodi zimezingatiwa. Wajumbe wote wa Bodi ya wana uwezo wa kuwasiliana na Katibu wa Kampuni moja kwa moja bila vikwazo vyovyote.

Maadili ya Biashara

EABL imeendelea kuweka mkazo mkubwa kwa maadili ya biashara na imehakikisha kanuni za kisasa za utendakazi zipo kutoa mwongozo kwa wafanyakazi wote na pia wale wanaowakilisha Kampuni wakati wa kufanya maamuzi ya kibiasara na kupanga vipaumbele. Kanuni hii imeambatana na viwango vinavyokubaliwa kimataifa na pia sheria za Kenya na sheria za kimataifa zinazotumika. Pia kuna ufuatiliaji mfululizo na mafurzo ya kuhakikisha kwamba wafanyakazi wote wanaifikisha majukumu na wajibu wao kwa namna inavyotakikana na kulingana na maadili.

Makadirio Mengine

Hakuna mkurugenzi aliye na mgongano wa maslahi katika makampuni tanzu ya kundi, kama ilivyoelezwa katika ukurasa wa 111.

Zaidi ya hayo, hakukuwa na mkataba hata mmoja baina ya kampuni na mkurugenzi yeyote, aidha iliyokuwepo kufikia mwisho wa mwaka, au ambayo imevumbuliwa tangu mwaka mpya wa kifedha kuanza.

Aidha, haku na mikopo ambayo ilikabidhiwa Wakurugenzi katika mwaka wa kifedha uliopita.



NOTICE IS HEREBY GIVEN that the NINETIETH ANNUAL GENERAL MEETING of East African

Breweries Limited will be held at Safari Park Hotel, Ruaraka, Nairobi on 23 October 2012 at 11 a.m. for the following purposes:

1. FINANCIAL STATEMENTS

- a) to receive and adopt the audited financial statements for the year ended 30 June 2012 together with the report of the Directors and the Auditors' report thereon **(Resolution 1)**;
- b) to confirm the interim dividend of KShs 2.50 per ordinary share of KShs 2.00 paid on 13th April 2012 and to declare a final dividend of KShs 6.25 per ordinary share of KShs 2.00 payable to shareholders on or about 26th October 2012 to members on the Register at the close of business on 21st September 2012 **(Resolution 2)**;

2. DIRECTORS

a) Elections

- i) To re-elect Devlin Hainsworth who was appointed by the Board on 24th May 2012 to fill a casual vacancy who retires under Article 108 and, being eligible, offers himself for re-election as a director of the Company **(Resolution 3)**;
- ii) to re-elect Tracey Barnes who was appointed by the Board on 16th February 2012 to fill a casual vacancy who retires under Article 108 and, being eligible, offers herself for re-election as a director of the Company **(Resolution 4)**;
- iii) to re-elect Susan Githuku who was appointed by the Board on 16th February 2012 to fill a casual vacancy who retires under Article 108 and, being eligible, offers herself for re-election as a director of the Company **(Resolution 5)**;
- iv) to re-elect Siobhan Moriarty who was appointed by the Board on 16th February 2012 to fill a casual vacancy who retires under Article 108 and, being eligible, offers herself for re-election as a director of the Company **(Resolution 6)**;
- v) to re-elect Constance Gakonyo who retires by rotation under Article 109 and, being eligible, offers herself for re-election as a director of the Company **(Resolution 7)**;

- vi) to re-elect Nick Blazquez who retires by rotation under Article 109 and being eligible offers himself for re-election as a director of the Company **(Resolution 8)**;

b) Remuneration

To note that the Directors are not seeking any increase in their remuneration, which, accordingly, remains as stated in the financial statements;

3. AUDITORS

- a) To appoint KPMG Kenya, the Company's Auditors for the period ending with the next annual general meeting of the Company and to authorise the directors to determine their remuneration **(Resolution 9)**.

4. To transact any other business that may legally be transacted at the meeting.

By Order of the Board

A Murgor (Mrs)
Company Secretary

23rd August 2012

A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote on his behalf. A proxy need not be a member.

A tear-out form of Proxy is given on page 125 for use by members who do not propose to be present at the meeting. A Form of Proxy must be returned to the Company Secretary by no later than 11 a.m. on the 21st day of October 2012, being not less than 48 hours before the time appointed for the meeting.

Pursuant to Article 107 of the Company's Articles of Association, any member, duly qualified to attend and vote at the meeting for which this notice has been issued, may by notice duly signed by him and delivered to the Secretary of the Company not less than seven days and not more than twenty-one (21) days before the day appointed for this meeting propose any other person for election to the Board. Such notice must be accompanied by a notice signed by the person proposed, indicating his willingness to be elected.



ILANI IMETOLEWA kwamba MKUTANO MKUU wa KUMI NA TISA wa kampuni ya East African

Breweries Limited utafanyika katika uga wa hoteli ya Safari Park, Ruaraka, Nairobi tarehe 23 Oktoba mwaka 2012, kuanzia saa tano asubuhi kwa madhumuni yafuatayo:

1. TAARIFA ZA KIFEDHA

- a) kupokea na kupitisha taarifa za fedha zilizokaguliwa kwa mwaka ulioishia 30 Juni 2012 pamoja na ripoti ya Wakurugenzi na ripoti ya Wakaguzi (Azimio la 1);
- b) kuidhinisha mgao wa muda wa shilingi 2.50 kwa kila hisa ya kawaida ya shilingi 2.00 iliyolipwa tarehe 13 Aprili, 2012 na kutangaza mgawo wa mwisho wa shilingi 6.25 kwa kila hisa ya kawaida ya shilingi 2.00 itakayolipwa kwa wanahisa mnamo au 26 Oktoba 2012 kwa wanachama waliosajiliwa kwenye daftari wakati wa kufunga biashara tarehe 21 Septemba, 2012 (Azimio la 2);

2. WAKURUGENZI

a) Uchaguzi

- i) Kumchagua upya Devlin Hainsworth ambaye aliteuliwa na Halmashauri tarehe 24 Mei 2012 kujaza kwa muda nafasi iliyowachwa kwa kustaafu kwa mkurugenzi kwa mujibu wa Kifungu cha 108, na kwa kuwa anahitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa Kampuni (Azimio la 3);
- ii) Kumchagua upya Tracey Barnes, ambaye aliteuliwa na Halmashauri tarehe 16 Februari 2012 kujaza kwa muda nafasi iliyowachwa kwa kustaafu kwa mkurugenzi kwa mujibu wa Kifungu cha 108, na kwa kuwa anahitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa Kampuni (Azimio la 4);
- iii) Kumchagua upya Susan Githuku ambaye aliteuliwa na Halmashauri tarehe 16 Februari 2012 kujaza kwa muda nafasi iliyowachwa kwa kustaafu kwa mkurugenzi kwa mujibu wa Kifungu cha 108, na kwa kuwa anahitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa Kampuni (Azimio la 5);
- iv) Kumchagua upya Siobhan Moriarty ambaye aliteuliwa na Halmashauri tarehe 16 Februari 2012 kujaza kwa muda nafasi iliyowachwa kwa kustaafu kwa mkurugenzi kwa mujibu wa Kifungu cha 108, na kwa kuwa anahitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa Kampuni (Azimio la 6);
- v) kumchagua upya Constance Gakonyo ambaye anastaafu kwa zamu kulingana na Kifungu cha 109,

vi)

b) Malipo

Kufahamu kwamba Wakurugenzi hawatafuti nyongeza yoyote ya malipo yao, hivyo basi, kama ipasavyo, yatabakia kama ilivyo katika taarifa za kifedha;

3. WAKAGUZI

- a) Kuwateua KPMG kama wakaguzi wa Kampuni kwa muda utakaomalizika wakati wa mkutano mkuu wa mwaka ujao, na kuidhinisha wakurugenzi kuamua malipo yao (Azimio la 9).

4. Kushugulikia mambo mengine ambayo yanaweza kujadiliwa kihalali katika mkutano.

Kwa Amri ya Bodi

A Murgor (Bi)
Katibu wa Kampuni
 23rd Agosti 2012

Mwanachama anayeruhusiwa kuhudhuria na kupiga kura kwenye mkutano ana haki ya kumteua mwakilishi mmoja au zaidi kuhudhuria na kupiga kura kwa niaba yake. Mwakilishi si lazima awe mwanachama.

Fomu ya Uwakilishi inapatikana katika ukurasa wa 125 kutumiwa na wanachama ambao hawanui kuhudhuria mkutano. Fomu ya Uwakilishi ni lazima irudishwe kwa Katibu wa Kampuni kabla ya saa tano asubuhi siku ya 21 Oktoba 2012, ikiwa ni muda usiyopungua masaa 48 kabla ya wakati uliotengewa mkutano.

Kwa mujibu wa Kifungu cha 107 katika Kanuni za Kampuni, mwanachama yeyote ambaye amehitimu kihalali kuhudhuria na kupiga kura kwenye mkutano ambao ilani hii imetolewa, anaweza, kwa kutoa tangazo iliyowekwa sahihi na kufikishwa kwa Katibu wa Kampuni kwa muda usiyopungua siku saba (7) na usiokua zaidi ya siku ishirini na moja (21) ya kufanyika kwa mkutano huu, kupendekeza mtu mwingine kwa ajili ya uchaguzi wa Bodi. Notisi hiyo lazima iambatane na notisi iliyotiwa sahihi na yule aliyependekezwa, ikioriesha nia yake ya kukubali kuchaguliwa.



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EAST AFRICAN BREWERIES LTD SHARE REGISTER
TOP 10 SHAREHOLDERS AS AT 30TH JUNE 2012

Rank	Name	Residence	No. of shares	%
1	DIAGEO KENYA LIMITED	Kenyan	338,618,340	42.82%
2	DIAGEO HOLDINGS NETHERLANDS B.V.	Netherlands	35,952,396	4.55%
3	BOARD OF TRUSTEES NATIONAL SOCIAL SECURITY FUND	Kenyan	35,451,120	4.48%
4	STANDARD CHARTERED NOMINEES NON RESIDENT A/C 9300	Kenyan	22,196,427	2.81%
5	GUINNESS OVERSEAS LIMITED	UK	20,628,804	2.61%
6	CFC STANBIC NOMINEES LTD. A/C NR70001	Kenyan	19,184,138	2.43%
7	STANDARD CHARTERED NOMINEES NON RESIDENT A/C 9011	Kenyan	14,037,632	1.78%
8	BARCLAYS (KENYA) NOMINEES LTD A/C 9326	Kenyan	12,648,354	1.60%
9	STANDARD CHARTERED NOMINEES NON RESIDENT A/C KE9273	Kenyan	10,083,932	1.28%
10	JANAKSINH KARSANDAS BABLA & MRS. NIRMALA JANAKSINH BABLA,	Kenyan	6,181,020	0.78%
SHARES SELECTED			514,982,163	65.14%
SHARES NOT SELECTED - 26,348 Shareholders			275,792,193	34.86%
TOTAL ISSUED SHARES			790,774,356	100.00%
TOTAL NO. OF SHAREHOLDERS			26,358	

EABL DIRECTORS' SHAREHOLDING AS AT 30TH JUNE 2012

	A/c No.	Director's Names	Shareholding
1	3001242	Evanson Mwaniki	1,800
2	5675103	Gakonyo Constance Wangul	840
3	494372	Nicholas Blazquez	6,000
4	12733046	Allan Shonubi	2,200

SHAREHOLDING STATUS FOR DIAGEO & ASSOCIATE COMPANIES

	A/c No.	Shareholder's Names	SHARES HELD	% Shareholding
(a)	14971610	Diageo Kenya Limited	338,618,340	42.82%
(b)	3001296	Guinness Overseas Limited	20,628,804	2.61%
(c)	10028150	Diageo Holdings Netherlands BV.	35,952,396	4.55%
(d)	3001292	Diageo Holdings Netherlands BV.	408,894	0.05%
		Total for Diageo Netherlands BV (c)+(d)	36,361,290	4.60%
		Total for Diageo & Associate Companies	395,608,434	50.03%
	Balance Shares	All other shareholders	395,165,922	49.97%
		Issued Share Capital	790,774,356	100.00%



The Directors have pleasure in presenting their report together with the audited financial statements for the year ended 30 June 2012, which disclose the state of affairs of the Group and Company.

1. Principal activities

East African Breweries Limited is a holding Company with subsidiaries involved in the marketing, brewing/manufacturing and selling of drinks, glass containers, malt and barley.

2. Results

The Group results for the year are set out on page 50.

3. Dividends

The Directors recommend a final dividend of Kshs 6.25 per ordinary share to be paid on or about 26 October 2012 to those members on the register at the close of business on 21 September 2012. During the year an interim dividend of Kshs 2.50 per share, amounting to a total of Kshs 1,976,936,000 was paid. The total dividend for the year is therefore Kshs 8.75 per share (2011: Kshs 8.75), amounting to a total of Kshs 6,919,275,615 (2011: Kshs 6,919,275,615).

4. Directors

The Directors who served in the year and to the date of the report are set out on page 32.

5. Auditor

The auditor, KPMG Kenya, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act (Cap. 486).

6. Employees

The Directors are pleased, once again, to record their appreciation for the untiring efforts of all employees of the Company and its subsidiaries.

7. Approval of Financial Statements

The financial statements were approved at a meeting of the Directors held on 23 August 2012.

BY ORDER OF THE BOARD

A Murgor (Mrs)
Company Secretary
23 August 2012



Wakurugenzi wana furaha ya kuwasilisha ripoti yao, pamoja na taarifa za kifedha zilizokaguliwa, kwa mwaka ulioishia 30 Juni 2012, ambayo inaonyesha wazi mambo yalivyo katika Kundi na Kampuni.

1. Shughuli Kuu

East African Breweries Limited ni Kampuni kuu yenye makampuni tanzu yanayoshughulika na uzalishaji, mauzo na ugavi wa vinywaji, chupa, kimea na shayiri.

2. Matokeo

Matokeo ya kikundi kwa muda wa mwaka uliopita umeonyeshwa kwenye ukurasa wa 50.

3. Gawio

Wakurugenzi wanapendekeza mgawo wa mwisho wa Kshs 6.25 kwa kila hisa ya kawaida itakayolipwa karibu na au siku ya 26 Oktoba 2012 kwa wanachama waliosajiliwa katika daftari wakati wa kufunga biashara mnamo 21 Septemba 2012. Mwakani, kulikuwa na mgawo wa muda wa shilingi 2.50 kwa kila hisa, jumla ya shilingi 1,976,936,000 zililipwa. Mgawo wa jumla mwaka huu hivyo basi ni shilingi 8.75 kwa kila hisa (2011: Kshs 8.75), kiasi cha jumla ya shilingi 6,919,275,615 (2011: Kshs 6,919,275,615).

4. Wakurugenzi

Wakurugenzi waliohudumu mwaka huu hadi tarehe ya kutolewa kwa ripoti wameonyeshwa kwenye ukurasa wa 32.

5. Mkaguzi

Wakaguzi, KPMG Kenya, wataendelea na kazi hiyo kuambatana na Sehemu ya 159 (2) ya Sheria zinazosimamia Makampuni (Sura ya 486).

6. Wafanyakazi

Wakurugenzi wana furaha, kwa mara nyingine, kutoa shukrani zao kwa bidii ya wafanyakazi wote wa Kampuni.

7. Kuidhinishwa kwa taarifa za kifedha

Taarifa za kifedha ziliidhinishwa katika mkutano wa Wakurugenzi uliofanyika tarehe 23 Agosti 2012.

KWA AMRI YA HALMASHAURI.

A Murgor (Bi.)

Katibu wa Kampuni

23 Agosti 2012



Wakurugenzi wanawajibika na kutayarisha na kuwasilisha taarifa za kifedha za Kampuni ya EABL ilivyo dhahiri kwenye kurasa wa 50 hadi 123, ambayo inajumuisha taarifa ya hali ya kifedha ya Kundi na Kampuni kufikia Juni 30, 2012, mapato ya Kundi na Kampuni, taarifa ya mapato kwa kina, taarifa ya mabadiliko katika usawa, taarifa ya kauli ya mtiririko wa fedha kwa mwaka uliomalizika na muhtasari wa sera muhimu za uhasibu na maelezo mengine.

Majukumu ya wakurugenzi ni pamoja na: kuamua kwamba msingi wa uhasibu ilivyoelezwa katika lani 2 ni msingi inayokubalika kwa kuandaa na kuwasilisha taarifa za kifedha; kubuni, kutekeleza na kudumisha udhibiti wa ndani unaofaa ili kutayarisha na kuwasilisha taarifa hizi za kifedha pasi na ukosefu wowote – aidha kwa udanganyifu au kwa hitilafu; kuteua na kutumia sera za uhasibu zinazofaa na kufanya makadirio yanayoafikiana na hali halisi.

Kwa mujibu wa Sheria ya Makampuni ya Kenya, Wakurugenzi wanatakiwa kuandaa taarifa za kifedha kila mwaka ambayo inatoa taarifa sahihi ya hali ilivyo katika Kundi na Kampuni kufikia mwisho wa kalenda ya kifedha na matokeo ya shughuli za kampuni kwa mwaka huo. Pia inawapasa wakurugenzi kuhakikisha Kampuni inaweka kumbukumbu za uhasibu ambazo zinaonyesha kwa usahihiwa kutosha hali ya kifedha ya Kundi na Kampuni.

Wakurugenzi wanakubali kuwajibika kwa taarifa za mwaka ambazo zimetayarishwa kwa kutumia sera za uhasibu zinazofaa, zikiungwa mkono na makadirio yanayofaa, sambamba na viwango vya Kimataifa vya kutayarisha Taarifa za Kifedha na kwa namna inayokubaliwa na Sheria zinazosimamia Makampuni nchini. Maoni ya Wakurugenzi ni kwamba taarifa za kifedha zinatoa hali sahihi ya kifedha ya Kundi na Kampuni na matokeo ya uendeshaji wa kundi.

Wakurugenzi pia wanakubali kuchukua jukumu la kudumisha kumbukumbu za uhasibu ambazo zinaweza kutegemewa katika kuandaa taarifa za kifedha, na pia mifumo ya kutosha ya uthibiti wa ndani wa idaraya fedha.

Wakurugenzi wametathmini Kundi na Kampuni kuweza kuendelea kufanya biashara na hawana sababu yeyote ya kuamini kuwa Kundi na Kampuni hazitaweza kuendelea kufanya biashara kwa angalau miezi kumi na miwili ijayo kutoka tarehe ya kutolewa kwa taarifa hii.

Kuidhinishwa kwa taarifa za kifedha

Taarifa hizi za fedha, kama ilivyotajwa hapo awali, ziliidhinishwa na Bodi ya Wakurugenzi tarehe 23 Agosti 2012 na ilitiwa sahihi kwa niabaya halmashauri na:

Devlin Hainsworth
Mkurugenzi

Tracey Barnes
Mkurugenzi



The Directors are responsible for the preparation and presentation of the Group financial statements of East African Breweries Limited set out on pages 50 to 123 which comprise the statement of financial position of the Group and the Company at 30 June 2012, and the Group and Company income statements, statements of comprehensive income, statements of changes in equity and statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances; designing, implementing and maintaining internal control relevant to the preparation and presentation of these financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Under the Kenyan Companies Act the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of the Group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the Group and the Company's ability to continue as a going concern and have no reason to believe the Group and the Company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 23 August 2012 and were signed on its behalf by:

Devlin Hainsworth
Director

Tracey Barnes
Director



Report on the financial statements

We have audited the Group financial statements of East African Breweries Limited set out on pages 50 to 123. These financial statements comprise the consolidated and separate statements of financial position at 30 June 2012, the consolidated and separate income statements and the statements of comprehensive income, statements of changes in equity and statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

As stated on page 46, the Company's Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal control as the Directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company at 30 June 2012, and the Group and Company financial performance and the Group and Company cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- (ii) In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and
- (iii) The Company's statement of financial position is in agreement with the books of account.

KPMG Kenya
Certified Public Accountants
P.O. Box 40612 - 00100, Nairobi GPO
23 August 2012



Ripoti kuhusu taarifa za kifedha.

Turnekagua taarifa za kifedha za kampuni ya East African Breweries zilizowekwa kwenye kurasa 50 hadi 123. Taarifa hizo za kifedha zimejumisha kauli kwa jumla na tofauti ya hali ya kifedha kama ilivyokuwa kufikia tarehe 30 Juni, 2012, mapato ya Kundi na Kampuni, taarifa ya mapato kwa kina, taarifa ya mabadiliko katika usawa, taarifa ya kauli ya mtiririko wa fedha kwa mwaka uliomalizika na muhtasari wa sera muhimu za uhasibu na maelezo mengine

Wajibu wa Wakurugenzi kwa taarifa za fedha

Kama ilivyoelezwa katika ukurasa wa 46, wakurugenzi wa kampuni wanawajibika kwa matayarisho na uwasilishaji wa taarifa hizi za kifedha kwa mujibu wa viwango vya Kimataifa, na kwa namna inayotakiwa na Sheria zinazosimamia Makampuni nchini, na kwa ajili ya udhibiti wa ndani kama ilivyoamuliwa na Wakurugenzi kuwawezesha kuandaa taarifa za kifedha zisizo na ukosefu, aidha kwa udanganyifu au hitaifu.

Wajibu wa Mkaguzi

Wajibu wetu ni kutoa maoni juu ya taarifa hizi za kifedha kulingana na ukaguzi wetu. Tulifanya ukaguzi wetu kuambatana na viwango vya kimataifa vya ukaguzi. Viwango hivi vinatushurutisha kufuata kanuni muhimu ya kimaadili na kutekeleza ukaguzi kwa uangalifu ili kupata uhakika kuwa taarifa za kifedha si za kupotosha.

Ukaguzi unahusisha kutekeleza taratibu za kupata ushahidi wa hesabu kuhusu idadi na ufichuaji kwenye taarifa za kifedha. Taratibu zinazo chaguliwa hutegemea uamuzi wetu, ikiwa ni pamoja na tathmini ya hatari ya ukosefu wa taarifa fulani, aidha kwa udanganyifu au kimakosa. Katika kutathmini hatari hizo, tunaona udhibiti wa ndani kuwa chombo cha maana katika kutayarisha na kuwasilisha taarifa za kifedha ili kuunda taratibu za kukagua zinazofaa, lakini si kwa nia ya kutoa maoni juu ya ufanisi wa udhibiti wa ndani. Pia, ukaguzi unahusisha kutathmini kufaa kwa sera za hesabu zinazotumika na usahihi wa makadirio ya uhasibu yaliyotolewa na wasimamizi, pamoja na kutathmini uwasilishaji wa taarifa za kifedha kwa jumla.

Tunaamini kwamba ushahidi wa ukaguzi tuliopata ni wa kutosha na sahihi kwa kutoa maoni yetu.

Maoni

Kwa maoni yetu, taarifa za kifedha zinatoa ukweli wa hali ya kifedha ya Kundi na Kampuni kufikia tarehe 30 Juni, 2012, na utendaji wa kifedha wa Kundi na Kampuni pamoja na mtiririko wa fedha kwa mwaka uliomalizika 30 June 2012 ni kwa mujibu wa viwango vya kimataifa vya taarifa za kifedha na Sheria zinazosimamia Makampuni nchini Kenya.

Ripoti juu ya mahitaji mengine ya kisheria

Kama inavyotakiwa na Sheria ya Makampuni ya Kenya, tunawaripotia, kwa misingi wa ukaguzi wetu, kwamba:

- (i) Turnepata habari zote na maelezo ambayo kwa kadiri ya uzoefu wetu, yalihitajika kwa minajili ya ukaguzi wetu;
- (ii) Kwa maoni yetu, vitabu vya hesabu vimekuwa vikiwekwa na Kampuni, inavyo onekana kutoka kwa uchunguzi wetu wa vitabu; na
- (iii) Taarifa ya Kampuni ya hali ya kifedha ni sambamba na hali ilivyo katika vitabu vya hesabu.

KPMG Kenya
Wahasibu wa umma walioidhinishwa
P.O. Box 40612 - 00100, Nairobi GPO
23 Agosti 2012



Year ended 30th June 2012



	Notes	2012 Kshs'000	2011 Restated Kshs'000
Revenue	6	55,522,166	44,895,037
Cost of sales		(28,657,047)	(22,828,144)
Gross profit		26,865,119	22,066,893
Other income	7	3,797,208	320,673
Selling costs		(4,588,896)	(3,491,554)
Administrative expenses		(7,450,204)	(6,474,500)
Finance income	10	1,192,359	109,633
Finance costs	10	(4,562,537)	(272,156)
Profit before income tax	8	15,253,049	12,258,989
Income tax expense	11	(4,066,936)	(3,235,329)
Profit for the year		11,186,113	9,023,660
Profit attributable to:			
Equity holders of the Company		10,643,587	7,362,675
Non controlling interest		542,526	1,660,985
Profit for the year		11,186,113	9,023,660
Earnings per share for profit attributable to the equity holders of the Company			
- basic and diluted (Kshs per share)	12	13.46	9.30
Dividends:			
Interim dividends – paid in the year	13	1,976,936	1,976,936
Proposed final dividend for the year	13	4,942,340	4,942,340
		6,919,276	6,919,276

The notes set out on pages 62 to 123 form an integral part of these financial statements.

	Note	2012 Kshs'000	2011 Restated Kshs'000
Profit for the year		11,186,113	9,023,660
Other comprehensive income, net of tax:			
Exchange differences from translation of net foreign operations		(362,871)	179,466
Total comprehensive income for the year		10,823,242	9,203,126
Total comprehensive income for the year attributable to:			
Equity holders of the Company		10,517,604	7,417,771
Non controlling interest		305,638	1,785,355
Total recognised income for the year		10,823,242	9,203,126

The notes set out on pages 62 to 123 form an integral part of these financial statements.

COMPANY INCOME STATEMENT

Year ended 30th June 2012

	Notes	2012 Kshs'000	2011 Restated Kshs'000
Revenue		658,913	632,596
Administrative expenses		(3,091,045)	(2,862,112)
Other income	7	2,901,584	2,960,562
Dividend income receivable		10,160,344	5,400,014
Finance income	10	630,525	109,651
Finance costs	10	(4,135,592)	(302,930)
Profit before income tax		7,124,729	5,937,781
Income tax credit	11	408,159	319,221
Profit for the year		7,532,888	6,257,002
Dividends			
Interim dividends – paid in the year	13	1,976,936	1,976,936
Proposed final dividend for the year	13	4,942,340	4,942,340
		6,919,276	6,919,276

The notes set out on pages 62 to 123 form an integral part of these financial statements.

	2012	2011
	Kshs'000	Restated Kshs'000
Profit for the year	7,532,888	6,257,002
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	7,532,888	6,257,002

The notes set out on pages 62 to 123 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

At 30th June

EABL ANNUAL REPORT & FINANCIAL STATEMENTS 2012



	Notes	2012 Kshs'000	2011 Restated Kshs'000	2010 Restated Kshs'000
Equity attributable to the owners of Parent				
Share capital	14	1,581,547	1,581,547	1,581,547
Share premium	14	1,691,151	1,691,151	1,691,151
Capital reserve	34(a)	1,281,545	1,281,545	1,281,545
Retained earnings		14,985,679	11,261,368	10,817,969
Proposed dividends	13	4,942,340	4,942,340	4,942,340
Share based payment reserve	34(b)	67,046	-	-
Translation reserve	34(c)	284,091	410,074	354,978
		<u>24,833,399</u>	<u>21,168,025</u>	<u>20,669,530</u>
Non controlling interest		2,174,518	5,587,156	3,140,665
Other reserves	15	(18,292,037)	-	-
Total equity		<u>8,715,880</u>	<u>26,755,181</u>	<u>23,810,195</u>
Non-current liabilities				
Borrowings	31	19,982,236	3,917,688	-
Deferred income tax liabilities	17	3,402,418	3,337,309	2,723,855
		<u>23,384,654</u>	<u>7,254,997</u>	<u>2,723,855</u>
Total equity and non-current liabilities		<u>32,100,534</u>	<u>34,010,178</u>	<u>26,534,050</u>
Non-current assets				
Property, plant and equipment	18(a)	31,246,602	28,304,026	16,935,217
Intangible asset – software	19	249,649	380,026	531,226
Intangible asset – Goodwill	20(a)	3,577,191	3,577,191	648,664
Intangible asset – Brand	20(b)	563,005	563,005	-
Prepaid operating lease rentals	21(a)	10,934	29,715	30,262
Investment in associate company	23(a)	-	-	2,465,213
Financial assets		-	97,961	97,562
Other investments	23(d)	10,400	10,400	10,400
Deferred income tax assets	17	868,762	236,583	141,023
		<u>36,526,543</u>	<u>33,198,907</u>	<u>20,859,567</u>
Current assets				
Inventories	25	7,957,272	4,399,365	3,465,054
Trade and other receivables	26(a)	8,189,805	7,066,073	5,593,453
Current income tax recoverable		912,723	740,353	405,251
Term deposits	30(c)	-	-	6,570,036
Cash and bank balances	30(c)	997,973	1,649,453	1,325,079
		<u>18,057,773</u>	<u>13,855,244</u>	<u>17,358,873</u>
Disposal assets held for sale	23(b)	-	2,465,213	-
		<u>18,057,773</u>	<u>16,320,457</u>	<u>17,358,873</u>
Current liabilities				
Trade and other payables	27(a)	15,327,378	13,581,299	9,922,149
Current income tax payable		492,442	352,772	1,454,193
Borrowings	31	6,048,542	1,229,970	-
Dividends payable		615,420	345,145	308,048
		<u>22,483,782</u>	<u>15,509,186</u>	<u>11,684,390</u>
Net current (liabilities)/assets		<u>(4,426,009)</u>	<u>811,271</u>	<u>5,674,483</u>
Net assets		<u>32,100,534</u>	<u>34,010,178</u>	<u>26,534,050</u>

The financial statements on pages 50 to 123 were approved by the Board of Directors on 23 August 2012 and were signed on their behalf by:

Director: Devlin Hainsworth

Director: Tracey Barnes

The notes set out on pages 62 to 123 form an integral part of these financial statements.

	Notes	2012 Kshs'000	2011 Restated Kshs'000	2010 Restated Kshs'000
Capital & Reserves				
Share capital	14	1,581,547	1,581,547	1,581,547
Share premium	14	1,691,151	1,691,151	1,691,151
Capital Reserve	34(a)	21,837	21,837	21,837
Retained earnings		2,798,246	2,184,634	2,846,908
Share based payment reserve	34(b)	67,046	-	-
Proposed dividends	13	4,942,340	4,942,340	4,942,340
Total equity		11,102,167	10,421,509	11,083,783
Non-current liabilities				
Borrowings	31	19,469,236	-	-
Deferred income tax liability	17(b)	-	-	4,279
Total equity and non-current liabilities		30,571,403	10,421,509	11,088,062
Non-current assets				
Property, plant and equipment	18(b)	314,609	254,914	56,558
Intangible asset – software	19	249,649	380,026	531,226
Prepaid operating lease rentals	21(b)	1,477	1,547	1,617
Investment in subsidiaries	22	29,844,354	9,273,391	4,330,393
Investment in associate company	23(c)	-	-	5,169,997
Other investments	23(c)	10,400	10,400	10,400
Financial assets		-	97,961	97,562
Deferred income tax asset	17(b)	726,658	123,518	-
		31,147,147	10,141,757	10,197,753
Current assets				
Trade and other receivables	26(b)	13,880,818	4,119,631	3,885,274
Income tax recoverable		389,989	553,081	262,886
Term deposits	30(b)	-	-	6,446,640
Cash and bank balances	30(b)	243,723	491,025	333,370
		14,514,530	5,163,737	10,928,170
Assets held for sale		-	5,169,997	-
		14,514,530	10,333,734	10,928,170
Current liabilities				
Payables and accrued expenses	27(b)	9,874,854	9,708,837	9,729,813
Dividends payable		615,420	345,145	308,048
Borrowings	31	4,600,000	-	-
		15,090,274	10,053,982	10,037,861
Net current (liabilities)/assets		(575,744)	279,752	890,309
Net assets		30,571,403	10,421,509	11,088,062

The financial statements on pages 50 to 123 were approved by the Board of Directors on 23 August 2012 and were signed on their behalf by:

Director: Devlin Hainsworth

Director: Tracey Barnes

The notes set out on pages 62 to 123 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 30th June 2012

EABL ANNUAL REPORT & FINANCIAL STATEMENTS 2012



YEAR ENDED 30TH JUNE 2011

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Total	Non controlling interest	Total Equity
	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000	Kshs' 000
At 1 July 2010	1,581,547	1,691,151	1,473,289 (10,1744)	354,978	10,768,656 40,313	4,942,340	20,811,961 (142,431)	3,140,665	23,952,626 (142,431)
- As previously stated									
- Prior year adjustment*									
As restated	1,581,547	1,691,151	1,281,545	354,978	10,817,969	4,942,340	20,669,530	3,140,665	23,810,195
Comprehensive income									
Profit for the year - restated	-	-	-	-	7,362,675	-	7,362,675	1,660,985	9,023,660
Other comprehensive income	-	-	-	-	-	-	-	-	-
Exchange differences on translation of foreign subsidiaries and associate	-	-	-	55,096	-	-	55,096	12,4370	179,466
Total comprehensive income for the year	-	-	-	55,096	7,362,675	-	7,417,771	1,785,355	9,203,126
Transactions with owners									
Dividends:									
- 2010 final paid	-	-	-	-	-	-	-	1,995,472	1,995,472
- 2011 interim paid	-	-	-	-	(1,976,936)	(4,942,340)	(4,942,340)	(1,274,336)	(6,216,676)
- 2011 final proposed	-	-	-	-	(4,942,340)	4,942,340	-	-	(1,976,936)
Total transactions with owners	-	-	-	-	(6,919,276)	-	(6,919,276)	661,136	(6,258,140)
At 30 June 2011	1,581,547	1,691,151	1,281,545	410,074	11,261,368	4,942,340	21,168,025	5,587,156	26,755,181

* Prior year adjustment arose from change of policy for measurement of the carrying value of property plant and equipment from revaluation model to cost model (Note 16). The notes set out on pages 62 to 123 form an integral part of these financial statements.

(Continued)

	Share capital	Share premium	Capital reserve	Transition reserve	Retained earnings	Proposed dividends	Share based payment reserve	Other reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2011	1,581,547	1,681,151	1,473,289	410,074	11,202,570	4,942,340	-	-	21,300,971	5,587,156	26,888,127
- As previously stated	-	-	(191,744)	-	50,798	-	-	-	(132,946)	-	(132,946)
- Prior year adjustment	-	-	-	-	-	-	-	-	-	-	-
As restated	1,581,547	1,681,151	1,281,545	410,074	11,253,368	4,942,340	-	-	21,168,025	5,587,156	26,755,181
Comprehensive income	-	-	-	-	10,643,587	-	-	-	10,643,587	542,526	11,186,113
Profit for the year	-	-	-	-	-	-	-	-	(125,983)	(256,888)	(382,871)
Other comprehensive income	-	-	-	-	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	10,643,587	-	-	-	10,517,604	305,638	10,823,242
Transactions with owners	-	-	-	-	-	-	-	-	-	(1,827,214)	(1,827,214)
Warrant issued during the year	-	-	-	-	-	-	-	-	-	-	-
Other reserves arising from	-	-	-	-	-	-	-	-	-	-	-
Transactions with minority shareholders	-	-	-	-	-	-	-	-	-	-	-
Share based payment reserve	-	-	-	-	-	-	67,046	-	67,046	-	67,046
Dividends:	-	-	-	-	-	-	-	-	-	-	-
- 2011 final paid	-	-	-	-	-	(4,942,340)	-	-	(4,942,340)	(1,881,062)	(6,823,402)
- 2012 interim paid	-	-	-	-	(1,976,956)	-	-	-	(1,976,956)	-	(1,976,956)
- 2012 final proposed	-	-	-	-	(4,942,340)	4,942,340	-	-	-	-	-
Total transactions with owners	-	-	-	-	(6,919,256)	-	67,046	(18,292,037)	(25,144,267)	(2,718,278)	(28,862,545)
As 30 June 2012	1,581,547	1,681,151	1,281,545	284,091	14,965,679	4,942,340	67,046	(18,292,037)	6,541,362	2,174,518	8,715,880

*Prior year adjustment arose from change of policy for measurement of the carrying value of property, plant and equipment from revaluation model to cost model (Note 16).

The notes set out on pages 62 to 123 form an integral part of these financial statements.

	Share capital Kshs'000	Share premium Kshs'000	Capital reserve Kshs'000	Retained earnings Kshs'000	Proposed dividends Kshs'000	Total Kshs'000
As at 1st July 2010						
- As previously stated	1,581,547	1,691,151	109,693	2,826,460	4,942,340	11,151,191
- Prior year adjustments* (Note 16)	-	-	(87,856)	20,448	-	(67,408)
As restated	1,581,547	1,691,151	21,837	2,846,908	4,942,340	11,083,783
Comprehensive income						
Profit for the year	-	-	-	6,257,002	-	6,257,002
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	6,257,002	-	6,257,002
Transactions with owners						
Dividends						
- Final for 2010 final paid	-	-	-	(1,976,936)	(4,942,340)	(4,942,340)
- Interim for 2011 paid	-	-	-	(4,942,340)	4,942,340	(1,976,936)
- Proposed final for 2011	-	-	-	-	-	-
Total transactions with owners	-	-	-	(6,919,276)	-	(6,919,276)
At 30 June 2011	1,581,547	1,691,151	21,837	2,184,634	4,942,340	10,421,509

The notes set out on pages 62 to 123 form an integral part of these financial statements

(Continued)

Year ended 30th June 2012

	Share capital	Share premium	Capital reserve	Retained earnings	Proposed dividends	Share based payment reserve	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2011	1,581,547	1,691,151	109,893 (87,856)	2,159,911 24,723	4,942,340	-	10,484,642 (63,133)
- As previously stated							
- Prior year adjustments* (Note 16)							
As restated	1,581,547	1,691,151	21,837	2,184,634	4,942,340	-	10,421,509
Comprehensive income							
Profit for the year	-	-	-	7,532,888	-	-	7,532,888
Other comprehensive income	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	7,532,888	-	-	7,532,888
Transactions with owners							
Share based payment	-	-	-	-	-	67,046	67,046
Dividends:							
- Final for 2011 final paid	-	-	-	-	(4,942,340)	-	(4,942,340)
- Interim for 2012 paid	-	-	-	(1,976,936)	-	-	(1,976,936)
- Proposed final for 2012	-	-	-	(4,942,340)	4,942,340	-	-
Total transactions with owners	-	-	-	(6,919,276)	-	67,046	(6,852,230)
At end of year - 30th June 2012	1,581,547	1,691,151	21,837	2,798,246	4,942,340	67,046	11,102,167

The notes set out on pages 62 to 123 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

Year ended 30th June 2012



EABL ANNUAL REPORT & FINANCIAL STATEMENTS 2012

	Notes	2012 Kshs'000	2011 Kshs'000 Restated
Operating activities			
Cash generated from operations	30(a)	14,611,881	14,176,244
Interest income	10	1,192,359	109,633
Interest expense	10	(4,317,432)	(272,156)
Income tax paid		(4,652,253)	(5,136,026)
Net cash generated from operating activities		6,834,555	8,877,695
Investing activities			
Purchase of property, plant and equipment	18 (a)	(6,695,779)	(6,372,916)
Purchase of intangible assets - software	19	(625)	-
Cash outflow on acquisition of subsidiary	15	(20,570,963)	(4,579,402)
Proceeds from disposal of leasehold land and buildings		740,927	1,217,812
Net proceeds from disposal of associate	23	6,111,552	-
Net cash used in investing activities		(20,414,888)	(9,734,506)
Financing activities			
Dividends paid to company's shareholders		(6,649,001)	(6,882,179)
Dividends paid to non-controlling interests		(1,891,062)	(1,274,336)
Proceeds from borrowings	31	26,591,026	1,796,316
Loan repayments	31	(5,440,765)	-
Proceeds from disposal of financial assets		97,961	-
Net cash generated from/(used in) financing activities		12,708,159	(6,360,199)
Net decrease in cash and cash equivalents		(872,174)	(7,217,010)
Movement in cash and cash equivalents			
Cash and cash equivalents at start of year		678,105	7,895,115
Net decrease in cash and cash equivalents		(872,174)	(7,217,010)
Cash and cash equivalents at end of year	30(c)	(194,069)	678,105

The notes set out on pages 62 to 123 form an integral part of these financial statements.

	Notes	2012 Kshs'000	2011 Restated Kshs'000
Operating activities			
Cash used in operations	30(b)	(5,149,707)	(1,339,806)
Interest income	10	630,525	92,803
Interest expense	10	(3,898,453)	(302,930)
Income tax paid		(31,889)	(98,772)
Net cash used in operating activities		(8,449,524)	(1,648,705)
Investing activities			
Purchase of property, plant and equipment	18 (b)	(96,282)	(75,937)
Purchase of intangible assets – software	19	(625)	-
Inter-group transfer of fixed assets		-	(165,000)
Cash outflow on acquisition of subsidiary	15	(20,570,963)	(4,128,298)
Proceeds from disposal of associate	23	6,111,552	-
Proceeds from disposal of financial assets		97,961	-
Proceeds on disposal of property, plant and equip		-	1,211,120
Proceeds on disposal of prepaid operating leases		50,000	-
Net cash used in investing activities		(14,408,357)	(3,158,115)
Financing activities			
Dividends paid to company's shareholders		(6,649,001)	(6,882,179)
Dividends received from subsidiaries		5,190,344	5,400,014
Proceeds from borrowings	31	24,069,236	-
Net cash generated from/(used in) financing activities		22,610,579	(1,482,165)
Net decrease in cash and cash equivalents		(247,302)	(6,288,985)
Movement in cash and cash equivalents			
Cash and cash equivalents at start of year		491,025	6,780,010
Net decrease in cash and cash equivalents		(247,302)	(6,288,985)
Cash and cash equivalents at end of year	30(c)	243,723	491,025

The notes set out on pages 62 to 123 form an integral part of these financial statements.

1 General information

The Company is incorporated as a limited company in Kenya under the Kenyan Companies Act and is domiciled in Kenya. The address of its registered office is as follows:

East African Breweries Limited
Corporate Centre, Ruaraka
PO Box 30161
00100 Nairobi GPO

The consolidated financial statements for the company as at 30 June 2012 and for the year then ended comprise the company and the subsidiaries (together referred to as the Group and individually as 'Group entities') and the Group interest in associates. The Group is primarily involved in marketing, brewing/ manufacture and selling of drinks, glass, containers, malt and barley.

During the year, the Group acquired SABMiller Africa BV's 20% non controlling interest in Kenya Breweries Limited (KBL). KBL is now a wholly owned subsidiary of the Group.

The company's shares are listed on the Nairobi Stock Exchange.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the income statement, in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The financial statements have been prepared under the historical cost convention except where otherwise stated in the accounting policies. The financial statements are presented in Kenya Shillings which is the Company's functional currency. All financial information presented in Kenya shillings have been rounded to the nearest thousand except when otherwise indicated.

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ("the functional currency").

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

(Continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures

Change in accounting policy

During the year, the Group changed its accounting policy with measurement of the carrying value of property plant and equipment from revaluation model to cost model. Results for the years ended 30 June 2010, 2011 and 2012 have been restated. Further details are provided in note 16 to the consolidated financial statements.

(i) Standards, amendments and interpretations to existing standards effective in 2012 but not relevant

Disclosures – Transfers of Financial Assets (Amendments to IFRS 7) – effective 1 July 2011. The amendments introduce new disclosure requirements about transfers of financial assets, including disclosures for:

- Financial assets that are not derecognised in their entirety; and
- financial assets that are derecognised in their entirety but for which the entity retains continuing involvement.

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

The Group's and parent entity's assessment of the impact of these new standards and interpretations is set out below:

- Amendments to IAS 1 'Presentation of Items of Other Comprehensive Income' (effective 1 July 2012). The amendments require that an entity present separately the items of other comprehensive income that would be reclassified to profit or loss in the future if certain conditions are met from those that would never be reclassified to profit or loss. It however does not change the existing option to present profit or loss and other comprehensive income in two statements but changes the title of the statement of comprehensive income to the statement of profit or loss and other comprehensive income. However, an entity is still allowed to use other titles.
- IAS 27 Separate Financial Statements (effective 1 January 2013) contains accounting and disclosure requirements for investments in subsidiaries, joint ventures and associates when an entity prepares separate financial statements. The amendment carries forward the existing accounting and disclosure requirements for separate financial statements, with some minor clarifications.
- Deferred Tax - Recovery of Underlying Assets (Amendments to IAS 12) – effective 1 January 2012. The amendments introduce an exception to the general measurement requirements of IAS 12 Income Taxes in respect of investment properties measured at fair value. The measurement of deferred tax assets and liabilities, in this limited circumstance, is based on a rebuttable presumption that the carrying amount of the investment property will be recovered entirely through sale. The presumption can be rebutted only if the investment property is depreciable and held within a business model whose objective is to consume substantially all of the asset's economic benefits over the life of the asset.

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group (Continued)

- **IAS 19 'Employee Benefits'** – effective 1 January 2013. The amended IAS 19 requires that actuarial gains and losses are recognised immediately in other comprehensive income; this change will remove the corridor method and eliminate the ability for entities to recognise all changes in the defined benefit obligation and in plan assets in profit or loss, which currently is allowed under IAS 19. It also requires that expected return on plan assets recognised in profit or loss is calculated based on the rate used to discount the defined benefit obligation.
- **IAS 28 Investments in Associates and Joint Ventures** (effective 1 January 2013). IAS 28 prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures. It carries forward the existing accounting and disclosure requirements with limited amendments.
- **IFRS 10 'Consolidated Financial Statements'** (effective 1 January 2013). This standard replaces the requirements and guidance in IAS 27 relating to consolidated financial statements. The objective of this standard is to improve the usefulness of consolidated financial statements by developing a single basis for consolidation and robust guidance for applying that basis to situations where it has proved difficult to assess control in practice and divergence has evolved. The basis for consolidation is control and it is applied irrespective of the nature of the investee.
- **IFRS 11 – 'Joint arrangements'** (effective 1 January 2013). IFRS 11 supersedes IAS 31 and SIC-13 relating to Jointly Controlled Entities. The objective of this IFRS is to establish principles for financial reporting by entities that have an interest in arrangements that are controlled jointly. It focuses on the rights and obligations of joint arrangements, rather than the legal form (as is currently the case). It further distinguishes joint arrangements between joint operations and joint ventures; and requires the equity method for jointly controlled entities that are now called joint ventures.
- **IFRS 12 – 'Disclosure of interests in other entities'** (effective 1 January 2013). The objective of this IFRS is to require an entity to disclose information that enables users of its financial statements to evaluate: the nature of, and risks associated with, its interests in other entities; and the effects of those interests on its financial position, financial performance and cash flows.

(Continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

(iii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

- IFRS 13 – 'Fair value measurement' (effective 1 January 2013). IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. It defines fair value, establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. It explains how to measure fair value when it is required or permitted by other IFRSs. It does not introduce new requirements to measure assets or liabilities at fair value, nor does it eliminate the practicability exceptions to fair value measurements that currently exist in certain standards.
- IFRS 9 'Financial Instruments' (effective 1 January 2015) is a new standard on financial instruments that will eventually replace IAS 39. The published standard introduces changes to the current IAS 39 rules for classification and measurement of financial assets. Under IFRS 9 there will be two measurement bases for financial assets: amortised cost and fair value. Financial assets at fair value will be recorded at fair value through profit or loss with a limited opportunity to record changes in fair value of certain equity instruments through other comprehensive income. Financial liabilities are excluded from the scope of the standard.

The standard also differs from existing requirements for accounting for financial assets in various other areas, such as embedded derivatives and the recognition of fair value adjustments in other comprehensive income.

The standard will be applied retrospectively (subject to the standard's transitional provisions).

The Group is currently in the process of evaluating the potential effect of these standards.

(Continued)

2 Summary of significant accounting policies (continued)

(c) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

The Company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Company and when specific criteria have been met for each of the Company's activities as described below. The amount of revenue is not considered to be reliably measurable until all contingencies relating to the sale have been resolved. The Company bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Revenue is recognised as follows:

- (i) Sales of goods are recognised in the period in which the Group delivers products to the customer, the customer has accepted the products and collectibility of the related receivables is reasonably assured.
- (ii) Interest income is recognised on a time proportion basis using the effective interest method.
- (iii) Dividend income is recognised as income in the period in which the right to receive payment is established.

(d) Finance income and expenses

Finance income comprises interest income and foreign exchange gains that relate to borrowings and cash and cash equivalents. Interest income is recognised in profit or loss on a time proportion basis using the effective interest method.

Finance expenses comprise interest expense and foreign exchange losses that relate to borrowings and cash and cash equivalents. Interest income is recognised in profit or loss using the effective interest method.

All other foreign exchange gains and losses are presented in the profit and loss account within 'other income'.

(e) Foreign currency translation

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account.

2 Summary of significant accounting policies (continued)

(b) Basis of Consolidation

(i) Subsidiaries

Subsidiaries are those entities controlled by the Group. Control exists when the Group has the power, directly or indirectly, to govern the financial and operating policies of an enterprise so as to obtain the benefits from its activities. In assessing control, potential voting rights that currently are exercisable are taken into account. The financial statements of the subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the income statement.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Acquisition of minority interests in subsidiaries

The Group applies the economic entity method, under which such transactions are accounted for as transactions between shareholders and there is no remeasurement to fair value of net assets acquired that were previously attributable to minority shareholders.

The Group believes the treatment above closely aligns the accounting for these transactions with the treatment of minority interest as a component of equity and will aid comparability.

(ii) Associates

An associated company is that in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20 and 50 percent of the voting power of another entity. The consolidated financial statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence or joint control commences until the date that significant influence or joint control ceases. When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. Consolidation adjustments are also made to ensure consistency with the Group's accounting policies. Associates are accounted for using the equity method and are initially recognised at cost.

2 Summary of significant accounting policies (continued)

(e) Foreign currency translation (continued)

Consolidation of Group entities

The results and financial position of all the Group entities that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each balance sheet presented are translated at the closing rate at the reporting date;
- income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- all resulting exchange differences are recognised in other comprehensive income.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities, and of borrowings and other currency instruments designated as hedges of such investments, are taken to other comprehensive income. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

(f) Property, plant and equipment

Items of property, plant and equipment are measured at cost, less accumulated depreciation and accumulated impairment losses. Costs include expenditure that is directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the income statement.

Keg barrels, bottles and crates in circulation are recorded within plant, property and equipment at cost net of accumulated depreciation less any impairment loss.

Depreciation is recognised in profit or loss account on a straight-line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings	25 years or the unexpired period of the lease
Plant and machinery	5 – 33 years
Equipment and motor vehicles	4 – 5 years
Bottles	5 years
Crates	10 years

(Continued)

2 Summary of significant accounting policies (continued)

(f) Property, plant and equipment (continued)

Freehold land is not depreciated.

Depreciation methods, useful lives and residual values, if not insignificant, are reassessed annually at each reporting date.

Property, plant and equipment are reviewed annually for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised net within "other income" in the income statement.

(g) Intangible assets

(i) Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives of intangible asset from the date that they are available for use. The estimated useful life is three to five years.

(ii) Goodwill

Goodwill arising on acquisition of subsidiaries and associates is stated at cost less accumulated impairment losses. At the reporting date, the Group assesses the goodwill carried in the books for impairment.

(h) Investment property

Buildings, or part of a building, (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation and which are not occupied by the Company are classified as investment property under non-current assets. Investment property is carried at fair value, representing open market value determined periodically by external valuers. Changes in fair values are included in other operating income in the income statement.

2 Summary of significant accounting policies (continued)

(i) Financial instruments

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. Financial instruments held by the Group include term deposits and receivables arising from day to day sale of goods and services and cash and bank balances.

Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio every balance sheet date to ensure that all financial instruments are appropriately classified.

Financial instruments are measured initially at cost, including transaction costs.

Loans and receivables which include term deposits and receivables arising from day to day sale of goods and services are measured at amortised cost less impairment losses. Amortised cost is calculated on the effective interest rate method.

A financial asset is derecognised when the Group loses control over the contractual rights that comprise that asset. This occurs when the rights are realised, expire or are surrendered. A financial liability is derecognised when it is extinguished.

(j) Leases

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Upon initial recognition the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Other leases are operating leases and, except for investment property, the leased assets are not recognised on the Group's statement of financial position.

Payments made under operating leases are recognised in profit or loss account on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(k) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity). Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(Continued)

2 Summary of significant accounting policies (continued)

(l) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method less provision for impairment. A provision for impairment of receivables is established when there is objective evidence that the Company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the income statement.

(m) Employee benefits

(i) Retirement benefit obligations

The Group operates defined contribution retirement benefit schemes for some of its employees. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees. The Group and all its employees also contribute to the National Social Security Funds, which are defined contribution schemes.

The Group's contributions to the defined contribution schemes are charged to the income statement in the year to which they relate. The Company has no further obligation once the contributions have been paid.

(ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(iii) Share-based payment transactions

The grant date fair value of options granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the period that the employees become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the actual number of share options for which the related service and non-market vesting conditions are met. The Group acquired shares from the market and recognised the expense in the profit and loss upfront.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to terminate employment before the normal retirement date.

2 Summary of significant accounting policies (continued)**(n) Current and deferred income tax**

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is also recognised in other comprehensive income or directly in equity respectively.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the relevant tax legislation. The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the balance sheet date.

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred income tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred income tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill. Deferred income tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Deferred income tax assets and liabilities are offset if there is a legally enforceable right to offset current income tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred income tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Additional income taxes that arise from the distribution of dividends are recognised at the same time as the liability to pay the related dividend is recognised.

(o) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(p) Segmental reporting

Segment information is presented in respect of the Group's geographical segments, which is the primary format and is based on the countries in which the Group operates. The Group has no distinguishable significant business segments.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Inter-segment pricing is determined on an arms length basis.

(Continued)

2 Summary of significant accounting policies (continued)

(q) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

(r) Offsetting financial assets and liabilities

Financial assets and liabilities are offset and the net amount reported on the balance sheet when there is a legally enforceable right to set-off the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(s) Impairment

The carrying amounts of the Group's assets other than inventories (Note (k)) and deferred income tax (Note (n)) are reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss recognised in the income statement whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

(i) Calculation of recoverable amount

The recoverable amount of the Group's investments in held-to-maturity securities and receivables is calculated as the present value of expected future cash flows, discounted at the original effective interest rate inherent in the asset. Receivables with short duration are not discounted.

The recoverable amount of other assets is the greater of their net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

(ii) Reversal of impairment

An impairment loss in respect of a held-to-maturity security or receivable is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised.

An impairment loss in respect of goodwill is not reversed unless the loss was caused by a specific external event of an exceptional nature that is not expected to recur, and the increase in recoverable amount relates clearly to the reversal of the effect of that specific event.

However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for the same asset.

2 Summary of significant accounting policies (continued)

(t) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, bank balances, and deposits held at call with the banks net of bank overdrafts.

(u) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise convertible notes and share options granted to employees.

(v) Payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

(w) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings.

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the balance sheet date.

(x) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(y) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year. Refer to Note 16 on details of impact of changes in accounting policy for property, plant and equipment.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

The Group makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

Fair value estimation

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These include the use of recent arm's length transactions, reference to other instruments that are substantially the same, discounted cash flow analysis, and option pricing models refined to reflect the issuer's specific circumstances.

Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2(g). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations.

Income taxes

The Group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Property, plant and equipment

Critical estimates are made by the Directors in determining depreciation rates for property, plant and equipment. The rates used are set out in Note 2(f) above.

Receivables

Critical estimates are made by the Directors in determining the recoverable amount of impaired receivables. The carrying amount of impaired receivables is set out in Note 4.

ii) Critical judgements in applying Group's accounting policies

In the process of applying the Group's accounting policies, management has made judgements in determining:

- i. the classification of financial assets and leases;
- ii. whether land and buildings meet the criteria to be classified as investment property; and
- iii. whether assets are impaired.

4 Financial risk management objectives and policies

Overview

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, liquidity, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

This note presents information about the Group's exposure to financial risks, the Group's objectives, policies and processes for measuring and managing risk. Further quantitative disclosures are included throughout these financial statements.

The Board has established a risk management committee made up of senior management which is responsible for developing and monitoring the Group's risk management policies which are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Group has established a risk and compliance function, which carries out regular and ad hoc reviews of risk management controls and procedures. The results of this are reported to senior management.

(a) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. The Group's review includes external ratings, where available, and in some cases bank references. Purchase limits are established for each customer, which represents the maximum open amount. These limits are reviewed quarterly.

In monitoring customer credit risk, customers are classified according to their credit characteristics, including whether they are an individual or legal entity, whether they are a wholesale, retail or end-user customer, geographic location, maturity and existence of previous financial difficulties.

The Group establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main components of this allowance are a specific loss component that relates to individually significant exposures. The collective loss allowance is determined based on historical data of payment statistics for similar financial assets.

(Continued)

4 Financial risk management objectives and policies (continued)

Investments

The Group limits its exposure to credit risk by only investing in liquid securities. The Group's main investment is in term deposits with local financial institutions. The carrying amount of financial assets represents the maximum credit exposure.

The maximum exposure to credit risk at the reporting date was:

	2012 Shs'000	2011 Shs'000
Group		
Trade and other receivables	7,655,486	5,706,397
Cash and bank balances (Note 30c)	997,973	1,649,453
Financial Assets	-	97,961
	8,653,459	7,453,811
Company:		
	2012 Shs'000	2011 Shs'000
Trade and other receivables	13,880,818	2,864,592
Cash and bank balances (Note 30c)	243,723	491,025
Financial assets	-	97,961
	14,124,541	3,453,578

The ageing of trade and other receivables at the reporting date was:

	Gross Kshs'000	Impairment Kshs'000	Net Kshs'000
Group			
2012			
Current	6,899,690	-	6,899,690
0-30 days	612,208	(45,901)	566,307
31-120 days	56,105	(4,648)	51,457
120 days and above	711,464	(573,432)	138,032
	8,279,467	(623,981)	7,655,486
2011			
Current	4,871,545	(54,716)	4,816,829
0-30 days	589,727	(6,630)	583,097
31-120 days	279,023	(39,861)	239,162
120 days and above	587,164	(519,855)	67,309
	6,327,459	(621,062)	5,706,397

4 Financial risk management objectives and policies (continued)

The movement in the allowance for impairment in respect of trade receivables and receivables during the year was as follows:

	2012 Shs'000	2011 Shs'000
At start of year	(621,062)	(639,238)
Impairment loss recognised in profit or loss account	(168,249)	(46,323)
Write off / reversals in the year	165,330	64,499
At end of year	(623,981)	(621,062)

The impairment loss recognised relates to the specific customer debtors provision. During the year the Group did not renegotiate the terms of a trade receivable from any long-standing customer.

Company

The ageing of trade and other receivables at the reporting date was:

	Gross 2012 Kshs'000	Impairment 2012 Kshs'000	Net 2012 Kshs'000
2012			
Current	13,880,818	-	13,880,818
2011			
Current	2,864,592	-	2,864,592

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group ensures that it has sufficient cash on demand to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The Group had credit facility arrangements with both a related party and banks as at 30 June 2012. The facilities include up to KShs 8 billion in bank overdrafts and short term loans with various banks across East Africa.

(Continued)

4 Financial risk management objectives and policies (continued)

(b) Liquidity risk (Continued)

Group

The following are the contractual maturities of financial liabilities, including interest payments and excluding the impact of netting agreements:

2012	Total amount	Current	0 – 30 days	31 and above
Financial liabilities	Shs'000	Shs'000	Shs'000	Shs'000
Trade and other payables (Note 27a)	15,327,378	9,550,317	4,214,844	1,562,217
Borrowings (Note 31)	26,030,778	-	-	26,030,778
	41,358,156	9,550,317	4,214,844	27,592,995
2011	Total amount	Current	0 – 30 days	31 and above
Financial liabilities	Shs'000	Shs'000	Shs'000	Shs'000
Trade and other payables (Note 27a)	13,581,299	9,343,837	516,127	3,721,335
Borrowings (Note 31)	5,147,658	-	-	5,147,658
	18,728,957	9,343,837	516,127	8,868,993

Company

The following are the contractual maturities of financial liabilities, including interest payments and excluding the impact of netting agreements:

	Total amount	Current	0 – 30 days	31 and above
Financial liabilities	Kshs'000	Kshs'000	Kshs'000	Kshs'000
2012				
Trade and other payables (Note 27b)	9,422,860	9,422,860	-	-
Borrowings (Note 31)	24,069,236	-	-	24,069,236
	33,492,096	9,422,860	-	24,069,236
2011				
Trade and other payables (Note 27b)	9,708,837	9,708,837	-	-

4 Financial risk management objectives and policies (continued)

(b) Liquidity risk (continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Foreign currency risk

Foreign currency risk arises on sales, purchases and borrowings denominated in currencies other than the functional currency of the entities in the group. Repayments of foreign currency denominated borrowings are financed by receipts of foreign currency debtors, thereby managing the risk.

The table below summarises the Group's exposure to foreign currency risks

2012: Group	EUR '000	GBP '000	TZS '000	UGX '000	USD '000	ZAR '000
Monetary assets						
Cash and bank balances	82	186	-	-	1,746	-
Trade and other receivables	496	24	21,488,629	32,397,084	8,895	-
	578	210	21,488,629	32,397,084	10,641	-
Monetary liabilities						
Trade and other payables	-	(10,791)	-	(53,293,926)	(1,570)	(278)
Borrowings	-	-	(23,548,329)	(22,500,000)	-	-
	-	(10,791)	(23,548,329)	(75,793,926)	(1,570)	(278)
Net open position	578	(10,581)	(2,059,700)	(43,396,842)	9,071	(278)
2011: Group						
Monetary assets						
Cash and bank balances	1,500	15	-	-	3,265	-
Trade and other receivables	701	503	383,222	1,828,819	12,845	2,798
Monetary liabilities						
Trade and other payables	(1,532)	(6,263)	(10)	(3,192,749)	(6,830)	(826)
Net open position	669	(5,745)	383,212	(1,363,930)	9,280	1,972

(Continued)

4 Financial risk management objectives and policies (continued)

(b) Market risk (continued)

2012: Company	EUR '000	GBP '000	TZS '000	UGX '000	USD '000	ZAR '000
Monetary assets						
Cash and bank balances	74	186	-	-	1,715	-
Trade and other receivables	-	50	124,901,817	4,288	5	-
	74	236	124,901,817	4,288	1,720	-
Monetary liabilities						
Trade and other payables	(50)	(6,267)	-	-	-	-
	(50)	(6,267)	-	-	-	-
Net open position	24	6,031	124,901,817	4,288	1,720	-
2011: Company	EUR '000	GBP '000	TZS '000	UGX '000	USD '000	ZAR '000
Monetary assets						
Cash and bank balances	785	15	-	-	2,783	-
Trade and other receivables	31	-	368,515	4,288	-	-
	816	15	368,515	4,288	2,783	-
Monetary liabilities						
Trade and other payables	-	(294)	(10)	(161,843)	(45)	(351)
Net open position	816	(279)	368,505	(157,555)	2,738	(351)

The following exchange rates were applied during the year:

Currency	Average rate		Closing rates	
	2012	2011	2012	2011
EUR-KSHS	118.73	117.44	106.61	129.26
EUR-UGX	3,413.59	3,223.50	3,117.43	3,746.96
GBP-KSHS	140.80	131.56	132.2	143.48
GBP-UGX	4,049.31	3,737.75	3,865.61	4,161.35
KSHS-TZS	18.33	18.43	18.65	18.08
USD-KSHS	88.67	82.41	84.20	89.12
USD-UGX	2,649.97	2,341.01	2,462.17	2,584.69
KSHS-UGX	28.80	28.4	29.24	29
ZAR-UGX	329.72	337.64	301.06	383.18
KSHS-ZAR	11.46	11.88	10.30	13.21

4 Financial risk management objectives and policies (continued)

(c) Market risk (continued)

Sensitivity analysis on foreign currency rates

A 5 percent strengthening of the Kenya shilling against the following currencies at 30 June 2012 would have increased/ (decreased) profit before tax by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remains constant. The analysis is performed on the same basis for 2011.

Group:

Effect in Kenya shillings thousands As at 30 June	Income statement	
	2012	2011
	Kshs'000	Kshs'000
EUR	3,081	(4,325)
GBP	(69,940)	41,215
TZS	5,522	(1,060)
UGX	74,208	2,352
USD	(38,188)	(41,352)
ZAR	(143)	(1,303)
	(25,460)	(4,473)

Company:

Effect in Kenya shillings thousands As at 30 June	Income statement	
	2012	2011
	Kshs'000	Kshs'000
EUR	128	(5,275)
GBP	(39,865)	2002
TZS	334,857	(971)
UGX	7	259
USD	7,241	(12,201)
ZAR	-	232
	302,368	(15,954)

A 5 percent weakening of the Kenya shilling against the above currencies at 30 June 2012 could have had an equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

(Continued)

4 Financial risk management objectives and policies (continued)

(c) Market risk (continued)

(i) Interest rate risk

The Group's interest bearing financial assets and liabilities include bank loans and overdrafts. These are at variable rates, on which they are therefore exposed to cash flow interest rate risk. The Group regularly monitors financing options available to ensure optimum interest rates are obtained. At 30 June 2012, an increase/decrease of 1 percentage point would have resulted in an decrease/increase in consolidated post tax profit of KShs 182,215,446 (2011: KShs 36,033,606), mainly as a result of higher/lower interest charges on variable rate borrowings. The impact on the company's profit would have been KShs 168,484,652 (2011: NIL) higher/lower if the interest rates increased/decreased by 1 percentage point.

The table below summarises the interest rate profile of the Group's financial assets and liabilities.

Group - As at 30 June		Effective interest rate Kshs'000	Total Kshs'000	On demand Kshs'000	Fixed term Kshs'000
2012					
Borrowings		16.08%	26,030,778	1,192,042	24,838,736
2011					
Borrowings		12.27%	5,147,658	971,348	4,176,310

Company - As at 30 June		Effective interest rate Kshs'000	Total Kshs'000	On demand Kshs'000	Due between three and twelve months Kshs'000	Due in over twelve months Kshs'000
2012						
Bank and related party borrowings		16.51%	24,069,236	-	4,600,000	19,469,236
2011						
Borrowings/deposits		-	-	-	-	-

(ii) Equity price risk

The investments are unquoted and there is no readily available market for valuation.

(d) Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital, which the Group defines as total shareholders' equity.

There were no changes in the Group's approach to capital management during the year. The Group is not subject to externally imposed capital requirements

4 Financial risk management objectives and policies (continued)

(e) Fair value

The fair values of significant financial assets and liabilities is the same as the carrying amounts as shown in the statement of financial position.

5 Segmental reporting

Management has determined the operating segments based on the reports reviewed by the Group executive committee that are used to make strategic decisions.

The committee considers the business from a geographical perspective. Geographically, management considers the performance of the business in Kenya, Uganda and Tanzania.

The reportable operating segments derive their revenue primarily from brewing, marketing and selling of drinks, glass containers, malt and barley. The executive committee assesses the performance of the operating segments based on a measure of profit before income tax.

(Continued)

5 Segmental reporting (continued)

The segmental information provided to the executive committee is as follows.

	Kenya		Uganda		Tanzania		Eliminations		Consolidated	
	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	Restated 2011 Kshs'000
External sales	38,196,055	33,338,703	10,310,980	7,567,541	7,015,131	3,988,793	-	-	55,522,166	44,895,037
Inter segment sales	6,588,152	5,523,805	399,846	249,428	-	88,522	(9,987,998)	(5,861,755)	-	-
Total sales	44,784,207	38,862,508	10,710,826	7,816,969	7,015,131	4,077,315	(9,987,998)	(5,861,755)	55,522,166	44,895,037
Segment profit from operations	17,172,190	12,315,670	1,865,801	700,337	(415,754)	(629,980)	-	-	16,623,227	12,412,027
Net finance income costs	(2,300,404)	10,798	(137,656)	5,539	(932,098)	(178,860)	-	-	(3,370,178)	(162,523)
Profit before income tax	14,871,786	12,326,468	1,728,145	705,876	(1,347,852)	(782,840)	-	-	13,253,049	12,249,504
Income tax expense	(4,048,558)	(3,240,130)	(531,123)	(256,862)	512,745	270,663	-	-	(4,066,936)	(3,235,329)
Segment results	10,823,198	9,077,338	1,198,022	449,014	(835,107)	(512,177)	-	-	11,186,113	9,014,175
Non-controlling interest results									(542,526)	(1,660,985)
Net profit for the year									10,643,587	7,353,190

5 Segmental reporting (continued)

Reportable segments assets and liabilities agree to the consolidated assets as follows.

OTHER INFORMATION	Kenya		Uganda		Tanzania		Eliminations		Consolidated	
	2012	2011	2012	2011	2012	2011	2012	2011	2012	Re-stated 2011
	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Segment assets	37,505,906	32,196,779	7,606,967	5,818,359	9,831,520	11,508,881	-	-	54,944,393	49,519,019
Segment liabilities	36,857,417	10,436,610	7,270,021	4,215,254	3,708,832	8,172,139	-	-	47,836,270	22,824,003
Capital expenditure	3,588,331	2,588,582	1,587,924	1,747,364	1,520,149	2,040,020	-	-	6,697,029	6,372,966
Depreciation expense and amortisation	2,066,515	1,793,441	436,323	330,853	622,577	537,477	-	-	3,125,446	2,661,771

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Segment revenue is based on the geographical location of both customers and assets. Sales between segments are carried out at arms length.

The revenue from external parties reported to the executive committee is measured in a manner

consistent with that in the income statement. There is no reliance on individually significant customers by the group.

The amounts provided to the executive committee in respect to total assets and total liabilities are measured in a manner consistent with that of the financial statements.

(Continued)

6 Revenue

Gross sales
Indirect taxes

2012
Kshs '000

89,846,657
(34,324,491)

55,522,166

2011
Kshs '000

75,569,595
(30,674,558)

44,895,037

7 Other (expenses)/ income

a) Group

Profit on disposal of associate (Note 23(b))
Profit on disposal of property, plant and equipment
Sundry other income/ (expenses)
Impairment losses movement –bad debts
Stock obsolescence
Rental income
Impairment losses on property plant and equipment
Transactional foreign exchange losses

3,646,339

643,659

86,028

(2,919)

8,510

3,719

(329,816)

(258,312)

3,797,208

-

1,186,523

30,454

18,176

(82,621)

11,904

(706,571)

(137,192)

320,673

b) Company

Management fees
Profit on disposal of business (Note 23(c))
Impairment losses movement –bad debts
Profit on disposal of property, plant and equipment
Rental Income
Transactional foreign exchange losses
Sundry other income/ (expenses)

1,969,028

941,555

54,299

38,777

36

(102,111)

-

2,901,584

1,929,234

-

25,080

1,186,523

554

(114,992)

(65,837)

2,960,562

Other operating expenses (Net)

8 Expenses by nature

The following items have been charged in arriving at the profit before income tax:

2012
Kshs '000

Depreciation on property, plant and equipment
(Note 18(a))
Amortisation of intangible asset – software (Note 19)
Impairment of property, plant and equipment
Amortisation of prepared operating lease (Note 21)
Staff costs (Note 9)
Auditors' remuneration – current year
- Prior year under provision

2,993,891

131,002

329,816

523

5,759,300

27,256

8,497

2011
Kshs '000

2,510,024

151,200

706,571

547

5,039,632

29,160

-

		2012	2011
		Kshs '000	Kshs '000
9 Staff costs			
a) Group			
Salaries and wages		4,760,551	4,106,326
Defined contribution scheme		188,181	141,592
National Social Security Funds		94,279	78,182
Share based payments expense		67,046	-
Other staff costs		649,243	713,532
		5,759,300	5,039,632
b) Company			
Salaries and wages		721,207	866,338
Share based payments expense		67,046	-
Defined contribution scheme		38,473	19,148
National Social Security Funds		8,300	5,860
Other staff costs		156,667	137,217
		991,693	1,028,563
10 Net finance income			
a) Group			
<u>Finance income</u>			
Interest income		1,192,359	97,711
Foreign exchange gains on cash and cash equivalents		-	11,922
		1,192,359	109,633
<u>Finance cost</u>			
Interest expense		(4,317,432)	(272,156)
Forex loss on deferred consideration		(218,886)	-
Foreign exchange losses on cash and cash equivalents		(26,219)	-
		(4,562,537)	(272,156)
		(3,370,178)	(162,523)
b) Company			
<u>Finance income</u>			
Interest income		630,525	92,803
Foreign exchange gains on cash and cash equivalents		-	16,848
		630,525	109,651
<u>Finance cost</u>			
Interest expense		(3,898,453)	(302,930)
Forex loss on deferred consideration		(218,886)	-
Foreign exchange losses on cash and cash equivalents		(18,253)	-
		(4,135,592)	(302,930)
		(3,505,067)	(193,279)

(Continued)

11 Income tax
a) Group
Income tax expense

Current income tax
Over/(under) provision of current tax in prior year

4,457,165
162,388

4,085,900
(173,145)

4,619,553
3,912,755

Deferred income tax credit (Note 17(a))
Over/(under) provision of deferred tax in prior year

(552,617)
-

(585,749)
(91,677)

Deferred income tax expense (credit)

(552,617)

(677,426)

4,066,936
3,235,329

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

Profit before income tax

15,253,049
12,258,989

Tax calculated at the domestic statutory income tax rates of 30% (2011 – 30%)

4,575,915
3,677,697

Tax effects of:

Expenses not deductible for tax purposes

601,937
178,457

Income not subject to tax

(1,273,304)
(356,003)

Over/(under) provision in prior year – income tax

162,388
(173,145)

Over/(under) provision in prior year – deferred tax

-
(91,677)

Income tax expense

4,066,936
3,235,329

11 Income tax (Continued)

b) Company

Income tax expense

	2012	2011
	Kshs '000	Restated Kshs '000
Current income tax	-	-
Over/(under) provision of current tax in prior year	194,981	(191,424)
	194,981	(191,424)
Deferred income tax credit (Note 17(b))	(603,140)	(127,797)
	(408,159)	(319,221)

The tax on the Company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2012	2011
	Kshs '000	Restated Kshs '000
Profit before income tax	2,154,729	5,937,781
Tax calculated at the domestic statutory income tax rates of 30% (2011 – 30%)	646,419	1,781,334
Tax effects of:		
Expenses not deductible for tax purposes	561,768	66,831
Income not subject to tax	(1,811,327)	(1,975,962)
Over/(under) provision in prior year – current tax	194,981	(191,424)
Income tax credit	(408,159)	(319,221)

(Continued)

12 Earnings per share

The calculation of basic earnings per share at 30 June 2012 was based on profit attributable to ordinary shareholders of Kshs 10,643,587,000 (2011: Kshs 7,362,675,000 restated) and a weighted average number of ordinary shares outstanding during the year ended 30 June 2012 of 790,774,356 (2011 – 790,774,356). There are no dilutive shares.

13 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. A final dividend in respect of the year ended 30 June 2012 of Kshs 6.25 per share (2011: Kshs 6.25) amounting to a total of Kshs 4,942,339,725 (2011: Kshs 4,942,339,725) has been proposed. During the year an interim dividend of Kshs 2.50 per share, amounting to a total of Kshs 1,976,935,890 was paid. The total dividend for the year is therefore Kshs 8.75 per share (2011: Kshs 8.75), amounting to a total of Kshs 6,919,275,615 (2011: Kshs 6,919,275,615).

Payment of dividends is subject to withholding tax at a rate of 0%, 5% or 10% depending on the residence and the percentage shareholding of the respective shareholders.

14 Share capital

	Number of shares (Thousands)	Ordinary shares Kshs'000	Share premium Kshs'000
Issued and paid up			
Balance at 1 July 2010, 30 June 2011 and 30 June 2012	790,774	1,581,547	1,691,151

The total authorised number of ordinary shares is 1,000,000,000 with a par value of KShs 2 per share. All issued shares are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the company. All shares rank equally with regard to the company assets.

15 Acquisition of the Minority Shareholding in Kenya Breweries Limited

On 25 November 2011, the Group completed the acquisition of SABMiller Africa BV's 20% non-controlling equity stake in Kenya Breweries Limited (KBL), for total consideration of KShs 20.6 billion. This figure was arrived at based on a fair valuation of KBL's business. KBL is now a wholly owned subsidiary of the Group.

Prior to 2008, the excess of acquisition cost over the fair value of assets acquired would have been accounted for as an increase to goodwill. This is in line with management expectations that the acquisition of the non controlling interest is in effect the acquisition of a resource which gives future benefits and is therefore an asset. However, IAS 27(2008) requires that changes in a parent's ownership interest in a subsidiary that do not result in a loss of control are accounted for as transactions between owners in their capacity as owners. Accordingly, the difference between the cash consideration and the carrying value of the net assets attributable to minority interests has been accounted for as a charge to equity in line with the requirements of IAS 27 (2008).

Kenya Breweries terminated a brewing and distribution agreement with SABMiller International BV on 31 May 2011 and has ceased to distribute SABMiller's brands in Kenya.

16 Change in accounting policy for property, plant and equipment

In the fourth quarter of 2012, the Group changed its accounting policy for the measurement of the carrying amount of property, plant and equipment. The Group has elected to voluntarily change its accounting policy from the revaluation model to cost model. In accordance with International financial reporting standards, the change was applied retrospectively. The change in accounting policy is considered to provide more relevant information about the Group's and Company's financial position and enable it to comply with the parent company policy for recognition of property, plant and equipment which is cost model of accounting. The retrospective adjustments had an impact on the consolidated statement of financial position and the consolidated statement of comprehensive income.

The remaining revaluation reserve (capital reserve) represents the surplus recognised prior to adoption of IFRS.

The following table summarises the adjustments made to the statement of financial position following the change in accounting policy:

Group

	Revaluation surplus	Retained earnings	Deferred tax liability	Property, plant and equipment Cost	Accumulated depreciation
	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Balance at 1 July 2010	1,473,289	10,768,656	2,783,675	27,554,990	10,417,522
(Decrease)/Increase from restatement	(191,744)	49,313	(59,820)	(251,561)	(49,310)
Restated balance at 1 July 2010	1,281,545	10,817,969	2,723,855	27,303,429	10,368,212
Balance at 30 June 2011	1,473,289	11,202,570	3,397,129	43,524,012	15,027,220
(Decrease)/Increase from restatement	(191,744)	58,798	(59,820)	(251,561)	(58,795)
Restated balance at 30 June 2011	1,281,545	11,261,368	3,337,309	43,272,451	14,968,425

The effect on statement of comprehensive income is as follows:

	2012 Kshs '000	2011 Kshs '000
Reduction on cost of sales	2,923	2,923
Reduction on administrative expenses	6,562	6,562
Increase on profit for the year	9,485	9,485
Effect on total comprehensive income for the year	9,485	9,485

(Continued)

16 Capital Reserve - Change in policy for property, Plant and Equipment (Continued)

Company

	Revaluation Surplus	Retained Earnings	Deferred tax liability/(asset)	Property, plant and equipment Cost	Accumulated depreciation
	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Balance at 1 July 2010	109,693	2,826,460	29,903	491,392	143,847
(Decrease)/Increase from restatement	(87,856)	20,448	(25,224)	(113,080)	(20,448)
Restated balance at 1 July 2010	21,837	2,846,908	4,679	378,312	123,399
Balance at 30 June 2011	109,693	2,159,911	(98,294)	275,052	125,862
(Decrease)/Increase from restatement	(87,856)	24,723	(25,224)	(113,080)	(20,448)
Restated balance at 30 June 2011	21,837	2,184,634	(123,518)	161,972	105,414

The effect on statement of comprehensive income is as follows:

	2012 Kshs '000	2011 Kshs '000
Reduction on administrative expenses	4,275	4,275
Increase on profit for the year	4,275	4,275
Effect on total comprehensive income for the year	4,275	4,275

17 Deferred income tax

Deferred income tax is calculated using the enacted domestic income tax rate of 30% (2011: 30%). The movement on the deferred income tax account is as follows:

Net deferred tax	30 June 2012 Kshs '000	30 June 2011 Restated Kshs '000
(a) Group		
At 1 July		
- As previously stated	3,160,546	2,642,650
- Prior year adjustment	(59,820)	(59,820)
As restated	3,100,726	2,582,830
Acquisition of subsidiary	-	1,208,749
Credit to income statement (Note 11)	(552,617)	(677,424)
Currency translation difference	(14,453)	(13,429)
At end of year	2,533,656	3,100,726

17 Deferred income tax (Continued)

Presented in the statement of financial position as follows:

	30 June 2012	30 June 2011
	Kshs '000	Restated Kshs '000
(a) Group		
Deferred tax liabilities	3,402,418	3,337,309
Deferred tax assets	(868,762)	(236,583)
At end of year	2,533,656	3,100,726
(b) Company		
At start of year		
- At start of year	(98,294)	29,503
- Prior year adjustment	(25,224)	(25,224)
As restated	(123,518)	4,279
Credit to the income statement	(603,140)	(127,797)
At end of year	(726,658)	(123,518)
Presented in the statement of financial position as follows:		
Deferred tax assets	726,658	123,518

(Continued)

17 Deferred income tax (continued)

Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the profit and loss account are attributable to the following items:

(a) Group	30.6.2011 (restated)	Charged/ (credited) to P/L	Currency changes	30.6.2012
Year ended 30 June 2012	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Deferred income tax liabilities				
Property, plant and equipment:				
	3,581,333	(196,363)	(17,684)	3,367,286
Intangible asset	168,901	-	-	168,901
Unrealised exchange gain	(6,397)	20,511	156	14,270
Tax losses carried forward	(202,776)	201,923	2,162	1,309
Provisions	(203,752)	54,156	248	(149,348)
Deferred income tax liability	3,337,309	80,227	(15,118)	3,402,418
Deferred income tax assets				
Property, plant and equipment	(174,062)	111,366	-	(62,696)
Unrealised exchange gain	(33,913)	8,614	28	(25,271)
Tax losses carried forward	(2,478)	(707,157)	529	(709,106)
Provisions	(26,130)	(45,667)	108	(71,689)
Deferred income tax asset	(236,583)	(632,844)	665	(868,762)
Net deferred income tax liability	3,100,726	(552,617)	(14,453)	2,533,656

17 Deferred income tax (continued)

(a) Group (continued)

Year ended 30 June 2011

Deferred income tax liabilities
Property, plant and equipment:

1.7.2010 (Restated)	On acquisition	Charged/ (credited) to P/L	Currency changes	30.6.2011 (Restated)
Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
3,107,189	1,039,848	(542,519)	(23,184)	3,581,334
-	168,901	-	-	168,901
(49,511)	-	42,396	719	(6,397)
(128,715)	-	(79,099)	5,038	(202,777)
(205,108)	-	(1,757)	3,113	(203,752)

Deferred income tax liability

2,723,855	1,208,749	(580,979)	(14,314)	3,337,309
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Deferred income tax assets

(94,470)	-	(79,592)	-	(174,062)
(21,575)	-	(12,573)	235	(33,913)
(2,573)	-	-	96	(2,478)
(22,405)	-	(4,282)	556	(26,130)

Deferred income tax asset

(141,023)	-	(96,447)	887	(236,583)
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Net deferred income tax liability

2,582,832	1,208,749	(677,426)	(13,427)	3,100,726
-----------	-----------	-----------	----------	-----------

Group

Year ended 30 June 2010

Deferred income tax liabilities
Property, plant and equipment:
Unrealised exchange gain
Tax losses carried forward
Provisions

1.7.2009 (Restated)	Charged/ (credited) to P/L	Currency changes	30.6.2010 (Restated)
Kshs '000	Kshs '000	Kshs '000	Kshs '000
2,791,312	335,735	(19,858)	3,107,189
26,060	(76,290)	719	(49,511)
(8,096)	(125,658)	5,039	(128,715)
(202,922)	(5,297)	3,111	(205,108)

Deferred income tax liability

2,606,354	128,490	(10,989)	2,723,855
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Deferred income tax assets

(88,885)	(5,585)	-	(94,470)
56,775	(78,585)	235	(21,575)
(99,295)	96,626	96	(2,573)
(17,437)	(5,524)	556	(22,405)

Deferred income tax asset

(148,842)	6,932	887	(141,023)
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Net deferred income tax liability

2,457,512	135,422	(10,102)	2,582,832
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(Continued)

17 Deferred income tax (continued)

(b) Company

Year ended 30 June 2012

Deferred income tax liabilities

Property, plant and equipment:

Deferred income tax assets

Unrealised exchange gain / (loss)

Provisions

Tax losses

Net deferred income tax asset

Company

Year ended 30 June 2011

Deferred income tax liabilities

Property, plant and equipment:

Deferred income tax assets

Unrealised exchange gain / (loss)

Provisions

Net deferred income tax liability/(asset)

1.7.2011	Charged/ (credited) to P/L	30.6 .2012
Kshs '000	Kshs '000	Kshs '000
48,112	(38,756)	9,356
32,164	(33,331)	(1,167)
(71,365)	18,831	(52,534)
(132,429)	(549,884)	(682,313)
(171,630)	(564,384)	(736,014)
(123,518)	(603,140)	(726,658)
1.7.2010 (Restated)	Charged/ (credited) to P/L	30.6 .2011
Kshs '000	Kshs '000	Kshs '000
94,253	(46,141)	48,112
(48,783)	80,947	32,164
(41,191)	(162,603)	(203,794)
(89,974)	(81,656)	(171,630)
4,279	(127,797)	(123,518)

17 Deferred income tax (continued)

	1 July 2009 (Restated) Kshs '000	Charged/ (credited) to P/L Kshs '000	30.6.2010 (Restated) Kshs '000
Deferred income tax liabilities			
Property, plant and equipment:	137,539	(43,286)	94,253
Deferred income tax assets			
Unrealised exchange gain / (loss)	43,360	(92,143)	(48,783)
Provisions	(36,029)	(5,162)	(41,191)
	7,331	(97,305)	(89,974)
Net deferred income tax liability	144,870	(140,591)	4,279

(Continued)

18 Property, plant and equipment

(a) Group	Freehold Property	Leasehold buildings	Plant & equipment	Motor vehicles	Returnable packaging materials	Capital work in progress	Total
Year ended 30 June 2012:	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Cost or valuation							
At 1 July 2011	2,119,496	2,474,261	26,045,180	89,190	6,448,319	6,347,566	43,524,012
- As earlier stated	(251,561)	-	-	-	-	-	(251,561)
- Prior year adjustment (Note 16)	1,867,935	2,474,261	26,045,180	89,190	6,448,319	6,347,566	43,272,451
- As restated	-	-	-	-	-	-	-
Additions	-	77,853	388,651	9,404	2,367,018	3,872,833	6,695,759
Transfers from work in progress	158,396	825,461	5,609,422	-	150,190	(6,743,469)	-
Disposals	-	(100,000)	(6,047)	-	-	-	(106,047)
Assets written off	(2)	(13,171)	(373,352)	-	(549,070)	-	(835,595)
Exchange differences	-	(64,222)	(247,148)	(14)	(57,319)	(81,592)	(450,295)
At 30 June 2012	2,026,329	3,200,192	31,306,676	98,580	8,359,138	3,395,338	48,476,253

18 Property, plant and equipment (Continued)

Group (Continued)

Year ended 30 June 2012:

Depreciation and impairment

At 1 July 2011

- As earlier stated

- Prior year adjustment (Note 16)

- As restated

Exchange differences

Charge for the year

On assets disposed

Charge on assets written off

At 30 June 2012

Net book value as at 30 June 2012

Freehold Property Kshs'000	Leasehold buildings Kshs'000	Plant & equipment Kshs'000	Motor vehicles Kshs'000	Returnable packaging materials Kshs'000	Capital work in progress Kshs'000	Total Kshs'000
760,190 (58,795)	444,546 -	10,694,135 -	65,239 -	3,063,110 -	-	15,027,220 (58,795)
700,395	444,546	10,694,135	65,239	3,063,110	-	14,968,425
-	(7,315)	(74,333)	-	(17,920)	-	(99,568)
80,204	84,458	1,684,034	820	1,144,375	-	2,989,891
-	(27,278)	-	-	-	-	(27,278)
-	-	(300,571)	-	(304,248)	-	(605,819)
781,599	494,411	12,002,265	66,059	3,885,317	-	17,229,651
1,244,730	2,705,781	19,394,411	32,521	4,473,821	3,395,338	31,246,602

(Continued)

18 Property, plant and equipment (Continued)

Group (continued)

Year ended 30 June 2011:

Cost or valuation

At 1 July 2010

- As previously stated
- Prior year adjustment (Note 16)
- As restated

Acquisition of subsidiaries (Note 32)

Additions

Transfers from work in progress

Disposals

Assets written off

Exchange differences

At 30 June 2011

Freehold property	Leasehold buildings	Plant & equipment	Motor vehicles	Returnable packaging materials	Capital work in progress	Total
Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
1,963,228	1,168,608	19,218,355	9,930	3,033,006	2,161,860	27,554,990
(251,561)	-	-	-	-	-	(251,561)
1,711,667	1,168,608	19,218,355	9,930	3,033,006	2,161,860	27,303,429
191,604	1,306,704	4,869,570	79,320	1,788,380	2,667,805	11,203,383
-	15,151	191,216	-	2,726,437	3,440,112	6,372,916
1,547	17,183	2,177,700	-	-	(2,196,440)	-
(25,097)	-	(109,850)	-	(685,352)	-	(710,449)
(11,789)	(33,395)	(301,911)	(60)	(331,443)	(1,075)	(442,368)
-	-	-	-	(92,712)	(24,686)	(454,480)
1,867,935	2,474,261	26,045,180	89,190	6,448,319	6,347,566	43,272,451

18 Property, plant and equipment (continued)

Group (continued)

Year ended 30 June 2011:

Depreciation and impairment

At 1 July 2010

- As previously stated
- Prior year adjustment (Note 16)

As restated

On acquisition of subsidiary

Exchange differences

Charge for the year

Charge on assets written off

On assets disposed

At 30 June 2011

Net book value as at 30 June 2011

Freehold property	Leasehold buildings	Plant & equipment	Motor vehicles	Returnable packaging materials	Capital work in progress	Total
Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
670,942	245,930	7,930,1055	9,924	1,560,621	-	10,417,522
(49,310)	-	-	-	-	-	(49,310)
621,632	245,930	7,930,1055	9,924	1,560,621	-	10,368,212
3,786	132,078	1,317,900	55,315	1,062,710	-	2,571,789
-	(6,601)	(70,695)	-	(34,445)	-	(111,831)
76,285	73,229	1,536,796	-	823,714	-	2,510,024
-	-	(19,971)	-	(248,542)	-	(248,513)
(302)	-	-	-	(100,948)	-	(101,250)
701,395	444,546	10,694,135	65,239	3,063,110	-	14,968,425
1,166,540	2,029,715	15,351,045	28,951	3,385,209	6,347,566	28,304,026

(Continued)

18 Property, plant and equipment (continued)

Group (continued)	Freehold property K shs'000	Leasehold buildings K shs'000	Plant & equipment K shs'000	Motor vehicles K shs'000	Returnable packaging materials K shs'000	Capital work in progress K shs'000	Total K shs'000
Year ended 30 June 2010:							
Cost or valuation							
At 1 July 2009	1,963,228	1,166,276	17,895,514	9,990	2,992,427	303,877	24,331,255
- As earlier stated	(251,561)						(251,561)
- Prior year adjustment (Note 16)							
- As restated	1,711,667	1,166,276	17,895,514	9,990	2,992,427	303,877	24,079,694
Exchange differences		(8,057)	(57,206)			(850)	(65,112)
Additions			453,363		337,404	2,995,892	3,786,659
Transfers from work in progress		10,386	1,077,918		20,542	(1,108,846)	-
Assets written off			(151,235)		(317,364)	(28,213)	(496,812)
At 30 June 2010	1,711,667	1,168,608	19,218,355	9,990	3,033,009	2,161,860	27,303,429

18 Property, plant and equipment (continued)

Group (Continued)	Freehold property Kshs'000	Leasehold buildings Kshs'000	Plant & equipment Kshs'000	Motor vehicles Kshs'000	Returnable packaging materials Kshs'000	Capital work in progress Kshs'000	Total Kshs'000
Year ended 30 June 2010:							
Depreciation and impairment							
At 1 July 2009	584,885 (40,310)	211,295	6,843,005	9,924	1,285,396	-	8,934,505 (40,310)
- As earlier stated	-	-	-	-	-	-	-
- Prior year adjustment (Note 16)	-	-	-	-	-	-	-
- As restated	535,575	211,295	6,843,005	9,924	1,285,396	-	8,885,195
Exchange differences	-	(1,920)	(25,920)	-	-	-	(27,840)
Change for the year	86,057	36,564	1,183,640	-	485,282	-	1,791,543
Change on assets written off	-	-	(70,620)	-	(210,057)	-	(280,677)
At 30 June 2010	621,632	245,930	7,930,105	9,924	1,560,621	-	10,368,212
Net book value as at 30 June 2010	1,090,035	922,678	11,288,250	6	1,472,388	2,161,860	16,935,217

(Continued)

18 Property, plant and equipment (continued)

(b) Company	Land Kshs'000	Leasehold buildings Kshs'000	Plant & equipment Kshs'000	Capital work in progress Kshs'000	Total Kshs'000
Year ended 30 June 2012:					
Cost or valuation					
At 1 July 2011					
- As previously stated	140,403	154,500	195,120	1,370	491,393
- Prior year adjustment (Note 16)	-	(113,080)	-	-	(113,080)
As restated	140,403	41,420	195,120	1,370	378,313
Additions	-	-	48,471	47,811	96,282
Disposals	-	-	(120,961)	-	(120,961)
At 30 June 2012	140,403	41,420	122,630	49,181	353,634
Depreciation					
At 1 July 2011					
- As previously stated	-	36,295	111,828	-	148,123
- Prior year adjustment (Note 16)	-	(24,723)	-	-	(24,723)
As restated	-	11,572	111,828	-	123,400
Charge for the year	-	1,551	23,814	-	25,365
Disposals	-	-	(109,740)	-	(109,740)
At 30 June 2012	-	13,123	25,902	-	39,025
Net book amount					
At 30 June 2012	140,403	28,297	96,728	49,181	314,609

18 Property, plant and equipment (continued)

Company (Continued)	Land	Leasehold buildings	Plant & equipment	Capital work in progress	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Year ended 30 June 2011:					
Cost or valuation					
At 1 July 2010					
- As previously stated	-	154,500	120,552	-	275,052
- Prior year adjustment (Note 16)	-	(113,080)	-	-	(113,080)
As restated	-	41,420	120,552	-	161,972
Disposals	(24,597)	-	-	-	(24,597)
Additions	165,000	-	74,567	1,370	240,937
At 30 June 2011	140,403	41,420	195,119	1,370	378,312
Depreciation					
At 1 July 2010					
- As previously stated	-	30,470	95,392	-	125,862
- Prior year adjustment (Note 16)	-	(20,448)	-	-	(20,448)
As restated	-	10,022	95,392	-	105,414
Charge for the year	-	1,551	16,433	-	17,984
At 30 June 2011	-	11,573	111,825	-	123,398
Net book amount At 30 June 2011	140,403	29,847	83,294	1,370	254,914

(Continued)

18 Property, plant and equipment (continued)

Company (Continued)	Leasehold buildings	Plant & equipment	Capital work in progress	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Year ended 30 June 2010:				
Cost or valuation				
At 1 July 2009				
- As previously stated	154,500	109,119	28,213	291,832
- Prior year adjustment	(113,080)	-	-	(113,080)
As restated	41,420	109,119	28,213	178,752
Assets written off	-	-	(28,213)	(28,213)
Additions	-	11,433	-	11,433
At 30 June 2010	41,420	120,552	-	161,972
Depreciation				
At 1 July 2009				
- As previously stated	24,644	80,235	-	104,879
- Prior year adjustment	(20,448)	-	-	(20,448)
As restated	4,196	80,235	-	84,431
Charge for the year	5,826	15,157	-	20,983
At 30 June 2010	10,022	95,392	-	105,414
Net book amount				
At 30 June 2010	31,398	25,160	-	56,558

There are no assets pledged by the Group to secure liabilities other than as disclosed under Note 31.

19 Intangible asset – Software

Group and Company

	2012 Kshs'000	2011 Kshs'000	1 July 2010 Kshs'000
Cost			
At start and end of year	1,264,415	1,264,415	1,264,415
Additions	625	-	-
At end of year	1,265,040	1,264,415	1,264,415
Amortisation			
At start of year	(884,389)	(733,189)	(733,189)
Amortisation during the year	(131,002)	(151,200)	-
At end of year	(1,015,391)	(884,389)	(733,189)
Net book value			
At end of year	249,649	380,026	531,226

20 (a) Intangible asset - Goodwill

Year ended 30 June 2012

	At start of the year cost Kshs'000	On disposal Kshs'000	Cumulative impairment Kshs'000	Net book amount Kshs'000
Uganda Breweries Limited (UBL)	116,415	-	(116,415)	-
EABL International Limited (EABL)	334,249	-	(334,249)	-
Tanzania Breweries Limited	2,129,421	(2,129,421)	-	-
UDV (Kenya) Limited (UDV)	461,662	-	(46,166)	415,496
International Distillers (Uganda) Limited (IDU)	260,324	-	(27,156)	233,168
Serengeti Breweries Limited (SBL)	2,928,527	-	-	2,928,527
Total	6,230,598	(2,129,421)	(523,986)	3,577,191

(Continued)

20 (a) Intangible asset - Goodwill (continued)

Year ended 30 June 2011

	At start of the year cost Kshs'000	On acquisition of subsidiary Kshs'000	Impairment Kshs'000	Net book amount Kshs'000
Uganda Breweries Limited (UBL)	116,415	-	(116,415)	-
EABL International Limited (EABLI)	334,249	-	(334,249)	-
Tanzania Breweries Limited	2,129,421	-	(2,129,421)	-
UDV (Kenya) Limited (UDV)	461,662	-	(46,166)	415,496
International Distillers (Uganda) Limited (IDU)	260,324	-	(27,156)	233,168
Serengeti Breweries Limited (SBL)	-	2,928,527	-	2,928,527
Total	3,302,071	2,928,527	(2,653,407)	3,577,191

The goodwill represents the excess of cost of acquisitions over the fair value of identifiable assets and liabilities of the respective companies.

Impairment testing for cash-generating units containing goodwill

For the purpose of impairment testing, goodwill is allocated to the Group's operating divisions which represent the lowest level within the Group at which the goodwill is monitored for internal management purposes.

(b) Intangible assets (brand)

This represents value of brand intangibles in the acquired subsidiary as calculated under the relief from royalties methodology and based on directors' forecast of brand performance.

	2012 Kshs'000	2011 Kshs'000
On acquisition of subsidiary (Note 32)	563,005	563,005
Deferred tax thereon	(168,901)	(168,901)

21 Prepaid operating lease rentals

Leases of land have been classified as operating leases.

	2012 Kshs'000	2011 Kshs'000	1 July 2010 Kshs'000
(a) Group			
Cost			
At start of year	37,915	37,915	37,915
Disposal	(21,533)	-	-
	16,382	37,915	37,915
Amortisation and impairment			
At start of year	(8,200)	(7,653)	(7,653)
Amortisation for the year	(523)	(547)	-
Eliminated on disposal	3,275	-	-
	(5,448)	(8,200)	(7,653)
Net book value			
At end of year	10,934	29,715	30,262
(b) Company			
Cost			
At start and end of year	2,250	2,250	2,250
Amortisation			
At start of year	(703)	(633)	(633)
Amortisation for the year	(70)	(70)	-
At end of year	(773)	(703)	(633)
Net book value			
At end of year	1,477	1,547	1,617

(Continued)

22 Investments in subsidiaries

	Country of incorporation	Effective incorporation interest	30 June 2012 Kshs'000	30 June 2011 Kshs'000	1 July 2010 Kshs'000
Kenya Breweries Limited	Kenya	100% (2011 & 2010 – 80%)	22,377,809	1,806,847	1,806,847
Salopia Limited	Kenya	100%	200	200	200
Allsopps (EA) Sales Limited	Kenya	100%	2	2	2
East African Breweries (Mauritius) Limited	Mauritius	100%	389	389	389
Central Glass Industries Limited	Kenya	100%	790,288	790,288	790,288
Uganda Breweries Limited	Uganda	98.20%	687,648	687,647	687,647
International Distillers Uganda Limited	Uganda	100%	300,000	300,000	300,000
East African Maltings (Kenya) Limited	Kenya	100%	-	-	-
East African Maltings (Uganda) Limited	Uganda	100%	-	-	-
UDV (Kenya) Limited	Kenya	46.32%	589,410	589,410	589,410
EABL International Limited	Kenya	100%	150,000	150,000	150,000
EABL Tanzania Limited	Tanzania	100%	5,610	5,610	5,610
Serengeti Breweries Limited	Tanzania	51%	4,942,998	4,942,998	-
Kenya Liquor Distributors Limited	Kenya	46.32%	-	-	-
Harp Distributors Limited	Kenya	46.32%	-	-	-
International Distillers Kenya Limited	Kenya	46.30%	-	-	-
Kenya Distillers Limited	Kenya	45.86%	-	-	-
Gilbey's East Africa Limited	Kenya	45.86%	-	-	-
			29,844,354	9,273,391	4,330,393

23 Investments in associates

(a) Group	Effective interest	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
Tanzania Breweries Limited	20%	-	-	2,465,213
At start of year		-	2,465,213	2,465,213
Transfer to assets held for sale		-	(2,465,213)	-
At end of the year		-	-	2,465,213

The above represents the Group share of net assets of the associated company incorporated in the Republic of Tanzania. The asset was reclassified to non-current asset held for sale on 1 July 2010.

23 Investments in associates (continued)

(b) Non-current assets held for sale

The investment in Tanzania Breweries Limited, an associate company was presented as an asset held for sale following the approval of the shareholders in November 2010 to sell the investment.

In January 2012, EABL sold its 20% equity interest in Tanzania Breweries Limited (TBL) for a consideration of Sh 6.6 billion. The investment in TBL was held as an asset for sale and the gain before tax arising on sale after transaction costs analysed below:-

Gain on disposal of associate

	2012 Kshs'000	2011 Kshs'000
Total consideration	6,585,865	-
Transaction costs	(474,313)	-
Net proceeds	6,111,552	-
Less: Carrying value of investment (asset held for sale)	(2,465,213)	-
Gain on disposal of investment (Note 7(a))	3,646,339	-

(c) Company	Effective Interest	2012 Kshs'000	2011 Kshs'000
Tanzania Breweries Limited	20%	-	5,169,997
At start of year		5,169,997	5,169,997
Transfer to non-current assets held for sale		(5,169,997)	-
At end of year		-	5,169,997

Gain on disposal of associate

	2012 Kshs'000	2011 Kshs'000
Total consideration	6,585,865	-
Transaction costs	(474,313)	-
Net proceeds	6,111,552	-
Less: Carrying value of investment (asset held for sale)	(5,169,997)	-
Gain on disposal of investment (Note 7(b))	941,555	-

(Continued)

23 Investments in associates (continued)

(d) Other Investments (Group and Company)

Unquoted: at cost

4,000 ordinary shares (representing 20%) in Sen-Tech Limited
20% Investment in Challenge Fund Limited who in turn have subscribed to
50% in Central Depository and Settlement Corporation Limited

2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
400	400	400
10,000	10,000	10,000
10,400	10,400	10,400

There are no material differences between fair value and cost for these investments.

24 Employees benefit

(a) Equity compensation benefits

The Directors, through an independent trust, are empowered to grant share options to Group employees. These options are granted for a maximum period of ten years and a minimum period of three years at a price determined by the market value ruling on the Nairobi Securities Exchange on the day preceding the day on which the options are granted. The shares to be exercised within this trust have been issued directly through the Company and also purchased at the stock exchange.

Executive share option scheme

Movements in the number of share options held for the employees under the Executive Option Scheme are as follows:

	2012 Number of shares	2011 Number of shares
Outstanding at start of year	1,047,746	1,148,319
Granted during the year	-	153,771
Lapsed	(48,145)	(56,276)
Exercised	(32,860)	(198,068)
Outstanding at end of year	966,741	1,047,746
Exercise price per share – Kshs	160.00	169.00

Options may be exercised at prices ranging between Kshs 75.80 and Kshs 160 (2010 – Kshs . 87.72 and Kshs.157.40). The trading price of EABL shares as at 30 June 2012 on the Nairobi Securities Exchange was Kshs 225 (2011: Kshs 181).

24 Employees benefit (Continued)

b) Employee Share Save Scheme

As at 30 June 2012, the Trust's obligation to members under the employee share save scheme stood at 1,359,191 shares (2011 – 1,324,607)
During the year, Nil (2011 Nil) shares were exercised by employees.

25 Inventories-Group

	2012 Kshs'000	2011 Kshs'000 Restated	2010 Kshs'000 Restated
Raw materials and consumables	5,201,284	2,617,689	2,387,639
Work In Progress	302,843	414,686	282,625
Finished goods	2,188,850	1,152,427	780,460
Goods in transit	264,295	214,563	14,330
	7,957,272	4,399,365	3,465,054

The cost of inventory recognised as an expense and included in cost of sales amounted to Kshs 14,371,891,065 (2011: Kshs. 15,874,685,101)

**26 Receivables and prepayments
(a) Group**

	30 June 2012 Kshs'000	30 June 2011 Kshs'000	1 July 2010 Kshs'000
Trade receivables	4,594,689	3,603,341	2,598,356
Less: Provision for impairment loss	(562,757)	(555,563)	(564,672)
	4,031,932	3,047,778	2,033,684
Other receivables	3,607,449	2,590,408	3,182,411
Less: Provision for impairment loss	(61,224)	(65,499)	(74,566)
Prepayments	534,319	1,359,676	146,305
Receivable from related parties (Note 33)	77,329	133,710	305,619
	8,189,805	7,066,073	5,593,453

Movements on provision for impairment of trade receivables and other recoverables are as follows:

	30 June 2012 Kshs'000	30 June 2011 Kshs'000	1 July 2010 Kshs'000
At start of year	621,062	639,238	639,238
Write off / reversals/charge in the year	2,919	(18,176)	-
	623,981	621,062	639,238

(Continued)

26 Receivables and prepayments (continued)

(b) Company

Other receivables and prepayments
Dividends receivable
Receivable from related parties (Note 33)

30 June 2012
Kshs'000

30 June 2011
Kshs'000

1 July 2010
Kshs'000

141,133
4,970,000
8,769,685

1,264,002
-
2,855,627

380,060
-
3,505,214

13,880,818

4,119,629

3,885,274

27 Payables

(a) Group

Trade payables
Other creditors
Payable to related parties (Note 33)
Deferred consideration (Note 32)

30 June 2012
Kshs'000

30 June 2011
Kshs'000

1 July 2010
Kshs'000

2,792,351
8,399,336
4,135,691
-
4,975,995
5,724,224
2,066,380
814,700
2,170,920
6,620,469
1,130,760
-

15,327,378

13,581,299

9,922,149

(b) Company

2012
Kshs'000

2011
Kshs'000

2010
Kshs'000

Trade payables
Payable to related parties (Note 33)
Deferred consideration (Note 32)
Other creditors

119,892
9,387,333
-
367,629
137,888
8,387,139
814,700
369,110
134,865
9,581,742
-
13,206

9,874,854

9,708,837

9,729,813

28 Contingent liabilities

(a) Group

Contingent liabilities incurred in the ordinary course of business:

Guarantees
Pending legal cases

2012
Kshs'000

2011
Kshs'000

18,368
122,100
1,782,400
45,877

140,468

1,828,277

b) Company

Guarantees

18,368

1,782,400

29 Commitments

i) Capital commitments – Group

Capital expenditure contracted for at the reporting date but not recognised in the financial statements is as follows:

	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
Contracted but not provided for	1,881,960	1,790,192	1,300,446
Authorised but not contracted for	894,893	696,240	925,235

ii) Operating lease commitments

(a) Group leases as lessee

Two subsidiaries in the Group (Kenya Breweries Limited and Uganda Breweries Limited) have entered into operating lease agreements for leasing of commercial and non-commercial vehicles and point-of-sale refrigerators. Lease payments cover principal rentals, maintenance fees, fleet management costs and insurance costs.

Future minimum lease payments under these operating leases are as follows:

	2012 Kshs'000	2011 Kshs'000
Not later than 1 year	1,230,063	1,177,740
Later than 1 year and not later than 5 years	2,169,735	2,031,201
Later than 5 years	-	23,884
	3,399,798	3,232,825

(b) Group leases as lessor

The Group has entered into operating lease agreements for leasing part of its properties. Future minimum lease receipts under these operating leases are as follows:

	2012 Kshs'000	2011 Kshs'000
Not later than 1 year	31,775	31,775
Later than 1 year and not later than 5 years	80,098	80,098
	111,873	111,873

(Continued)

29 Commitments (continued)

(c) Company leases as lessee

The Company has entered into operating lease agreements for leasing of printers and motor vehicles. Future minimum lease payments under these operating leases are as follows:

	2012 Kshs'000	2011 Kshs'000
Not later than 1 year	39,480	2,205
Later than 1 year and not later than 5 years	61,248	2,205
	100,728	4,410

30 Cash generated from operations

(a) Reconciliation of profit before income tax to cash generated from operations

Group	2012 Kshs'000	2011 Kshs'000
Profit before income tax	15,253,049	12,258,989
Adjustments for:		
Interest income	(1,192,359)	(109,633)
Interest expense	4,317,432	272,156
Depreciation (Note 18 (a))	2,993,891	2,510,024
Employee Share Ownership Plan reserve	67,046	-
Amortisation of intangible asset – software (Note 19)	131,002	151,200
Amortisation of prepaid operating lease rentals (Note 21(a))	523	547
Gain on disposal of leasehold land and buildings	(643,659)	(1,186,523)
Profit on disposal of business	(3,646,339)	-
Impairment of property, plant and equipment	329,816	706,571
Exchange differences	(62,961)	218,341
Changes in working capital:		
– receivables and prepayments	(1,123,732)	(1,319,162)
– inventories	(3,557,907)	(494,409)
– payables and accrued expenses	1,746,079	1,168,143
Cash generated from operations	14,611,881	14,176,244

30 Cash generated from operations (continued)

(b) Reconciliation of profit before income tax to cash generated from operations

Company	2012 Kshs'000	2011 Kshs'000
Profit before Income tax	7,124,729	5,937,781
Adjustments for:		
Interest income	(630,525)	(93,202)
Interest expense	3,898,453	302,930
Depreciation (Note 18 (b))	25,365	17,984
Employee Share Ownership Scheme expense	67,046	-
Amortisation of intangible asset – software (Note 19)	131,002	151,200
Amortisation of prepaid operating lease rentals (Note 21(b))	70	70
Dividend Income receivable	(10,160,344)	(5,400,014)
Profit on disposal of property, plant and equipment	(38,778)	(1,186,523)
Profit on disposal of business	(941,555)	-
Changes in working capital:		
– receivables and prepayments	(4,791,187)	(234,356)
– payables and accrued expenses	166,017	(835,676)
Cash used in from operations	(5,149,707)	(1,339,806)

(c) Cash and cash equivalents

Group	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
Term deposits	-	-	6,570,036
Cash and bank balances	997,973	1,649,453	1,325,079
Bank overdraft (Note 31)	(1,192,042)	(971,348)	-
	(194,069)	678,105	7,895,115
Company	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
Term deposits	-	-	6,446,640
Cash and bank balances	243,723	491,025	333,370
	243,723	491,025	6,780,010
(d) Company	2012 Kshs'000	2011 Kshs'000	2010 Kshs'000
Movement in receivables and prepayments			
Movement per statement of financial position		9,761,187	234,356
Dividends receivable (under dividend income in cash flow)		(4,970,000)	-
Movement under working capital in cash flow		4,791,187	234,356

(Continued)

31 Borrowings

Group

The borrowings are made up as follows:

Non-current

Bank borrowings

Related party borrowings

Current

Bank overdraft

Bank borrowings

Total borrowings

	2012 Kshs'000	2011 Kshs'000
Bank borrowings	513,000	3,917,688
Related party borrowings	19,469,236	-
	<u>19,982,236</u>	<u>3,917,688</u>
Bank overdraft	1,192,042	971,348
Bank borrowings	4,856,500	258,622
	<u>6,048,542</u>	<u>1,229,970</u>
Total borrowings	<u>26,030,778</u>	<u>5,147,658</u>

The carrying amounts of current borrowings approximate their fair value, as the impact of discounting is not material.

The movement in borrowings is as follows:

At start of year

Advanced in the year

Advanced on acquisition of minority interest in subsidiary

Repayments

Foreign exchange gain

At the end of the year

	2012 Kshs'000	2011 Kshs'000
At start of year	5,147,658	-
Advanced in the year	7,121,790	2,240,274
Advanced on acquisition of minority interest in subsidiary	19,469,236	2,907,384
Repayments	(5,440,765)	-
Foreign exchange gain	(267,141)	-
	<u>26,030,778</u>	<u>5,147,658</u>

Bank borrowings mature between June 2013 and June 2015 and at average annual interest rates of 16.06% (2011: 12.27%).

Total borrowings include secured liabilities (bank and collateralised borrowings) of KShs 1,187,215,000 (2011: KShs 3,332,080,000).

Collateralised borrowings are secured by land, industrial property and bank guarantee.

The related party loan attracts variable interest rates at 1.5% above 364 Treasury bill rate +1.5%. The loan is repayable after a period of five years from the draw down date.

31 Borrowings (Continued)

Company

The borrowings are made up as follows:

Non-current

Related party borrowings

19,469,236

-

Current

Bank borrowings

4,600,000

-

Total borrowings

24,069,236

-

The carrying amounts of current borrowings approximate their fair value.

The movement in borrowings is as follows:

At start of year

-

-

Advanced in the year

4,600,000

Advanced on acquisition of minority interest in subsidiary

19,469,236

-

At the end of the year

24,069,236

-

Bank borrowings mature between June 2013 and June 2015 and at average annual interest rates of 16.06% (2011: 12.27%)

The company did not have secured liabilities (bank and collateralised borrowings) (2011: Nil).

The related party loan attracts variable interest rates at 1.5% above 364 Treasury bill rate. The loan is repayable after a period of five years from the draw down date.

(Continued)

32 Acquisition of Serengeti Breweries

On 22 October 2010, East African Breweries Limited completed the acquisition of a 51% equity stake in Serengeti Breweries Limited (SBL), a beer brewing and distribution business based in Tanzania. As a result of the acquisition, the group is expected to consolidate its leadership position in the East Africa region adult beverages market. The fair value consideration was KShs 4,943 million.

The goodwill of KShs 2,928,527,000 arising from the acquisition is attributed to the acquired customer base, the value of the local employees and the economies of scale expected from combining the operations of the group with Serengeti Breweries Limited.

None of the goodwill arising on consolidation is expected to be deductible for income tax purposes.

The table below summarises the consideration paid for the 51% stake in Serengeti Breweries Limited and the amounts of assets acquired and liabilities assumed recognised at the acquisition date, as well as the value at the acquisition date of the non-controlling interest in Serengeti Breweries Limited.

	2012 KShs'000	2011 KShs'000
Fair value amounts of assets acquired and liabilities assumed:		
Property, plant and equipment	-	8,631,600
Inventories	-	439,903
Trade and other receivables	-	153,459
Cash and cash equivalents	-	76,281
Brands (included in intangibles)	-	563,005
Trade and other payables	-	(1,752,784)
Bank overdrafts	-	(527,385)
Borrowings	-	(2,380,001)
Current tax	-	(45,386)
Deferred tax	-	(1,208,749)
Total identifiable net assets at fair value	-	3,949,943
Consideration paid (including deferred consideration of KShs 814,700,000)	-	4,942,998
Goodwill	-	2,928,527
Non-controlling interest	-	1,935,472

During the year, SBL has contributed KShs 6,996,840,000 (2011: KShs 3,976,729,000) to sales and a loss of KShs 968,276,000 (2011: KShs 454,944,000) to profit after tax in the year ended 30 June 2012.

During the year, the deferred consideration of Sh 814,700,000 was paid to the vendors. A forex loss of KSh 218,886,000 (Note 10) that was incurred in the transaction was recognized under finance charges and consequently no additional goodwill was recognised in the statement of financial position.

33 Related party transactions

The Company is controlled by Diageo plc Incorporated in the United Kingdom which is the ultimate holding company. There are other companies that are related to East African Breweries Limited through common shareholdings or common directorships.

The following transactions were carried out with related parties:

	2012 Kshs'000	2011 Kshs'000
(a) Sale of goods and services		
Other related parties	-	9,480
(b) Purchase of goods and services		
Parent company	-	602,727
Other related parties	1,948,563	1,456,753
	1,948,563	2,059,480

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to major customers.

(c) Outstanding balances arising from sale and purchase of goods/services

	2012 Kshs'000	2011 Kshs'000
Group		
Receivables from related parties	77,329	133,710
Payable to related parties	4,135,691	2,066,380
Company		
Receivables from subsidiaries	8,715,960	2,849,612
Receivables from related parties	53,725	6,015
	8,769,685	2,855,627
Payables to subsidiaries	7,906,068	7,783,436
Payables to related parties	1,481,265	603,703
	9,387,333	8,387,139

(Continued)

33 Related party transactions (Continued)

(d) Directors' remuneration

	2012 Kshs'000	2011 Kshs'000
Group		
Fees for services as non-executive directors	9,762	8,311
Executive directors' fees and emoluments included in key management compensation in (e) below	188,590	175,015
	198,352	183,326
Company		
Fees for services as non-executive directors	9,300	6,632
Executive directors' fees and emoluments included in key management compensation in (e) below	64,945	55,288
	74,245	61,920

(e) Key management compensation

	2012 Kshs'000	2011 Kshs'000
Salaries and other short-term employment benefits	503,758	334,489
Termination benefits	20,737	15,400
Post-employment benefits	19,535	16,863
	544,030	366,752

34 Reserves

a) Capital reserve

The capital reserve represents the surplus on the revaluation of property, plant, and equipment net of deferred income tax and is non-distributable. This is revaluation surplus recognised prior to adoption of International Financial Reporting Standards in 2000. It is released upon impairment or derecognition of the related item of property, plant and equipment.

b) Share based payment reserve

During the year, a fair value charge of KShs 67,046,000 was recognised in respect of the employees in the Employee Share Ownership Plan (ESOP).

c) Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

Year ended 30th June 2012

Principal shareholders and share distribution

The ten largest shareholdings in the Company and the respective number of shares held at 30 June 2012 are as follows:

	Name(s) and Address	Number of shares	%
1	Diageo Kenya Limited	338,618,340	42.82
2	Diageo Holdings Netherlands B.V	35,952,396	4.55
3	Board of Trustees – NSSF	35,451,120	4.48
4	Standard Chartered Nominees Ltd Non-Resident a/c 9300	22,196,427	2.81
5	Guinness Overseas Limited	20,628,804	2.61
6	CFC Stanbic Nominees Limited – Account NR7001	19,184,138	2.43
7	Standard Chartered Nominees Ltd Non-Resident a/c 9011	14,037,632	1.78
8	Barclays (Kenya) Nominees Limited a/c 9326	12,648,354	1.60
9	Standard Chartered Nominees Ltd a/c KE9273	10,083,932	1.28
10	Janaksinh Karsandas Babla & Mrs Nirmala Janaksinh Babla	6,181,020	0.78
	TOTAL NUMBER OF SHARES	514,982,163	65.14

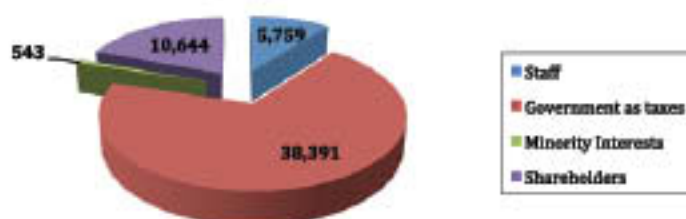
Distribution of shareholders

	Number of shares	Number of shareholders	% Shareholding
1 – 500	2,461,579	12,493	0.31%
501 – 5,000 shares	17,531,261	10,925	2.22%
5,001 – 10,000 shares	7,708,555	1,088	0.97%
10,001 – 100,000 shares	41,547,819	1,496	5.25%
100,001 – 1,000,000 shares	90,732,269	314	11.48%
Over 1,000,000 shares	630,792,873	61	79.77%
Total	790,774,356	26,377	100.00%

Funds Allocation 2011 (Kshs'M)



Funds Allocation 2012 (Kshs'M)



PROXY FORM

FOMU YA UWAKILISHI

I/we _____ Share A/c No _____ of (address) _____ being a member(s) of East African Breweries Limited, hereby appoint or failing him the duly appointed Chairman of the meeting to be my/our proxy, to vote on my/our behalf at the 90th Annual General Meeting of the Company to be held on 23rd October 2012 at 11.00 a.m. or at any adjournment thereof. As witness to my/our hands This _____ day of October 2012. Signature(s) _____ Notes: 1. This proxy is to be delivered to the Company Secretary not later than 11.00 a.m. on 21st October 2012 failing which it will be invalid. 2. In case of a corporation, the proxy must be under its common seal.	Mimi/Sisi _____ Nambari ya akaunti ya hisa, _____ anwani. _____ kama mwanahisa/wanahisa wa East African Breweries namteua/ tunamteua _____ wa (anwani) _____ na akikosa yeye, namteua/tutamteu Mwenyekiti wa mkutano kama mwakilishi wangu/wetu, kupiga kura kwa niaba yangu/ yetu kwenye Mkutano Mkuu wa mwaka wa Tisaini wa Kampuni utakaofanyika tarehe 23 Oktoba 2012 saa tano za asubuhi ama siku yoyote ile endapo mkutano huo utaahirishwa. Sahihi. _____ Sahihi hii/hizi imewekwa/zimewekwa tarehe _____ Oktoba 2012. Maelezo muhimu: 1. Fomu hii ya uwakilishi inapaswa kufikishwa kwa Katibu wa Kampuni kabla ya saa tano asubuhi tarehe 21 Oktoba 2012 la sivo haitakubalika. 2. Iwapo mteuaji ni shirika, fomu hii ya uwakilishi ni lazima ipigwe muhuri wa kampuni hiyo.
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Admission Card

PLEASE ADMIT _____ To the Annual General Meeting of East African Breweries Limited which will be held at Safari Park Hotel, Ruaraka, Nairobi on 23rd October 2012 at 11.00 a.m. This admission card must be produced by the Shareholder or proxy in order to obtain entrance to the Annual General Meeting. A Murgor (Mrs.) Company Secretary	JINA LA MWENYEHISA _____ ANWANI YA MWENYEHISA _____ IDADI YA HISA ZINAZOMILIKWA _____ A Murgor (Bi.) Katibu wa Kampuni
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Fold 2

Pili Kunja Hapa

Fold 1
Kwanza Kunja Hapa

Company Secretary
East Africa Breweries Limited
P.O. Box 30161, 00100

Nairobi

Kenya

Fold 3

Halafu Kunja Hapa





**East African Breweries Limited,
Corporate Centre, Ruaraka
P.O. Box 30161-00100, Nairobi, Kenya**

www.eabl.com